



INTRODUCTION TO ENTREPRENEURSHIP

Before going through this lesson, ask yourself if you are hard-working, smart, creative, willing to take risks and good with people. If the answer is yes, then take heart, stay motivated and be steered by your inherent inner drive. You are on the road to entrepreneurship, the ultimate career in capitalism in which you put your idea to work in a competitive economy. Entrepreneurship does not mean sticking to conventional business. It implies creating new things. Its emphasis is not merely on idea generation but also on the promotion and implementation of a new business environment.



LEARNING OUTCOMES

After studying this lesson, the learner will be able to:

- explain the concept, meaning and features of entrepreneurship;
- compare and contrast employment, self-employment and entrepreneurship;
- outline the various types of entrepreneurship, and
- analyse entrepreneurship as a career option.

1.1 MEANING OF ENTREPRENEURSHIP

Entrepreneurship may be defined as the visualization and realization of new ideas by insightful individuals, who are able to use information and mobilize resources to implement their vision. Entrepreneurship is the ability (i.e., knowledge plus skills) of a person to translate ideas of commencing a business unit into reality by setting up a business on ground to serve the needs of society and the nation, in the hope of profits.



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Entrepreneurship refers to a system that includes entrepreneurs (and potential entrepreneurs), institutions and government actions. The desired policy outcome of this system is increased levels of entrepreneurial activity.

1.2 DEFINITION OF ENTREPRENEURSHIP

Baumol's definition of entrepreneurship includes all kinds of opportunity-seeking behaviour – in his own words encompassing, for instance, political rent-seeking and “organised crime.”

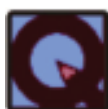
Wennekers and Thurik have probably provided the most elaborate and inclusive definition:

Entrepreneurship is the manifest ability and willingness of individuals, on their own, in teams, within and outside existing organizations to perceive and create new economic opportunities (new products, new production methods, new organizational schemes and new product-market combinations), and to introduce their ideas in the market, in the face of uncertainty and other obstacles, by making decisions on location, form and the use of resources and institutions.

Finally, entrepreneurship can be understood as, An economic process where an idea is generated or an opportunity is created, refined, developed and implemented, while exposed to uncertainty to realize a profit by effective utilization of resources.

1.3 CHARACTERISTICS OF ENTREPRENEURSHIP

- i) Entrepreneurship is an economic activity done to create, develop and maintain a profit-oriented business.
- ii) It begins with identifying an opportunity as a potential to sell and make profit in the market.
- iii) Entrepreneurship is the best utilization of available resources.
- iv) Entrepreneurship is the ability of an enterprise and an entrepreneur to take risk.



INTEXT QUESTIONS 1.1

1. Fill in the blanks with suitable text.
 - (a) The emphasis of entrepreneurship is not merely on the but also on theand implementation of new business environment.



- (b) Entrepreneurship is the best of available resources.
- (c) Entrepreneurship is an economic activity done to create, develop and maintain a

1.4 TYPES OF ENTREPRENEURSHIP

Let us take a look at different types of entrepreneurs. All forms of entrepreneurship are essential and complementary forces of economic development.

1.4.1 Based on Risk

- (a) **Innovative Entrepreneurship** Entrepreneur comes up with new ideas and turns them into viable business and find new ways to market the products that make their business stand out from the crowd and sometimes create a new crowd. Examples are Steve Jobs and Bill Gates.
- (b) **Imitative Entrepreneurship** implements current techniques from which they copy certain business ideas and improve upon them as to gain an upper hand in the market. Imitative entrepreneurship is characterized by the adoption of exogenously changing technologies. Examples are development of small shopping complexes and small car manufacturers.
- (c) **Fabian Entrepreneurship** is concerned with such business organizations in which the individual owner does not take initiative in visualizing and implementing new ideas and innovation. Dealings are determined by customs, religion, trading and past practices. They are not too interested in taking risks or changes and they try to follow the beaten track created by their predecessors.
- (d) **Drone Entrepreneurship** is concerned with such businesses in which owners are satisfied with the existing mode and speed of business activity and show no inclination in gaining market leadership. They refuse to make any modification in the existing production methods inspite of incurring recurring losses.

1.4.2 Based on type of Business

- (a) **Agricultural Entrepreneurship** covers a wide spectrum of agricultural activities like cultivation, marketing of agricultural produce, irrigation, mechanization and agricultural technology.
- (b) **Manufacturing Entrepreneurship** identifies needs of customers and then explores the resources and technology to be used to manufacture

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the products to satisfy those needs by converting raw materials into finished products.

- (c) **Trading Entrepreneurship** procures finished products from manufacturers and sells these to customers either directly or through middlemen such as wholesalers, dealers, and retailers. These middlemen act as a link between the manufacturer and customer.

1.4.3 Based on use of Technology

- (a) **Technical Entrepreneurship** deals with establishing and running industry based on science and technology. They use innovative methods of production.
- (b) **Non-Technical Entrepreneurship** is concerned with the use of alternative and imitative methods of marketing and distribution strategies to make their business survive and thrive in a competitive market.

1.4.4 Based on Ownership

- (a) **Corporate entrepreneurship** was pioneered by Burgelman. Corporate ownership is where an individual through innovation and skill organises, manages and controls a corporate undertaking efficiently.
- (b) **Private Entrepreneurship** is where an individual sets up a business as a sole owner of the business and bears the entire risk involved in it.
- (c) **State Entrepreneurship** is where trading or industrial venture is undertaken by the State or the Government.
- (d) **Joint Entrepreneurship** implies a joint business endeavor between a private entrepreneur and the Government.

1.4.5 Based on size of Enterprise

1. **Micro Enterprises:** Any business with a turnover of up to Rupees five crore.
2. **Small-Scale Entrepreneurship:** A small enterprise has an annual turnover of more than Rupees five crore but not more than Rs 75 crore.
3. **Medium-Scale Entrepreneurship:** A business with a turnover over Rs 75 crore and upto Rs 250 crore
4. **Large-Scale Entrepreneurship:** Business with turnover over Rs 250 crore.



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1.4.6 Based on Gender

Women Entrepreneurship

The Government of India defines women entrepreneurship as, “a business enterprise which is owned, managed and controlled by women having a minimum financial interest of 51 per cent of the capital and giving at least 51 per cent of employment generated in the enterprises to women.”

Schumpeter defines women entrepreneurship as, “based on women’s participation in equity and employment of a business enterprise.”

1.4.7 Based on Social Problems

Social Entrepreneurship

The concept of social entrepreneurship came around the 1960s but the establishment of Grameen Bank by Muhammad Yunus in Bangladesh was the first instance where it was thoroughly used. Social entrepreneurship focuses on social problems and environmental problems aiming at bringing about transformation. This obligation of contribution to social well-being is primary and in a way, profit takes a back seat or is more or less secondary but essential to the survival.



INTEXT QUESTIONS 1.2

- Match the following:

Column A	Column B
(a) Women entrepreneurship	i. Risk
(b) Small-scale entrepreneurship	ii. Size of enterprise
(c) Corporate entrepreneurship	iii. Ownership
(d) Trading entrepreneurship	iv. Gender
(e) Imitative entrepreneurship	v. Types of business

- State whether the following statements are true or false.
 - Bill Gates is an example of an innovative entrepreneur.
 - Corporate entrepreneurship is pioneered by Burgelman.
 - Shahnaz Husain is an example of women entrepreneurship.
 - Development of small shopping complexes is an example of imitative entrepreneurship.

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3. Choose the correct option from the following:
- (a) A woman entrepreneur is supposed to have a minimum financial interest of:
 - (i) 35 percent
 - (ii) 51 percent
 - (iii) 75 percent
 - (iv) 100 percent
 - (b) The concept of social entrepreneurship came around:
 - (i) 1960
 - (ii) 1965
 - (iii) 1990
 - (iv) 2014
 - (c) Any business with a turnover of up to rupees five crore would be considered:
 - (i) A micro enterprise
 - (ii) A small enterprise
 - (iii) A medium enterprise
 - (iv) Large enterprise
 - (d) Any business with a turnover over rupees 75 crore but upto rupees 250 crore would be considered:
 - (i) A large enterprise
 - (ii) A small enterprise
 - (iii) A medium enterprise
 - (iv) A micro enterprise

1.5 SELF-EMPLOYMENT

The government is keen on pushing self-employment because it is virtually impossible to employ every one. There are three types of people. The first or

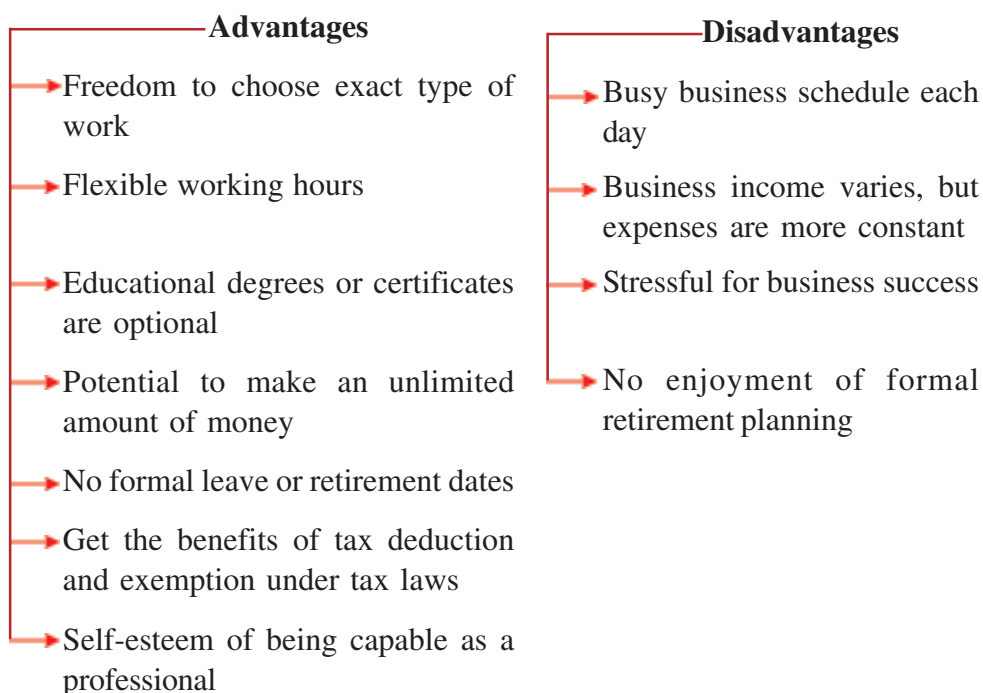


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A category has hardly any savings or wealth and has no choice but to take up whatever jobs are available, even if these are low-paying and casual. The second or B category who has some savings or wealth but choose to work in an office, factory or shop run by someone else and earn remuneration (salary or wages). The third or category directly involved in running or operating her or his own business/ shop in anticipation of profit. The first two categories are employed in others' business as employee or manager. People in category 'C' are known as solo preneur or self-employed.

Let us consider an example. If a professionally qualified person like a doctor or engineer works in any other organization for a fixed salary or fees, the person is not self-employed. If the same doctor starts practicing by opening his/her own clinic, then he/she is self-employed.

Advantages and disadvantages of self-employment:



1.6 LIVELIHOOD

You may have noticed people from different parts of the country who have migrated in search of jobs. Poor people make temporary, unauthorised huts on the roadside which are known as shanties or slums. These people were previously earning their livelihood either through agriculture or handicrafts or they had no job opportunity. Since the land available to each family of village has remained the same and the number of family members has grown, supporting all of them through agriculture alone is tough. So, people migrated or moved to cities in search of jobs.



The government is addressing these problems by providing better farming techniques which increase crop production from the same piece of land, and also making other opportunities of employment and livelihood available close to or within the villages. It is also encouraging young people to start their own ventures by providing them training and finance.

1.6.1 Meaning of Livelihood

Livelihood means securing the basic necessity of life such as food, clothing, shelter, health and the capacity to acquire the above to meet the requirements of oneself and the family. The capacity to acquire the basic necessities of life can be possible by providing an opportunity to develop the capabilities through education and skills. The Government of India took considerable initiative for development of livelihood assets.



INTEXT QUESTIONS 1.3

Choose the correct option :

1. In self-employment, the person is free to choose:
 - (a) Time
 - (b) Place
 - (c) The manner of work to enjoy all the perks and profits
 - (d) All of the above
2. Which of the following is not the example of self-employment?
 - (a) Online tutoring
 - (b) Opening an online shop and doing regular business
 - (c) Running an errand service
 - (d) Teaching
3. Entrepreneurship is for people:
 - (a) who get salary
 - (b) who don't like work
 - (c) who have the ability to start their own business
 - (d) who do not want to take any risk in business

1.7 DIFFERENCE BETWEEN ENTREPRENEURSHIP AND EMPLOYMENT

Before choosing a particular vocation, one should be aware about the pros and cons of both i.e., job and entrepreneurship. That will help you to make a well-thought decision.

1. On the basis of merits and demerits:

	Job	Entrepreneurship
Merits	1. You have a specific time for your work. Even if you have to work sometimes after the office hours, that is not the daily scenario. 2. You get time for your other activities after your working hours. 3. You get your salary at the end of each month. 4. You get promotions and new job activities. 5. You get a peer circle throughout your time in your cubicle	1. You don't report to anybody. You can work freely. 2. Work hard and get remuneration accordingly. The better you provide products or services, the better are your prospects. 3. You can take a day off as per your own convenience. 4. You are your own boss. You are whatever you do. 5. You can have job satisfaction along with desired career growth.
Demerits	1. You may not get due credit for your work. 2. Hard work often gets unnoticed. 3. The competition among your team may drive you crazy. 4. Little or no job satisfaction 5. Fear of losing job during slowdown or recession.	1. If you fail to deliver the desired result, chances are you lose your ground. The risk factor is high. 2. No surety of financial success. There are many entrepreneurs who had to go back to their routine desk job. 3. You virtually don't get leave even though you are your own boss. 4. You don't have one boss, you have multiple. All the stake owners will expect you to provide better quality products or service. 5. You may not get enough time to socialize or be with family.

2. On the basis of characteristics:

Basis	Entrepreneurship	Job
1. Creation vs. Continuation	Entrepreneurship is about ideas, creation and developing something new and solving problems in a unique way.	Job is often about continuation of same work and doing it in much better way. Creativity may be useful and appreciable but is not necessary for survival as nurturing is not the priority. One needs to do work on time.
2. Risks	Entrepreneurship is risky in respect of losing initial investments due to failure of business	Jobs have relatively low financial risks. Yet, in the case of retrenchment or termination of job, you will lose money and may get a similar job at less salary.
3. Whole day vs. Fixed working hours	Entrepreneurs often lose track of time as they are solely responsible for their enterprise. They find it difficult to adjust to the demands of family and society.	People in job often work for fixed time and find enough time for their family.
4. Diversified vs. Concentrated skills	Entrepreneurship is a multi-skilled diversified field like one is to design, create one's own boat and then escape in it.	Job requires concentrated skills which can be obtained through education to become an expert in a specified area.
5. Explosive vs. Incremental	Entrepreneurship can lead to explosive growth if worked through practice which can make one rich and famous.	Jobs offer logical increments over time in the form of promotion resulting in increase in salary consistently with every rise in position.
6. Uncertainty of income vs. Certainty of salary	Entrepreneurship is not for people who cannot survive without any pay. It does not guarantee the certainty of profits for months, sometimes for years.	Jobs pay immediately and usually, salaries are fixed and certain.

1.8 ENTREPRENEURSHIP AS A CAREER OPTION

Have you always strived to do something differently and never loved working as a subordinate or employee? If you have, entrepreneurship may be the right choice for you. Entrepreneurship has been gaining popularity due to lack of opportunities in the formal sector. With the economy booming, the environment is conducive to entrepreneurship. Virtually anyone can become an entrepreneur as it does not require any formal qualification.

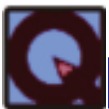


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History is full of success stories by entrepreneurs who have successfully spotted an opportunity and capitalized on it. Entrepreneurs are playing constructive roles in fields as diverse as education, in the government sector and in the social sector.

Prominent factors that attract or distract individuals towards choosing entrepreneurship as a career option are:

- a. Push Factors:** These factors push individuals away from entrepreneurship.
 - 1. Culture
 - 2. Individual preference for alternate source of employment
 - 3. Individual capabilities
- b. Pull Factors:** These factors make individuals choose entrepreneurship as a career.
 - 1. Frustration or dissatisfaction in the present job
 - 2. Displacement from a job
 - 3. Not getting a job of choice or difficulty in finding a job
 - 4. Realizing the present job is in jeopardy due to moving towards closure
 - 5. Desire to start own business due to new business opportunity
 - 6. Conducive atmosphere including family history of entrepreneurship, financial stability, availability of infrastructure.

**INTEXT QUESTIONS 1.4**

- 1. Choose the correct option from the following :
 - 1. Lack of capability is concerned with:
 - (a) Pull factors
 - (b) Push factors
 - (c) Both (a) and (b)
 - (d) None of these
 - 2. Which of the following is not concerned with Push factors?
 - (a) Job dissatisfaction

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- (b) Insufficient salary
- (c) Zeal to work
- (d) All of the above

**WHAT YOU HAVE LEARNT**

1. Entrepreneurship is an economic phenomenon involving a nexus of two phenomena, first, the presence of lucrative opportunities and second, the presence of enterprising individuals.
2. Entrepreneurship can be understood as the process of starting and running one's own business profitably using managerial caliber.
3. The choice of form of business ownership depends upon the quantum of risk an entrepreneur can bear because every form of business has its own merits and demerits.
4. Entrepreneurship means self-employment in which the person is free to choose the time, place and the manner of work to enjoy all the perks and profits and also bear all the risks and losses the business endures.
5. To earn livelihood and secure the basic needs of life such as food, water, shelter, clothing and health we take care of about the push factors which attract the people to start a venture.

**TERMINAL EXERCISE**

1. Define Entrepreneurship. Discuss its features.
2. What is corporate entrepreneurship?
3. What do you mean by self-employment?
4. What is meant by livelihood?
5. Define micro, small and medium enterprises.
6. Explain the different concepts of entrepreneurship.
7. Explain innovative entrepreneurship.
8. Describe imitative entrepreneurship.
9. Explain social entrepreneurship.



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10. Describe women entrepreneurship.
11. Explain the push factors that discourage individuals from choosing entrepreneurship as a career option.
12. Differentiate between entrepreneurship and job.
13. State the merits and demerits of entrepreneurship.
14. State the merits and demerits of job.



ANSWER TO INTEXT QUESTIONS

1.1

1. (a) idea generation; promotion
(b) utilization
(c) profit-oriented business

1.2

1. (a) (iv)
(b) (ii)
(c) (iii)
(d) (v)
(e) (i)
2. (a) True
(b) True
(c) True
(d) True
3. (a) (ii) (b) (i) (c) (i) (d) (iii)

1.3

1. (d) 2. (d) 3. (3)

1.4

1. 1. (b) 2. (c)



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DO AND LEARN

1. Organise a group of four students and go to a slum area nearby. Contact at least four individuals of different families and make a list about how they are earning their livelihood.
2. Organise a group of your friends from different walk of life and make a list of government initiatives for the self-employed. Meet at least four self-employed people and tell them about the government initiatives.

CONCEPT MAP





INTRODUCTION TO ENTREPRENEUR

Indian industry has been shaped by many iconic entrepreneurs who have changed the way we look at enterprise. They have shattered the traditional outlook of doing business and have shown that even humble beginnings may create India's largest enterprises.

One such entrepreneur is Laxmi Narayan Mittal (born June 15, 1950). He was the CEO of ArcelorMittal, world's largest steelmaking company. After completing his graduation from St. Xavier's College, he served as a trainee at a steel mill and then opened his own steel plant. His business philosophy emphasized consolidation and turn around of weak and fragmented industries. Mittal proved that with right blend of grit and determination weak companies can be reshaped into profit making companies.

Similar is the case of Steve Jobs, an iconic entrepreneur. With his vision and determination, he built Apple Computers which today is one of the most admired enterprises in the area of technology and innovation. The trait common to both Jobs and Mittal is that they wanted to be their own boss rather than work for others. They wanted to pursue their own dreams and reap the rewards of those dreams. Successful entrepreneurs like them have proved the fact that the right amount of persistence and hard work permit even small enterprises or ventures to become successful.

In a recent study based on a survey of the top management of the world's 350 largest businesses, the World Economic Forum found that digitalization and robotization, or Industry 4.0, will lead to the loss of five million jobs globally by 2020. This trend will mainly affect jobs at the lower end of the qualification ladder that involve routine work. However, the number of higher skilled jobs created further up the ladder will be greater than the losses at the bottom. So, those capable of thinking and acting in an entrepreneurial manner will stand out from the rest because entrepreneurship cannot be automated.



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Entrepreneurs believe in seizing opportunities. Faced with one, they use their judgment to assess the opportunity to gauge the right amount of uncertainty surrounding an entrepreneurial break and turn the situation in their favor.

You have already studied the concept of entrepreneurship in the previous chapter and what opportunities entrepreneurship may offer you. In this chapter, you will study about the traits needed to become a successful entrepreneur.

**LEARNING OUTCOMES**

After studying this lesson, the learner will be able to:

- explain the meaning of an entrepreneur;
- identify the traits of an entrepreneur;
- classify the types of entrepreneurs;
- discuss the various functions performed by an entrepreneur; and
- describe the benefits of becoming an entrepreneur.

2.1 MEANING OF AN ENTREPRENEUR

The word *entrepreneur* has its origin in the French word *entreprendre* made up of two words *entre* and *prendre*. *Entre* implies ‘between,’ and *prendre* means, ‘to take’. The combination of the two French terms translates into an entrepreneur who takes on the risk of a new venture.



So, an entrepreneur means a person or group of persons who are willing to take the risk of a new venture. An entrepreneur is her/his own boss and therefore self-employed and independent. She/he assumes the risk of the new venture and adds value to society.

Entrepreneurs are different from investors and managers. An entrepreneur not only brings in the idea and passion for the enterprise but also arranges funding for the venture. An investor, on the other hand, mainly invests money in the venture. Also, an entrepreneur has a more positive outlook towards the venture in comparison to investors who are wary of their invested funds.



An entrepreneur also differs from a manager, who works for someone else. An entrepreneur is self-dependent and may employ a manager. Entrepreneurship also involves elements of risk while managership does not involve any such risk bearing.

INTRAPRENEUR

Intrapreneurs are entrepreneurs within an existing organisation. Intrapreneurs rely upon innovation that may result into a new division within the company.

2.2 DEFINITION OF ENTREPRENEUR

Peter F. Drucker in his book, *Innovative Entrepreneurs*, says, “Entrepreneurs as innovators. Entrepreneurs search for change and exploit opportunities.” According to Drucker, “Innovation is the specific tool of entrepreneurs, the means by which they exploit changes as an opportunity for a different business or a different service. It is capable of being presented as a discipline, capable of being learned, capable of being practiced. Entrepreneurs need to search purposefully for the sources of innovation, the changes and their symptoms that indicate opportunities for successful innovation. And they need to know and to apply the principles of successful innovation.”

2.3 TRAITS OF BECOMING A SUCCESSFUL ENTREPRENEUR

A successful entrepreneur needs to have entrepreneurial spirit. This is the trait common in all successful entrepreneurs. Though there is no hard and fast rule to become a successful entrepreneur, the following traits may help one become a successful entrepreneur.

1. Desire to do

To become a successful entrepreneur, the person has to have the desire to work and an inherent will to succeed in the venture. Someone not willing to work may become a successful investor but cannot become a successful entrepreneur.

2. Risk Taker

An entrepreneur's unique trait includes willingness to assume a certain percentage of risk. In fact, an entrepreneur is defined as someone willing to take risk.

3. Responsive

An entrepreneur has to assume an active and responsive role. It is expected that an entrepreneur will look for opportunities from every walk of life.



An entrepreneur who cannot look at the available opportunities is unlikely to be successful.

4. Initiator

A successful entrepreneur is one who acts out of choice and not out of compulsion. This implies that, to be a successful entrepreneur, one has to take the first step or initiate the idea into workable situations rather than waiting for others to take the lead.

5. Persistence

Not every venture turns out to be successful. But it is the entrepreneur who makes the ventures successful rather than the opposite. Persistence and optimism are the keys of becoming a successful entrepreneur. One must keep trying until success is achieved.

6. Inquisitive

The nature or personality of an entrepreneur is of utmost importance when it comes to success or failure of an enterprise. An inquisitive entrepreneur has the desire to know more and to find out more. A person who is inquisitive is likely to seek more information and be more open to new ideas and innovativeness.

7. Committed

Commitment and devotion to work and the ability to meet deadlines are important traits in an entrepreneur. A successful entrepreneur may have to take some personal discomfiture.

8. Self-motivated

It is the responsibility of an entrepreneur to stay motivated and to keep others in the venture highly motivated. A successful entrepreneur relies upon internal locus of control rather than on external locus of control.

9. Assertive

Having a vision is a core requirement but only a person who can convey thoughts assertively and convincingly can become a successful entrepreneur. If one cannot do so, the enterprise cannot be successful.

10. Persuasive

Not every prospective investor who comes across your way is willing to commit funds to your idea. That is where a successful entrepreneur steps in with persuasion skills that elaborate and sell the idea to prospective investors.



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11. Strategist

To be successful as an entrepreneur one has to be a visionary with a strategic mind. The entrepreneur should be capable of foreseeing different situations, diagnose the symptoms and then taking actions needed.

12. Innovative

Innovation is the key to be relevant and successful. Successful entrepreneurship is not about a product. It is about bringing in the X factor to the existing or new products or services.



INTEXT QUESTIONS 2.1

State which of the following statements is true and which is false.

1. An entrepreneur is her/his own boss.
2. Intrapreneurs are entrepreneurs operating outside the existing organization.
3. Vision is of no use to an entrepreneur.
4. The nature of an entrepreneur is of utmost importance when it comes to success or failure of an enterprise
5. Risk is an inevitable part of any venture.

2.4 CLASSIFICATION OF ENTREPRENEURS

Entrepreneurs can be classified under various traits which need not be mutually exclusive. So, an entrepreneur categorized on one criterion may also fit the bill under another category.

ON THE BASIS OF NATURE OF THE ENTERPRISE

❖ Trading Entrepreneur

A trading entrepreneur is a middleman between manufacturers and customers of the product or services. So, the main function of a trading entrepreneur is procurement of products and making the same available to last customers.

❖ Manufacturing Entrepreneur

A manufacturing entrepreneur fills the gap in the supply-demand chain, identifying products customers require and finds resources to meet those requirements. Such entrepreneurs produce the goods, converting raw material into finished products.

**❖ Business Entrepreneur**

Business entrepreneur is a wider term encompassing manufacturing and trading entrepreneurs. Business entrepreneurs conceive the idea of setting up a new enterprise. The enterprise may be a small or large venture but the idea gets translated into reality.

ON THE BASIS OF DEPTH OF TECHNOLOGY EMPLOYED**❖ Technopreneur**

These are entrepreneurs whose enterprises are concerned with technology or science. Technical entrepreneurs or technopreneurs are mainly involved with innovation of new technology-based products. So, an entrepreneur developing a new operating system for your mobile or laptop is a technopreneur. They mostly work backwards to arrive at a technology to provide the customer with a desired experience.

❖ Non-Technopreneur

Unlike technopreneurs, non-technopreneurs do not rely on technology as the core of their enterprise. They are concerned about the use of alternative or imitative methods. Non-technopreneurs may include the manufacturing and trading entrepreneurs whose focus is not on the use or development of technology or tech-driven products.

❖ Professional Entrepreneurs

The term professional entrepreneur may seem confusing since professionalism is expected out of every entrepreneur. But a professional entrepreneur is a professional who is interested in establishing an enterprise but not interested in managing it once it is established. After that, a professional entrepreneur sells it off to some other person and moves on to setting up another venture.

ON THE BASIS OF CONTROL OF OWNERSHIP**❖ Private Entrepreneur**

A private entrepreneur establishes, owns and manages the enterprise as a private affair or venture. There is no state or government participation in the venture and the entire risk will be borne by the private entrepreneur who will also be the only person to enjoy the benefits of the enterprise.

❖ Public Entrepreneur

Public or State entrepreneur is a term used for the State or government



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when it steps in as an entrepreneur. Just like the private entrepreneur in this situation, all the cost/risk will be borne by the State but the benefits may not necessarily accrue to the State only. The public may also enjoy the benefits of such a venture.

❖ **Mixed or Joint Entrepreneur**

As the name suggests, this category arises when an enterprise is collectively owned or run by the private entrepreneur and the State. Such enterprises get the expertise and entrepreneurial benefits of the private entrepreneur and at the same time gets funding from the State.

ON THE BASIS OF ADAPTABILITY OR INNOVATION

❖ **Innovating Entrepreneurs**

Innovating entrepreneurs think out of the box or come up with solutions that are innovative. The entrepreneur may introduce new technologies, new products, new methods of work, or even explore new markets. These entrepreneurs can innovate when a certain level of development already exists and when people want better and improved goods and services.

❖ **Imitative Entrepreneurs**

These entrepreneurs follow the lead of innovating entrepreneurs and are open to adopting their successful innovations. Imitative entrepreneurs do not initiate change or innovation. They just copy or imitate an existing technology and offer their own version of goods and services. An example of this is entrepreneurs in the area of production of generic medicines.

❖ **Fabian Entrepreneurs**

These entrepreneurs are characterized by the skepticism to change. They usually avoid taking any bold step and try to imitate only when failure is imminent. They can be called laggards as they are lazy and not much open to change or adaptive of new methods to improve the enterprise.

❖ **Drone Entrepreneurs**

Drone entrepreneurs are one step ahead of Fabians as they are not open to any kind of change in the enterprise even at the risk of incurring losses. They are conservative or orthodox entrepreneurs. They always feel comfortable with existing technology or methods of production. They are also laggards as they continue to operate in a traditional way and resist any possible change.

**BASED ON GENERATION****❖ First Gen Entrepreneurs**

First Gen entrepreneurs are initiators of enterprise in the family. This term is actually a synonym for new entrepreneurs which means that they do not take over or carry forward any existing enterprise rather they start from the scratch to start and establish a new enterprise.

❖ Next Gen Entrepreneurs

Strictly speaking, Second Gen or next Gen entrepreneurs may not be classified as entrepreneurs at all as they just continue or carry forward the enterprises already established by their families. But to make sure that the enterprise they have taken over continues successfully, these Next Gen entrepreneurs have to innovate and evolve in the market to face competition and to further grow and expand.

❖ Classical Entrepreneurs

A classical entrepreneur is one who is concerned with customers and the marketing needs of the enterprise through the development of self-supporting ventures. This person is a typical entrepreneur who aims at maximising the benefits or profits and ensuring the flow of such returns or profits irrespective of the fact whether the enterprise grows or not.

**INTEXT QUESTIONS 2.2**

Select the most suitable option from the given options.

1. Which of the following is not a trait of a successful entrepreneur?
 - a. Assertive
 - b. Committed
 - c. Risk Avoider
 - d. Inquisitive
2. Imitative entrepreneurs are the ones who
 - a. Are skeptical of changes
 - b. Want to operate traditionally
 - c. Follow the lead of innovating entrepreneurs
 - d. Are committed to innovation
3. An entrepreneur who is concerned only with the customers and the marketing needs is a
 - a. Drone Entrepreneur
 - b. Classical Entrepreneur
 - c. First Gen Entrepreneur
 - d. Fabian Entrepreneur



Notes

2.5 FUNCTIONS OF AN ENTREPRENEUR

An entrepreneur performs multiple functions and plays a pivotal role in ensuring success of the enterprise. These are some of the functions performed by an entrepreneur:

1. Identify Opportunities and Take Initiative

The first and foremost function of an entrepreneur is to identify the opportunities of entrepreneurial nature and then take the initiative and assume a proactive role to provide the society the products and services needed or to develop technology which may be required. So, filling up of gap between has and has not is the first function to be performed by any entrepreneur.

2. Arranging Resources

The entrepreneur has to identify the resources needed to transform an idea into reality. Arrangement and organization of these resources has to be taken care of by the entrepreneur. These resources may be human resources or non-human resources such as capital, machinery, tools etc.

3. Risk Taking Function

Entrepreneurs take calculated risks. It is the entrepreneur who guarantees the payment to labour, suppliers and lenders and bears the loss of any contingency. Also, an entrepreneurial venture may or may not be successful, so this is a major function performed by entrepreneur.

4. Decision Making Function

An entrepreneur must take multiple decisions while establishing and running any enterprise. These may include decisions ranging from making choices about quality, quantity and value of resources to be used and products and/or services to be offered, to decisions about type of equipment to be used. Other routine and non-routine decisions include topics like what capital structure to employ, judging the feasibility of the project, the structure of the organization and many more such criteria.

5. Innovation and Adaptation

An entrepreneur strives to develop new products, services, markets, processes, strategies and techniques. This requires innovation. It is through innovation that new and better alternatives are created. Therefore, an entrepreneur constantly attempts to develop new technology or least tries to identify appropriate existing technology or processes to be adapted to the environment.



Notes

5. Social Function

Entrepreneurship revolves around the needs of society and therefore an entrepreneur cannot ignore obligations towards society. It is duty of the entrepreneur to encourage others to take up entrepreneurship or entrepreneurial ventures. Enterprises are socially expected to generate employment and jobs and not to exploit societal resources beyond an optimal amount.

6. Managerial Functions

An entrepreneur is also required to perform managerial functions such as planning, organising, staffing, directing and controlling processes in the venture.

Managerial Functions of An Entrepreneur

1. **Planning;** Determination of future course of action to achieve desired results. It involves questions such as, What is to be done? When should it be done? How to do it? Who should do it? etc.
2. **Organizing:** Entire organisation is divided into interlinked and interdependent structures in harmony with each other. An entrepreneur has to ensure harmonious adjustment to various part to achieve common goals.
3. **Staffing:** People, also known as Human Resource, are the essence of any organisations. An entrepreneur must find the right person for the right role and keep them gainfully occupied. This responsibility often begins with recruitment, selection and other sub functions.
4. **Staffing :** It implies the process of instructing, guiding, communicating and inspiring human resources in the enterprise. Supervision, communication, leadership and motivation are the sub-functions under directing.
5. **Control :** This refers to the comparison of actual and desired results so that corrective actions can be taken if results are negative or replication of efforts can be made if results are positive.

2.6 BENEFITS OF BECOMING AN ENTREPRENEUR

There are many reasons that may prompt a person to become an entrepreneur but there are three core reasons that inspire people to choose to become an entrepreneur.

1. To Become Their Own Boss

This is the most commonly cited reason by any person who is or aspiring



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to be an entrepreneur. People with ambition to own their own business or firm may become frustrated working for others or in traditional firms. A person who does not want to adhere to the 9 to 5 grind can work for flexible hours as an entrepreneur. Also, achievement of personal goals may be dependent upon the fact that working for self is better than working for others. Though such decisions involve risks, some find them worth taking. A person may be able to direct an enterprise and may still be in a position to achieve a better work-life balance.

2. To Pursue Their Own Ideas

Another reason to start one's own enterprise is the freedom to pursue your own ideas and be able to execute that idea in your own way. Sometimes, good ideas are not given attention to in large organizations if they come from an employee lower down the hierarchical ladder. These ideas either go unnoticed or are not given proper attention by the management. As a result, some employees prefer to leave such organizations and start their own ventures. With responsibility for one's own enterprise comes the impetus to work with more energy. This can be less emotionally exhaustive.

3. To Reap Financial Rewards

An entrepreneur wants to earn financial rewards from the venture. This reason may be secondary to the above two reasons of starting an enterprise because the motivation to start an enterprise comes from within rather than merely due to the expectation of monetary gains. The primary motivation is the possibility of the growth of the venture from which monetary rewards will automatically follow.



INTEXT QUESTIONS 2.3

1. Which of the following is not a managerial function to be performed by an entrepreneur?
 - a. Control
 - b. Planning
 - c. Staffing
 - d. Criticising others
2. The process of motivating others is part of which managerial function of an entrepreneur?
 - a. Planning
 - b. Directing
 - c. Control
 - d. Staffing

**Notes****WHAT YOU HAVE LEARNT**

- An entrepreneur is a person or group of persons willing to take the risk of a new venture.
- Entrepreneurs are different from investors and managers.
- To become a successful entrepreneur, one has to have some traits such as responsiveness, commitment, initiative, inquisitive, strategist etc.
- A trading entrepreneur acts as a middleman while a manufacturing entrepreneur fills the gap. A business entrepreneur may include both manufacturing and trading entrepreneurs.
- Unlike non-technopreneurs, technopreneurs mainly invest in innovation of new technology-based products.
- There is no state or government participation in a pure private venture.
- Innovative entrepreneurs may introduce new technologies while imitating entrepreneurs follow the lead of innovating entrepreneurs.
- Drone entrepreneurs are not open to any kind of change.
- The classical entrepreneur is a typical entrepreneur who aims at maximizing benefits.
- Functions of an entrepreneur includes social and managerial functions.
- The capability of being able to pursue one's own dream, being your own boss and financial rewards are driving reasons for becoming an entrepreneur.

**TERMINAL EXERCISE**

1. What is meant by the term entrepreneur? State any three traits of becoming a successful entrepreneur.
2. Elaborate the types of entrepreneurs on the basis of adaptability or innovation.
3. Distinguish between First Gen and Next Gen entrepreneurs.
4. Discuss the managerial functions of an entrepreneur.
5. Explain the statement, 'Financial rewards are of secondary importance to an entrepreneur.'
6. Identification of opportunities and the willingness to take risk are the core functions of an entrepreneur. Explain the given statement.
7. How are trading entrepreneurs different from business entrepreneurs?



ANSWERS TO INTEXT QUESTIONS

2.1

1. True
2. False
3. False
4. True
5. True

2.2

1. (c)
2. (c)
3. (b)

2.3

1. (d)
2. (b)

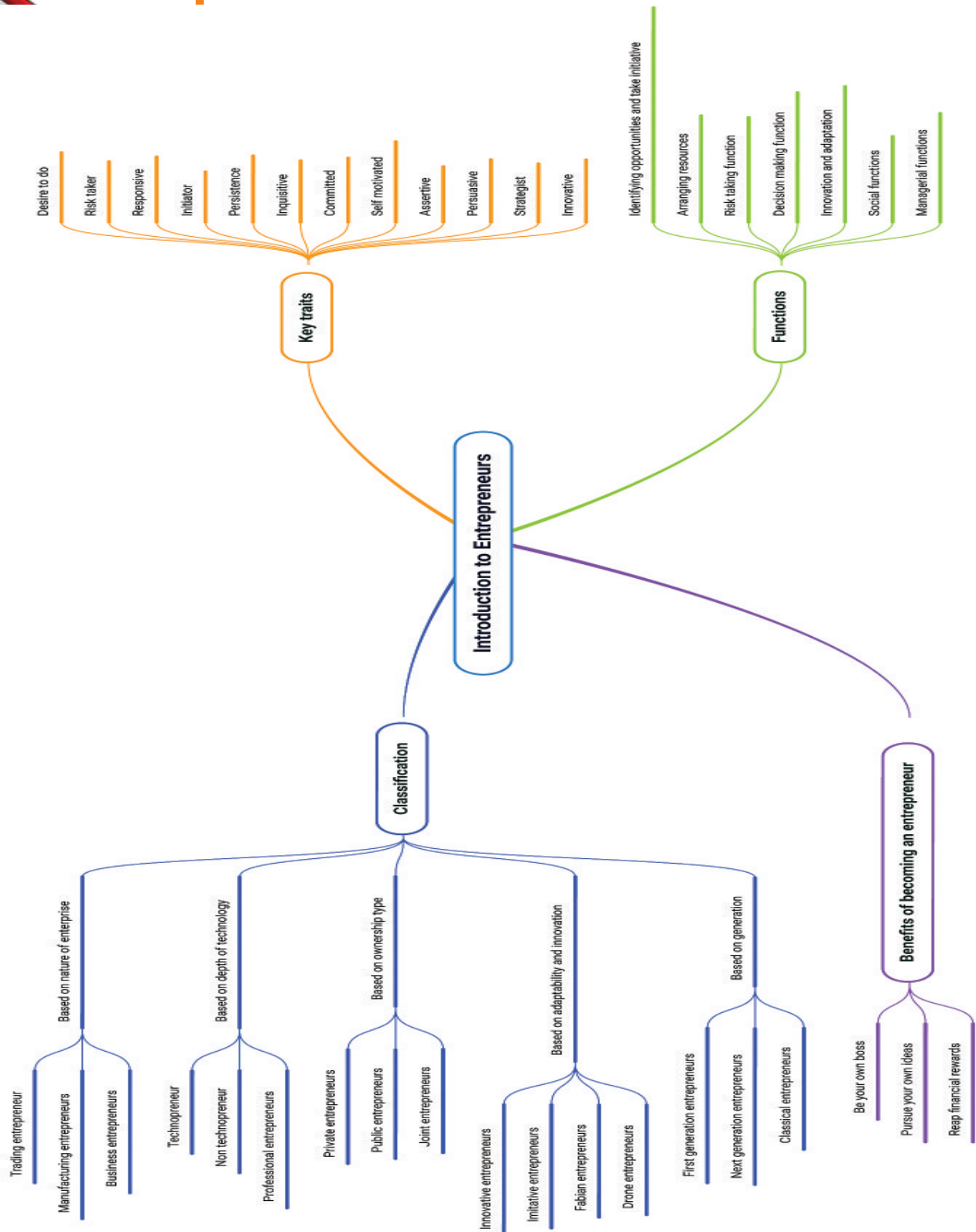
DO AND LEARN

1. Suppose your sister, who is a fashion designer, is thinking about quitting her job in a reputed MNC to start her own clothing line but has decided to let the opportunity go because she has read that nine out of 10 new ventures fail. What will you advise her?
2. List two examples each of innovative entrepreneurs, imitative entrepreneurs, Fabian entrepreneurs and Drone entrepreneurs



Notes

CONCEPT MAP





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3

MODULE - 1

Entrepreneurship



Notes

IMPORTANCE OF ENTREPRENEURSHIP

In the last lesson, you learnt about the meaning of entrepreneurs, their traits, types of entrepreneurs, various functions performed by an entrepreneur and benefits of becoming an entrepreneur.

Entrepreneurship as a concept has existed in India since time immemorial. Ancient and medieval India has been recognized a country of traders and businessman having their trade links surpassing geographical boundaries of India. Various ancient and medieval historical texts and evidences are testimony to this. Entrepreneurs are considered as nation builders as they generate wealth and create employment opportunities in an economy. Modern India has witnessed numerous instances of entrepreneurs who have immensely contributed to wealth generation and employment creation in the economy of India. Few of the notable examples of such entrepreneurs include Dhirubhai Ambani, Azim Premji, Narayan Murthy, Bhai Mohan Singh and Kailash Chandra Mahindra. Entrepreneurs are essential to economy as income generators, wealth creators and utilizers of financial and physical resources available. In this lesson, we will learn about the socio-economic development of a nation and how entrepreneurship helps in creating employment, as well as the contribution of entrepreneurship in balanced regional development.



LEARNING OUTCOMES

After studying this lesson, the learner will be able to :

- outline the role of entrepreneurship in the socio-economic development of a nation;
- identify entrepreneurship as a means of employment generation; and
- explain the contribution of entrepreneurship for balanced regional development.

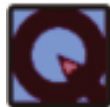
**Notes****3.1 SOCIO-ECONOMIC VARIABLES**

There are multiple factors that affect entrepreneurship of which social, cultural and economic factors have mostly influenced entrepreneurs from country to country. These three factors have been discussed below. Social factors are basically related to social construct and structure of the country. A few social factors are:

- i. Social Motive
- ii. Prestige and Self-Esteem
- iii. Cultural Values
- iv. Customs and Taboo
- v. Ethnic Values
- vi. Child Rearing Practices
- vii. Nationalist Attitude
- viii. Patriotic Inculcations
- ix. Religious Beliefs

Similarly, the main aim of entrepreneurs is the maximisation of economic welfare. Economic factors are related to finance and structure of the economy of the country. A few economic factors are:

- i. Factors of Production
- ii. Market Incentives
- iii. Stock of Capital
- iv. Finance
- v. Banks and Financial Institutions
- vi. Introduction of New Goods
- vii. Introduction of new Markets
- viii. Methods of Production

**INTEXT QUESTIONS 3.1**

State whether the following are economic variables or social variables:

- i. Finance
- ii. Religious Beliefs

- iii. Methods of Production
- iv. Cultural Values
- v. Stock of Capital
- vi. Prestige



3.1.1 ROLE OF ENTREPRENEURSHIP IN SOCIO-ECONOMIC DEVELOPMENT

Entrepreneurs have played a big role in the development of today's India. In all fields like art, culture, science, health, food, fashion, and entertainment, entrepreneurs have shown their excellence. Entrepreneurs have spurred on the speedy development of our economy. Some reasons are:

1. **Production:** Production involves the involvement of national resources like land, labour, capital and technology. Entrepreneurs have utilised them in the best and effective way to produce goods and provide services to generate national income.
2. **Career Option/Opportunities:** India is an emerging economy.. It is growing at a fast pace but still, wage employment is limited in terms of employment generation. Entrepreneurship provides unlimited career options. Entrepreneurs not only create a livelihood for themselves. They generate thousands of employment opportunities.
3. **Distribution of Economic Power:**Entrepreneurs generally start on a small scale and then grow their businesses. In this process, they distribute power and create a balance of economic powers.
4. **Creating Competition:** Entrepreneurs not only create new products and services but also create competition in the market. This helps customers with better products and services at less prices.
5. **Innovation:** Entrepreneurs create new technologies and products that helps to save costs and generate wealth for an economy. This helps the economy establish itself at an international level.
6. **Employment Generation:** Enterprises create employment opportunities in the country. The contribution of houses like Tata Sons and Reliance Industries are undeniable.



INTEXT QUESTIONS 3.2

State whether the following statements are true or false:

- i. SIDBI stands for Small Industries Development Bank of India.



- ii. Family background is not a social factor in India.
- iii. Entrepreneurs can take risks.
- iv. Entrepreneurs create new innovations and technologies.
- v. The government does not help entrepreneurs in India.

SOCIO-ECONOMIC ORIGINS OF ENTREPRENEURSHIP IN INDIA

The origination of entrepreneurs in India is a direct function of social and economical factors. Some of those factors are as follows:

1. **Regional Influence:** Traditionally, entrepreneurs belonged to specific regions like the Marwaris and Jains from Gujarat and Rajasthan, the Chettiars of Tamil Nadu and the Parsis. But this trend is fast changing as new springs of entrepreneurs are coming from Naidus of South India, Sikhs, Khans, Aroras of Punjab and the Mittals of Haryana, among others.
2. **Family Background:** Family background helps develop entrepreneurial skills from infancy. Family background provides sound knowhow and tactics of doing business. Growing up in an entrepreneurial milieu, a child from the Bania community is likely to become an entrepreneur. The trend is changing now. A large chunk of entrepreneurs is coming from unemployed youth. Even successful entrepreneurs either came from agricultural background or employed in some organisation like Sachin and Binny Bansal who both worked for Amazon before co-founding Flipkart.
3. **Level of Education:** Education gives a platform of knowledge and scope to become entrepreneurs. Through education, you will not only get the knowledge but also technical skills to work effectively and efficiently. Example: Vijay Shekhar Sharma is an alumnus of the Delhi College of Engineering. He went on to become the founder of Paytm. Deepinder Goyal, a graduate from IIT Delhi, is the founder and CEO of Zomato.
4. **Migratory Character:** Entrepreneurs have the quality to shift to the most profitable areas or where there is more scope. Example: travelkhana.com orders fresh food in Indian trains while they are in transit.
5. **Firm Clusters:** The cluster of similar types of firms in a particular area also motivates entrepreneurs to opt for that business, if operating in that area. Example: Silicon Valley of Bengaluru.



Notes

3.1.2 ROLE OF ENTREPRENEURS IN SOCIO-ECONOMIC GROWTH

Entrepreneurs help to supplement and compliment the socio-economic growth of the economy in several ways. Some of these are:

1. **Mobilisation of Capital:** Entrepreneurs make efforts to mobilise capital and use the investors' money in the best way to generate wealth for their venture and thus, the economy. This ensures efficient utilisation of resources.
2. **Generation of Employment:** Entrepreneurs are not only self-employed but also provide employment opportunities to many by setting up enterprises, whether micro or large. This helps to reduce the unemployment in the country and pave the way for economic development. For example, Oyo, a hospitality organization, hires more than 17,000 employees around the world.
3. **Forward and Backward Linkages:** An entrepreneur also creates forward and backward linkages and helps in the development of forward and backward organisations related to his business. For example, a textile enterprise needs raw materials, chemicals, spinning mills, etc, and also needs marketing, warehouses to take the enterprise further ahead. In this way, an entrepreneur creates backward and forward linkages respectively.
4. **Balanced Regional Development:** The entrepreneur helps to remove regional disparities and pave the way for balanced regional development. This also happens because the government provides many subsidies and concessions in backward areas. Example: Special Economic Zones in India.
5. **Equal distribution of Economic Power:** The new breed of entrepreneurs is helping in equal distribution of economic power in the hands of individuals. If it were not for these new entrepreneurs who are ensuring more equitable spread of wealth, economic power would remain vested in the hands of a few creating a situation of monopolies.
6. **Increase in Per Capita Income:** Entrepreneurs capture the market trend and new opportunities. They not only use country's resources like land, labour and capital in the most effective way but also contribute to the nation's wealth. This helps in achieving higher per capita income in the country.
7. **Better Standard of Living:** Entrepreneurs help to provide scarce commodities and better lifestyle by giving services at your door step in many ways. Example: Swiggy and Big Basket deliver food, fruits and vegetables respectively at your place.



8. **Import Substitution and Export Promotion:** Entrepreneurs help the nation to become self-sufficient. They manufacture products which are locally scarce and need to be imported. Thus, they reduce the country's dependence on foreign countries. Also, they contribute to the nation's wealth by exporting products to foreign countries.

3.1.3 ROLE OF GOVERNMENT IN ENTREPRENEURSHIP

Entrepreneurs contribute to the socio-economic development of any country by providing employment, regional development, promoting exports, improving the Balance of Payment, developing small scale units and rural industries, to mention a few. To boost the enthusiasm of entrepreneurs, Central and state governments are providing assistance by way of infrastructure, finance, marketing, training, technology, research and other verticals. Ministry of MSME, Ministry of Skill Development & Entrepreneurship, Ministry of Rural Development, Ministry of Agriculture & Family Welfare, Department of Science and Technology, Ministry of Food Processing Industries, Ministry of Corporate Affairs, Ministry of Commerce and Industry, Ministry of Textiles, etc. are promoting Entrepreneurship by providing incentives and implementing various schemes for entrepreneurs. Some of the government support measures and institutes for entrepreneurial growth are:

1. **National Bank for Agriculture and Rural Development (NABARD):** The basic goal of this bank is rural development through rural business, agricultural support, development of small industries, cottage and village industries, and other related issues.
2. **Rural Small Business Development Centre (RSBDC):** It assists small and medium enterprises and socially and economically disadvantaged individuals and groups.
3. **National Small Industries Corporation (NSIC):** Its basic aim is the growth of small business units. It helps to procure, supply and distribute indigenous and imported raw materials. It also helps to develop software technology parks and create awareness about technology upgradation.
4. **Small Industries Development Bank of India (SIDBI):** It provides financial assistance to small entrepreneurs and business organisations to meet their credit requirements.



5. **The National Commission for Enterprises in the Unorganized Sector (NCEUS):** It helps in generating more employment opportunities in rural areas and also to enhance the competitiveness of the sector in the changing world.

**Notes**

3.1.4 ROLE OF FINANCIAL INSTITUTIONS IN ENTREPRENEURSHIP

Finance is the life of any business venture. Availability and growth of financial institutions encourage the development of entrepreneurial culture. You may have potential ideas, but without finance, they will not fructify. Hence, both the government and the private sector play a vital role so that everybody who has potential ideas can get the required finance to start a venture.

The plan of a new venture should be formulated keeping in mind the financial objectives of the venture, nature and size of business, credit-worthiness of the enterprise, growth and expansion plans of the venture, market requirements and government regulations. Some sources of new startup financing are:

1. Sweat Equity
2. Personal Financing
3. Personal Credit Lines
4. Friends and Family
5. Bank Loans
6. Peer-to-peer Lending
7. Microloans
8. Purchase Order Financing
9. Factoring Accounts Receivables
10. Angel Investors
11. Crowd funding
12. Venture Capital
13. Corporate Partners
14. Mergers and Acquisitions.
15. Initial Public Offering



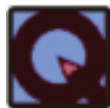
ROLE OF FINANCIAL INSTITUTIONS IN ENTREPRENEURSHIP

3.1.6 ROLE OF SOCIETY IN DEVELOPMENT OF ENTREPRENEURSHIP

The efforts of entrepreneurs cannot be successful if people do not accept changes in products and services. So, society plays a vital role in creating an



atmosphere conducive to enterprise by encouraging or discouraging people and their choice for livelihood.



INTEXT QUESTIONS 3.3

Fill in the Blanks:

- i. National Bank for and Rural Development.
- ii. National Industries Corporation.
- iii. Rural and Entrepreneurship Development.
- iv. Small Development Bank of India.
- v. Trade Related Assistance And Development Scheme for Women (TREAD)

3.2 EMPLOYMENT OPPORTUNITIES

In India, growing unemployment especially among educated youth and qualified persons is a great challenge to be countered. If such people opt to become entrepreneurs, they not only create jobs and better standard of living for themselves but also provide employment to many individuals.

As entrepreneurs create employment opportunities for different sections of society, they contribute to the nation's growth. Setting up a new enterprise leads to creation of opportunities like labour supply, supply of inputs, requirement for industrial equipments, sales persons, communication facilities, power, infrastructure like machinery, furniture and fixtures, transportation, warehousing, insurance, etc. An established entrepreneur pushes up demand for such facilities and creates employment opportunities. When a new enterprise comes up, the old ones try to enhance their capacity and grow further. This also helps in creating more jobs in the market.

3.2.1 ROLE OF ENTREPRENEURS IN EMPLOYMENT GENERATION

Entrepreneurs help in the following ways to generate employment opportunities:

1. **Finance and Banking Services:** Finance is the basis of any business. Entrepreneurs create jobs like cashiers, accountants, collection agents and security staff.
2. **Insurance Services:** With increasing uncertainty and crime rates, every entrepreneur wants to safeguard his goods and other materials and machinery from any sort of mis-happening. So, entrepreneurs take insurance policies for their godowns, factories, shops, goods in transit, etc. This has helped many insurance agents to earn their livelihood. They, in turn, circulate money within the economy.
3. **Stock and Commodity Exchange:** These platforms provide auxiliary

**Notes**

- services like sale and purchase of shares, debentures, commodities and securities. This has helped in creating jobs for stock marketing personnel and other staff who manage the trading.
4. **Consultancy Services:** It is one of the most emerging sectors in India. It includes Management Centres, Business Advisory, Insurance Advisory, Legal Consultancy, and Marriage Consultancy. This has helped in creating employment for the self-employed and other employment opportunities for individuals who can work on these centres.
 5. **Placement Services:** Various institutes related to education, employment and technical skills are providing knowledge to students. These institutes not only give required skills and knowledge but also help their students in getting jobs. For this, such institutes tie up with various enterprises to give internships and employment to their students.
 6. **Agency Services:** Due to the growing legal and technical complexities along with growing business, it becomes difficult at times for an enterprise to handle everything on its own. So, activities like security and housekeeping may be out sourced to freelancers or to an organisation specialising in that task. This helps in creating more employment in the market.
 7. **Packing Services:** Goods need to be packed safely so that they are not damaged in warehouses or in transit. This has paved way for more employment opportunities. Generally, no high technical knowledge is required for such work.
 8. **Distribution of Goods and Transport Services:** Entrepreneurs search for the best market and cheapest production place for their goods. It is quite possible that their place of production and consumption of goods will be different. This way, an entrepreneur creates more employment opportunities for drivers, mechanics, operators, etc.
 9. **Warehousing Services:** Entrepreneurs prefer to achieve economies of scale. They need warehouses to store their raw materials and finished goods. This helps in creating employment opportunities for several categories of workers including staff, labour, drivers and security personnel.
 10. **Communication services:** Communication is the key to any business house. The smoother and easier the communication in an organisation, the better will be its functioning. Entrepreneurs have helped in creating jobs for many skilled and unskilled people in this area.
 11. **Advertising Services:** Advertising helps promote products and make people familiar with your product. Entrepreneurs who use advertising services create jobs for designers, artists, writers, photographers and other personnel in the industry.

**Notes****Importance of Entrepreneurship**

- 12. Accounting and Reporting Services:** Due to increasing scams and other malfunctioning, auditing has become compulsory in any organisation. This has helped to create jobs for accountants, chartered accountants, cost accountants and company secretaries.
- 13. Safety and Security Services:** With increasing crime rates, the safety and security of any organisation is becoming increasingly important. This has created jobs for security guards, peons, clerks and watchmen.
- 14. Event Management:** This is mainly related to the social and cultural dimensions of society. The importance of event managers is growing in India at a rapid pace. This has helped in creating many job opportunities in this field.
- 15. Entertainment Entrepreneurs:** These days entrepreneurs also opt for business which is involved in entertaining others. The businesses like dance academy, music, singing, videogames parlour, photography are booming. This has created jobs for many designers, craftsman's, engineers, technicians and maintenance personnel.
- 16. Agriculture, Irrigation and Agro-Based Products:** With increasing finance, availability of better infrastructure and irrigation facilities, farmers are able to produce more and even able to sell their produce in international markets.
- 17. Small and Medium Business:** The government is taking a lot of initiative to support and nurture small and medium businesses in India. MSME or the Ministry of Micro, Small and Medium Enterprises has been set up to look after the development of rural and backward areas. It also helps in providing self-employment opportunities and industrialization, which leads to balanced regional development and better distribution of national income.
- 18. Education:** Education plays a very important role in the making of an entrepreneur. The level and type of education provides the skills to an individual. Also, an educated person can also become an entrepreneur either by becoming a tutor or opening his/her own teaching institute.
- 19. Water Storage and Pollution Control:** With increasing development and changing world environment, the Earth is becoming more and more warmer. Due to this, the water scarcity is increasing. Pollution is rising. This leads to new opportunities for entrepreneurs in the form of enterprises dealing in the field of water storage and pollution control.

3.3 BALANCED REGIONAL DEVELOPMENT

Balanced regional development means giving due care to the growth of each and every sector of the economy so that opportunities to earn a livelihood can

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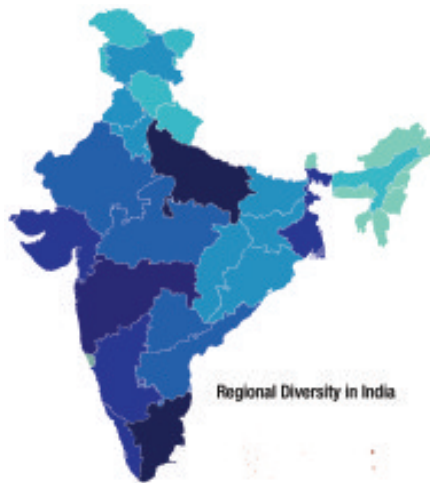
be created. Balanced regional development implies that each and every region/state of country registers equitable growth in terms of employment generation and business ventures. Lopsided regional development can give rise to mass migration from region of low development to high development.

Natural resources are highly scattered. India is rich in flora and fauna, minerals and different weather conditions. Some parts of the land are fertile and some are barren. This also leads to the development of few areas better than the development of other areas. Unbalanced distribution of natural resources leads to the accumulation of wealth in a few hands. For example, cities like Delhi, Mumbai, Chennai and, Kolkata are more developed than other cities.

3.3.1 CAUSES FOR REGIONAL DISPARITIES

Prominent factors that lead to disparities among different regions are:

- 1. Geographical Factors:** Some areas have abundance of natural resources while others lack in it. Different geographical areas are suitable for different types of businesses. This leads to disparities. For example, in the Northern part of India, there are Himalayas so agro-based industries generally operate there while at the South fishing industries are more operative due to presence of Sea.
- 2. Location preferences:** Some regions are preferred due to their locational advantages. Generally, regions with better infrastructure facilities are preferred when an enterprise is being set up.
- 3. Unequal Distribution of Population:** The quality and size of population in one region defines its worth and makes it unique.
- 4. Migration from rural to urban areas:** The migration of people from rural to urban areas increases the physical size of the urban areas, whether vertically or horizontally. This leads to disparities.
- 5. Seasonal Unemployment:** Industries like tourism and farming faces seasonal unemployment, which leads to regional disparities.
- 6. Unequal Distribution of Wealth:** This also leads to regional disparities as areas with richer people tend to develop faster than areas with poor population.





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3.3.2 NEED FOR REGIONAL DEVELOPMENT

Balanced regional development does not mean development of all regions equally. Rather it means to fully utilise the region's potential in the most effective ways. That is important for a nation. Balanced regional development helps in the following ways:

1. Disparities of income and wealth get reduced
2. To accelerate the development of an economy
3. Removal of poverty
4. Increase in the standard of living
5. Employment opportunities even in backward areas
6. Optimum utilisation of natural resources
7. Helps in maintaining sanitation problems as it avoids over-crowding in some areas

Establishment of both small scale and large scale units contribute in balanced regional development. The development of small scale units in rural areas is easier and more effective than establishing large scale units. This is because small scale units need labour-intensive technologies rather than capital-intensive technologies. Small scale units also require less investment and infrastructure like water and power.

3.3.3 ROLE OF ENTREPRENEURS IN BALANCED REGIONAL DEVELOPMENT

The entrepreneur's contribution in balanced regional development is:

1. **Knowledge of Market Conditions:** Entrepreneurs search for the best market to set themselves up. They search for untapped markets, markets with various opportunities and favourable factors of production. This helps in the balanced regional development.
2. **Government Support System:** In India, the government provides ample opportunities to entrepreneurs for balanced regional development like allotment of land at concessional rates, basic infrastructure, finance, subsidies, exemption from taxes, tax holidays, supply of updated technologies, power, and ease of doing licensing policy.
3. **Optimum Use of Resources:** In a country like India, which possesses abundant natural resources, it becomes necessary to use them with high efficiency and in the best way. Entrepreneurs help in optimum utilisation of country's resources through their entrepreneurial skills. This leads to balanced regional development.

**Notes**

4. **Reformative Social Structure:** Entrepreneurs help bring modernity in traditional societies. Through their innovative ideas, they capture the need of the market and supply them with social needs like employment, health facilities and better sanitation. In today's scenario, many superstitions and misconceptions have been reduced through exposure to the presence of enterprises. Society is changing. This leads to balanced regional development.
5. **Improvement in Productivity:** New ideas and innovations have led entrepreneurs to produce more at lower costs. More productivity leads to balanced regional development and increase in nation's wealth.
6. **Multi Dimensional Development:** Entrepreneurs help in multi-dimensional development through their intelligence, far-sightedness, dedication, courage, knowledge of various new techniques, understanding the market, etc.
7. **Self-Sufficient Society:** Entrepreneurs help create a self-reliant and self-sufficient society by producing goods and services as per their requirements. This leads to balanced regional development.
8. **Removal of Regional Disparities:** The government involves entrepreneurs to remove or at least reduce the regional disparities. For this, the government provides various incentives and benefits to entrepreneurs in setting up their business in backward areas.

**INTEXT QUESTIONS 3.4**

Fill in the banks:

- i. Entrepreneurs help in use of resources.
- ii. Entrepreneurs create opportunities.
- iii. Employment helps in Balanced Development.
- iv. Entrepreneurs create forward and linkages.
- v. Entrepreneurs help in equal distribution of power.

**WHAT YOU HAVE LEARNT**

- Social Factors like family background, social status, race, regional influence, social mobility, etc influence entrepreneurship in India.
- Economic Factors like Government Economic Policy, Institutional Finance,



Notes

Importance of Entrepreneurship

Industrial Estates, Availability of Raw Material, etc influence entrepreneurship in India.

- Factors like Production, Career Option, Distribution of Economic Power, Creating Competition, Innovation, etc make entrepreneurship important in socio-economic development.
- Entrepreneurs play a big role in socio-economic growth through Mobilisation of Capital, Generation of Employment, Forward and Backward Linkages, Balanced Regional Development, Equal distribution of Economic Power, Increase in Per Capita Income, Better Standard of Living, Import Substitution and Export Promotion, etc.
- The term women entrepreneurs is defined as a section of females who operate a business enterprise. Few promotional schemes for growth of women entrepreneurs are: Trade Related Entrepreneurship Assistance And Development Scheme for Women (TREAD), Micro and Small Enterprises Cluster Development Programme (MSE-CDP), Credit Guarantee Fund Scheme, Support for Entrepreneurial and Managerial Development and Exhibition For Women under Prohibition Package for Micro and Small Enterprises Approved by CCEA under Marketing Support, Rural and Women Entrepreneurship Development (RWED), etc.
- Few Government schemes for entrepreneurs are National Bank for Agriculture and Rural Development (NABARD), Rural Small Business Development Centre (RSBDC), National Small Industries Corporation (NSIC), Small Industries Development Bank of India (SIDBI), National Commission for Enterprises in the Unorganized Sector (NCEUS), etc.
- Some sources of new startup financing are Sweat Equity, Personal Financing, Personal Credit Lines, Friends and Family, Bank Loans, Peer-to-peer lending, Microloans, Purchase Order Financing, Factoring Accounts Receivables, Angel Investors, Crowd funding, Venture Capital, Corporate Partners, Mergers and Acquisitions and Initial Public Offering.
- Entrepreneurs create employment opportunities in Finance and Banking Services, Insurance Services, Consultancy Services, Agency Services, Transport services, Communication services, Safety and Security Services, etc.
- Regional Disparities occur due to Geographical Factors, Location preferences, Unequal Distribution of Population, Migration from rural to urban areas, Seasonal Unemployment, Unequal Distribution of Wealth, etc.
- Entrepreneurs create balanced regional development through Knowledge of Market Conditions, Government Support System, Optimum Use of Resources, Reformative Social Structure, Improvement in Productivity, Self-Sufficient Society, etc.



TERMINAL QUESTIONS

1. Explain all social factors related to entrepreneurship.
2. Explain all economic factors related to entrepreneurship.
3. Why are entrepreneurs important in socio-economic development?
4. How did entrepreneurs originate in India?
5. Elaborate the role of entrepreneurs in socio-economic development.
6. Explain the role of government in encouraging entrepreneurs.
7. Define women entrepreneurs. How does the government help women entrepreneurs?
8. List out various sources of finance for a new enterprise.
9. Why do regional disparities occur? What is the need for Balanced Regional Development?
10. What is balanced regional development? How do entrepreneurs contribute in balanced regional development?
11. How do entrepreneurs create employment opportunities?



ANSWERS TO INTEXT QUESTIONS

3.1

i) Economic Variable ii) Social Variable iii) Economic Variable iv) Social Variable v) Economic Variable vi) Social Variable

3.2

i) True ii) False iii) True iv) True v) False

3.3

i) Agriculture, ii) Small, iii) Women, iv) Industries, v) Entrepreneurship

3.4

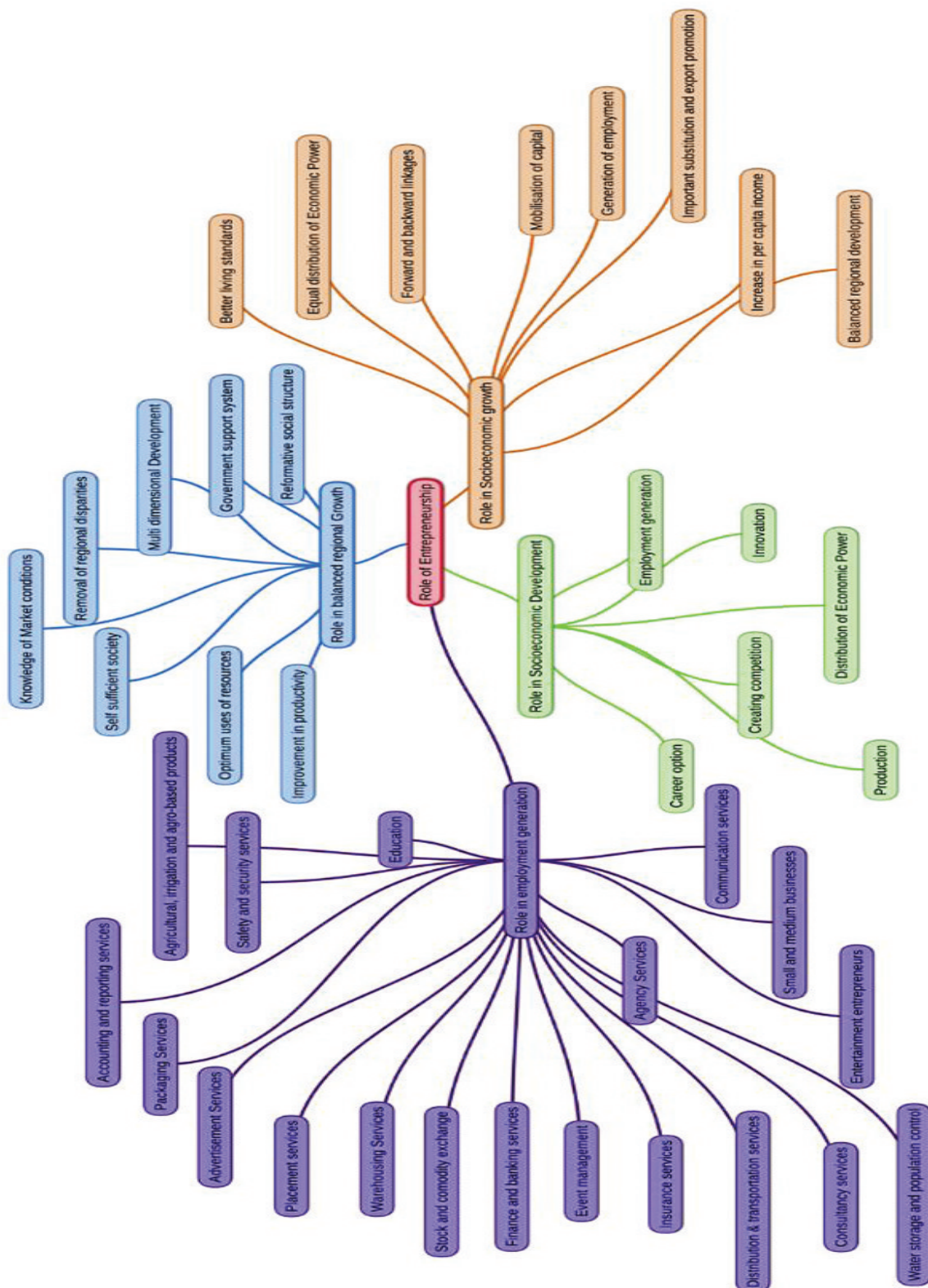
i) Optimum ii) Employment iii) Regional iv) Backward v) Economic

DO AND LEARN

Make a list of ten entrepreneurs in India who employ more than 10,000 workers. Write three sentences on how each has contributed in India's Development.



CONCEPT MAP





249en04

Module 2

CREATIVITY AND INNOVATION

Maximum Marks - 12

Study Hours 30

Creativity is the ability to develop new ideas and to discover new ways of looking at problems and opportunities. Innovation is the ability to apply creative solutions to problems and opportunities in order to enhance people's lives or to enrich society. This module will enable the learners to understand the creativity and innovation. Further, it will help to understand value addition through innovation. Journey of Successful entrepreneurs may motivate the learners. A brief introduction to IPR has been incorporated.

Lesson 4 Creativity: A Necessity for Entrepreneurial Success

Lesson 5 Need for Innovation and Value Addition

Lesson 6 Entrepreneur as an Innovator and Problem Solver



CREATIVITY: NECESSITY FOR ENTREPRENEURIAL SUCCESS

Have you observed your mother in the kitchen? It may surprise you to see her cook dishes in a variety of tastes to satisfy the taste preference of different family members. Creativity is usually a personal talent which lies in the power to do unusual but useful things. Creativity is about seeing and communicating the extraordinary in the simplest, everyday things. So, creativity is crucial for success in business. In simple terms, creativity means to think differently with an input of originality.



LEARNING OUTCOMES

After studying this lesson, the learner will be able to :

- explain creativity and its role in entrepreneurship;
- analyse the techniques for enhancing creativity; and
- identify the barriers to creativity and measures to overcome them.

4.1 CONCEPT OF CREATIVITY

A **creative concept** is a big idea that captures one's interest, influences emotional response and inspires someone to take action. It is a unifying theme that can be used across all campaign messages, calls to action, communication channels and audiences, about the newness of products. Creativity leads to the production of novel and useful ideas within any field.



Notes

4.2 MEANING OF CREATIVITY

Entrepreneurial creativity is defined as the paradigm shift in generation and implementation of novel, appropriate ideas to establish a new venture that results in the improved efficiency or effectiveness of a system. Its two important aspects are process and people.

Process is goal-oriented and designed to attain a solution to a problem. People are the active resources that determine the solution. They will sometimes adapt a solution and at other times, they will formulate a highly innovative solution. As Henry Miller said, “One’s destination is never a place, but a new way of seeing things.”

Creativity begins with a foundation of knowledge, learning a discipline and mastering a novel way of thinking which comes from experimenting, exploring, questioning, assumptions, using imagination and synthesizing information.

4.3 DEFINITION OF CREATIVITY

Some of the important definitions are:

Joseph Schumpeter introduced the economic theory of “creative destruction,” to describe the way in which old ways of doing things are endogenously destroyed and replaced by the new.

Drevdahl says, “Creativity is the capacity of a person to produce compositions, products or ideas which are essentially new or novel and previously unknown to the producer.”

Therefore, creativity is the capacity to produce ideas that are both new and useful through divergent thinking.

4.4 CHARACTERISTICS OF CREATIVITY

- (a) **Imaginative:** Creative thinking starts with imagination as it brings about something that did not exist or was not known before, so it has to be imagined first.
- (b) **Purposeful:** Creative imagination must have a purpose, an objective to serve the responsibilities of the business.
- (c) **Original:** Originality means inventiveness or the ability to think independently and creatively or the quality of being novel or unusual.
- (d) **Valuable:** It means that the product or result must be held in great esteem for admirable qualities especially of an intrinsic value.
- (e) **Ability:** Ability is to imagine or invent something new. It is not only qualification but also need skills to do a particular task in a productive manner.



Notes

4.5 INGREDIENTS OF CREATIVITY

- (a) **Knowledge:** Information about the problems and possible solutions that can help solving problems. It can be gathered from one or more of the four styles, intuitive, innovation, imagination, and inspirational.
- (b) **Motivation:** Entrepreneurial creativity requires a combination of intrinsic motivation and extrinsic motivation. Extrinsic motivation relates to tangible reward whereas intrinsic relates to the job itself.
- (c) **Passionate:** An entrepreneur must be passionate about his ideas and willing to take risk to achieve his objectives.
- (d) **Self-discipline:** Control and ability to overcome failure and rejection is crucial.

4.6 NECESSITY OF CREATIVITY IN ENTREPRENEURSHIP

Globalization, advanced technology and excessive industrialization have created immense business opportunities. Imports and exports have provided easy access to products. So what does a business person do in a market flooded with products? How can someone think of manufacturing and supplying a product in markets where consumers already have their trusted preferences and so many choices? How can we make a product stand out from the rest? The answer to all these lies in creativity and innovation.

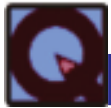
Creativity and entrepreneurship go hand in hand. However, both are important to each other and one cannot guarantee success without the other.

1. **Foster Innovation:** Creativity is the heart and innovation, the oxygen for the success of the organization. An idea which is unique is an invention, but an idea which is unique as well as useful, is an innovation. In simple terms, innovation refers to the commercialization of invention.
2. **Leads to Higher Overall Success:** Organisations need creative people. They could bring great benefits if their skills are adequately shaped and harnessed.
3. **Encourages People to Think:** Thinking is a pre-requisite for creativity. Thinking works best when coupled with sharp, highly focused and disciplined way of thinking.
4. **Helps Transcend Boundaries:** Most path-breaking discoveries are made when two or more unrelated disciplines collide in a positive way.
5. **Helps Increase Productivity:** Creativity may result in creative products and services which may increase productivity by creating demand in the markets.



Notes

6. **Help Exploit Employee Potential:** Today's employees are realising that there is an ocean of information and creative ideas that are dormant and untapped at all levels. By encouraging employees to be creative, organisations are essentially utilising the untapped potential.
7. **Development of Creativity:** Creativity is an intrinsic trait with renewable resources that can be tapped anytime and be learned. We are all born with creative potential and thought process which can be developed and reinforced. Inculcating new skills or train mind to think differently leads to creative thinking.
8. **Increased Revenue:** Creativity gives a competitive edge to business to increase turnover as a result of consumers' satisfaction.
9. **Greater Market Share:** Business is selling experiences in addition to products/services, which leads to increase market share or the share of enterprise sales in total market sales.



INTEXT QUESTIONS 4.1

1. State whether the following statements are TRUE or FALSE :
 - (a) Creativity is the heart of entrepreneurship.
 - (b) Extrinsic motivation relates to tangible reward.
 - (c) Economic theory of creative destruction was proposed by Joseph Schumpeter.
2. Fill in the blanks:
 - (a) An entrepreneur must beabout his ideas and willing to take risk.
 - (b) Creativity gives a competitive edge to business to increase turnover as a result of consumers'
 - (c) The creative imagination must have a....., an objective to serve the responsibilities of the business.
3. Choose the correct answer:
 - (a) Which of the following is not a feature of creativity?
 - (i) Originality of ideas
 - (ii) Knowledge
 - (iii) Ability
 - (iv) Imagination



Notes

- (b) When the share of enterprise sales is more in total market sales, it is said to be:
 - (i) Increased revenue
 - (ii) Increased profits
 - (iii) Market share
 - (iv) All of the above

4.7 TECHNIQUES OF ENHANCING CREATIVITY

Creativity techniques provide an introduction to a range of tools and techniques for both idea generation (creativity) and converting those ideas into reality. To increase the creative power of an individual and group, some important techniques are:

1. **Brainstorming:** This technique was developed by Alex F. Osborn in 1957. Brainstorming means, a team of members generates a large amount of alternative fruitful ideas on a specific problem without any criticism and then evaluates each idea with pros and cons. This is done with the active cooperation of team mates and the chairperson, and makes a comprehensive checklist to eliminate the ideas that are clearly unworkable but retain all that is worth further consideration.



Each idea is to be considered in the light of points like, does it meet the objectives, does it solve the problems, does it introduce new problems, will it fit in with current systems and can it accommodate growth. The purpose behind group creative technique is to provide each other's information as input for further stimulation.

Brainstorming may be of the following ways:

- (a) **SCAMMPERR:** This is developed by Micheal Michalko. It seeks to undertake the following checklist to arrive at a new idea. The word is an acronym.
 - 'S' stands for Substitute, which means, can we substitute components, materials, people.
 - 'C' stands for Combine, which means, can we mix, combine with other assemblies or services, or integrate.
 - 'A' stands for Adapt, which means, can we alter, change function, use part of another element.



Notes

‘M’ stands for Magnify, which means, can we make it enormous, longer, higher, overstated, with added features.

‘M’ stands for Modify, which means, can we increase or reduce in scale, change shape, modify attributes (e.g. colour).

‘P’ stands for Put to another use, which means, can we this product by put to any other use.

‘E’ stands for Eliminate, which means, can we remove features and simplify. (e.g. auto focus camera)

‘R’ stands for Rearrange, which means, can we rearrange the features and see the results. (e.g. Tata Nano has the engine on its rear)

‘R’ stands for Reverse, which means, can we turn reverse the order that is being followed now.

So, whenever a new product or services are to be launched or the existing one is to be improved, these questions on the checklist are asked and suitable changes are implemented.

- (b) **Road Bridge** – Take the example of a congested road bridge which makes a good theme for a brainstorming session. There are many conceptual similarities between traffic and process flows. Thinking about road traffic problems should also remind us to consider social, political, economic and environmental factors when creating solutions. Many solutions fall into one of the following classes:

- Speed up the flow
- Reduce the flow
- Divert the flow

- (c) **Six Thinking Hats:** This technique was developed by Edward de Bono. This technique advocates thinking about a problem or opportunity not by one perspective but by six different perspectives. In this technique people are asked to wear different coloured hats and think and respond based on the perspective that colour represents. This help avoiding disagreement amongst people who come from different background towards a problem or opportunity. The hats and its colour represents the following:

- **White hat: neutral** the person wearing white hat focuses on available data. The idea is to analyse past trends which are extrapolated.
- **Red hat: fire, warmth** this approach uses feelings, emotions, intuition, hunches to address a problem.
- **Black hat: caution** indicates discernment which shows legality, judgment,



Notes

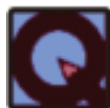
morality. This approach looks at all the bad points identifying how this will/may not work. This makes the plan toughens and resilient.

- **Yellow hat: sunshine** indicates optimistic response, positive benefits. This approach uses optimistic viewpoint identifying all the benefits and gives a sense of encouragement.
- **Green hat: growth** stands for creativity and a creative solution to a problem is developed.
- **Blue hat: sky** focuses on process control and used by chairperson of the meeting who directs people to act accordingly, allows giving equal time to everyone and taking notes wherever necessary to build consensus.



Six Thinking Hats

2. **Mind-mapping:** This technique was developed by Tony Buzan and is also called spider diagram drawn to represents ideas and notes in continuous tree-diagrams. Mind maps are drawn on paper or a white board. The starting point is the central idea written at center of a large paper or white board representing the theme for which the mind-map is to be drawn. Then, subtopics are written as an extension of the main topic representing a separate branch of the tree emerging from the central topic. Further the same way keeps adding sub-topics and next levels finer sub-branches. Ideas can be put at more than one place and then be linked to show relationships and also using colour pencils further relationships can be shown.
3. **Lateral thinking:** This term was coined in 1967 by Edward de Bono who suggests that solutions to problems can be found by unorthodox methods. When a problem is presented, the audience is asked to think laterally as to how similar problems are solved in different settings. Thus, lateral thinking means, leaving behind traditional modes of thought and throwing away preconceptions. It is a method of solving problems through an indirect and creative approach.



INTEXT QUESTIONS 4.2

1. State whether the following statements are TRUE or FALSE:
 - a) Blue hat represents sky which focus on process control.
 - b) Green hat stands for growth which focuses on creative solution to a problem.



Notes

- c) Six Thinking Hats technique was developed by Edward de Bono.
- d) A Road Bridge technique can be applicable to solve the problem of congestion of road bridge.

2. Fill in the blanks:

- a) When the solution to the problems can be found out by unorthodox methods, it is known as.....
- b)means leaving behind traditional modes of thought and throwing away preconceptions.
- c) The term, lateral thinking was coined by.....
- d)are drawn on paper or white board.
- e) SCAMMPERR technique is concerned with.....
- f) approach uses optimistic view point identifying all the benefits and gives a sense of encouragement.

3. Match the following:

*Column A**Column B*

- | | |
|----------------|---|
| (a) White hat | (i) Focuses on process control |
| (b) Red hat | (ii) Focus on available data. The idea is to analyse past trends which is extrapolated. |
| (c) Blue hat | (iii) Indicate discernment which shows legality, judgement, morality. |
| (d) Green hat | (iv) This approach uses optimistic viewpoint identifying all the benefits and gives a sense of encouragement. |
| (e) Yellow hat | (v) Stands for creativity and a creative solution to a problem is developed. |
| (f) Black hat | (vi) This approach use feelings, emotions, intuition, hunches to address a problem. |

4.8 HINDRANCES TO CREATIVITY

Hindrances are the rumble strip on the road of creativity. There are certain circumstances where creativity, the outcome of the human mind, can be hindered.



Notes

1. Environmental Hindrances:

- a) **Reliance on experts:** The first rule in working with experts is to stop asking them to solve your problem as they use jargon which you may not understand. Get them to point you in the right direction for the resources you need to understand the system. The expert may be misaligned and may be burdened by the curse of knowledge.
- b) **Lack of committed resources:** Committed resources are acquired in advance for multiple periods before the demand for resources is known. This is also known as economic barriers which are capital, labour and raw material.
- c) **Top-down decision making:** Top-down approach of decision making in which actions and policies are initiated at the highest level. Keep it hierarchical with the assistance of black boxes which makes it easier to manipulate.
- d) **Too much cooperation:** Too much cooperation leads to conflict, group thinking, social loafing and communication breakdown. Sometimes, too much cooperation can prevent the team's best ideas from being shared.
- e) **Too much competition:** unhealthy competition or cut throat competition are nightmares. They are capable of creating a win or lose situation.

1.1. Measures to overcome environmental hindrances:

- i. **Change in Attitude:** Positive attitude of entrepreneurs helps in getting success.
- ii. **Economic environment:** It includes economic stability and trade cycles. Economic environment is an uncontrollable factor for entrepreneurs but it can be predicted to some extent by observing the stability of government policies like industrial policy, licensing policy, fiscal policy and financing policy.
- iii. **Business environment:** It includes working conditions, and competition which affect entrepreneurship development in the country. Working condition can be improved by making strict regulations. Competition cannot be eliminated but can be controlled to be healthy.
- iv. **Decision-making:** Decision-making should be quick and contribution of all the level of authority is solicited specially those who are responsible and accountable for delegation of authority is indispensable.



Notes

2. Tactical Hindrances:

A tactic is a plan to take advantage of opportunity or to manage risks as they happen. It deals with day-to-day realities to seek gain or avoid losses.

- a) **Lack of ideas generation skills:** Ideas may come and go frequently but we are not to tap the right idea which has the strength to convert into opportunities.
- b) **Undirected problem-solving techniques:** Generally, solving any problem has set process like, first understand the problem, then devise a plan or translate the problem towards a solution, carry out the plan or solve the issue and lastly, look back or check and interpret the process you followed. This is used all over to aid people solve their problems. The violation from the set path will complicate the problem.
- c) **Poor execution of techniques:** Execution refers to getting things done. Poor execution can ruin all efforts. It may be because of lack of leadership, too much or too little delegation, and unproductive meetings.
- d) **Lack of follow up:** Revisiting a decision, getting a feedback, monitoring, measuring effectiveness are the ways for follow up. A person who does not pay attention to these will prove lack of experience.

2.1 Measures to overcome tactical hindrances:

- i. **Idea generation and idea validation:** A passionate entrepreneur will automatically develop skills in the task domain. This includes knowledge of the problem area and the technical skills required in solving it. The entrepreneur will also verify whether or not the idea is realistic and has useful application.
 - ii. **Assessing outcomes:** Execution of ideas after evaluating pros and cons will derive goals. Monitoring and getting feedback at every stage of the operation is vital, without which, desired result is not possible.
3. **Personal Hindrances:** Few people take up entrepreneurship as a career. Even among the societies which are considered entrepreneurially progressive, only a select few dare to set up their own business due to several reasons. Some of these reasons are:
- a) **Lack of confidence:** Self-confidence refers to the trust or faith in your own abilities. Lack of confidence means you feel weak, insecure and powerless due to lack of knowledge, skills and abilities.



Notes

- b) **Need for conformity:** People have a strong need to conform to individual as well as socially accepted standards, conventions, rules, or laws. Straying from the same may risk social rejection.
- c) **Habit thinking:** Habit thinking means a set way of thinking which tends to occur subconsciously.
- d) **Dislike of uncertainty:** The world of business is full of uncertainty because of its unpredictable nature. If you dislike uncertainty, you will have fear being creative.

3.1 Measures to overcome personal hindrances:

Many personal skills are required for entrepreneurial development. These include technical knowledge, common sense, managerial capacity like planning, organizing, directing and controlling and humane behaviour. They help create a strong entrepreneurial culture.



INTEXT QUESTIONS 4.3

1. State whether the following statements are TRUE or FALSE
 - a) Hindrances are the support in the way of creativity.
 - b) If you dislike uncertainty, you will fear being creative.
 - c) Self-confidence means the trust or faith in you with respect to abilities.
2. Fill in the blanks with appropriate words:
 - a) A set way of thinking which tends to occur subconsciously because of which people fail to think differently as per need of hours is called as.....
 - b) Sometimes, too much cooperation can.....the team's best ideas from being shared.
3. Match the following:

Column A	Column B
(a) Lack of committed resources	(i) Environmental hindrances
(b) Need for conformity	(ii) Tactical hindrances
(c) Lack of follow up	(iii) Personal hindrances



WHAT YOU HAVE LEARNT

1. Creativity is not only desirable and essential but also vital for the success in the present fast- changing business scenario where customers are treated as king.
2. Entrepreneurial creativity gives competitive edge over others whereas for customers it increases the level of satisfaction and feeling of superior being use of new distinct featured product.
3. Awareness about ingredients of creativity is indispensable. These are knowledge, motivation, passion and self-discipline.
4. The focus points of creativity by the entrepreneur are customers, unique and relevant product and services to the market, acceptance of failure, diverse talented pool and frugality.
5. There are certain techniques through which useful creative ideas can be developed but the most important technique is brainstorming which is widely used in business circles.
6. Creating creativity is not job. It has some barriers which discourage creativity. These are environmental hindrances, tactical hindrances and personal hindrances.
7. Hindrances can be removed by suitable positive measures to boost creativity in the organization with respect to people and processes.



TERMINAL EXERCISE

1. What is entrepreneurial creativity?
2. What do you mean by ability?
3. What is meant by originality of imagination?
4. What are the ingredients of creativity?
5. What is lateral thinking?
6. What do you understand by brainstorming?
7. What is mind mapping?
8. One's destination is never a place, but a new way of seeing things. Explain.



Notes

**Notes**

9. Describe the necessity of creativity in entrepreneurship.
10. Explain environmental hindrances and measures to overcome them.
11. Explain tactical hindrances and measures to overcome them.
12. Explain personal hindrances and measures to overcome them.

**ANSWER TO INTEXT QUESTIONS****4.1**

1. (a) True (b) True (c) True
2. (a) Passionate (b) Satisfaction (c) Purpose
3. (a) (ii) (b) (iii)

4.2

1. (a) True (b) True (c) True (d) True
2. (a) Lateral thinking (b) Lateral thinking (c) Edward de Bono
(d) Mind maps (e) Brainstorming (f) Yellow hat
3. (a) (ii) (b) (vi) (c) (i) (d) (v) (e) (iv) (f) (iii)

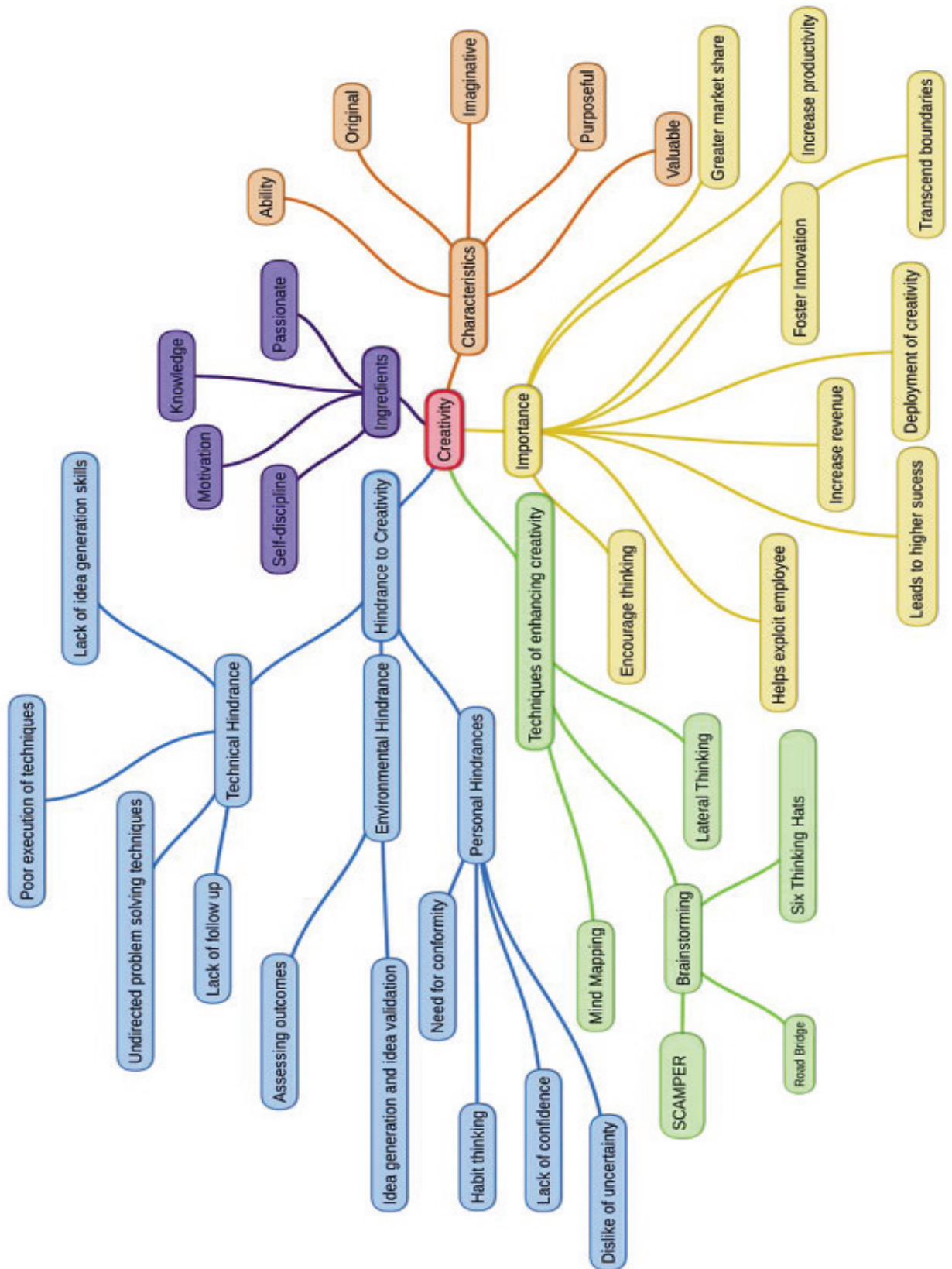
4.3

1. (a) False (b) True (c) True
2. (a) Habit thinking (b) Prevent
3. (a) (i) (b) (iii) (c) (ii)

DO AND LEARN

1. You probably watch television regularly. Make a team of three people and choose at least three different advertisements of daily use products. Write down the points of creativity used in that product and its messages or appeal.
2. Of late, it is said that the Indian automobile sector is in the grip of recession. Apply six hat technique of brainstorming to identify the causes and its solution.

CONCEPT MAP





249en05

5

NEED FOR INNOVATION AND VALUE ADDITION

Globalisation of the world economy created a paradigm shift in the world business scenario. Today, the entire world is the customer of global products manufactured in different countries. It has created the need for innovation to have a competitive edge over competitors. The leading companies must have innovative approach for the future challenges which differentiates them from the followers. Innovation is quickly becoming a survival skill. The saying, “Necessity is the mother of invention,” throws light on the fact that lack of something can inspire someone to imagine and create something to fill that space. However, not all people believe that this is true. They think that too much of something can lead to an invention. Many inventions are just a variation of something that already exists. Peter F. Drucker rightly said, “*The purpose of a business is to create customers; profit simply validates the business model.*”



LEARNING OUTCOMES

After studying this lesson, the learner will be able to:

- explain the meaning of innovation;
- differentiate amongst idea, invention and innovation;
- discuss the role of creativity for innovation and value addition; and
- describe the use of Intellectual Property Rights in the enterprise.



Notes

5.1 IDEA, INVENTION AND INNOVATION

When you see a mouse in your kitchen, you realize it can harm or damage eatables there. You quickly start finding ways to trap the mouse. If you do not have a mouse trap at home, you try to come up with other ways to guide the mouse out or to trap it. This example shows how necessity generates ideas. Depending on your creativity, you may come up with multiple ideas to rid your kitchen of the mouse. You may also think of fabricating a mouse trap using your ingenuity in what is popularly known as the *jugad* system. If you are successful, then you have actually solved a real problem by your inventiveness. If you think of commercializing the *jugad*, what you have invented will be known as innovation.

5.1.1 Idea

An idea or a business idea is centered on a product or service which can be offered in the market for financial gains. An idea is basic for the business without which nothing can move ahead, not even setting up the business. A person may have multiple ideas. Not all ideas are worth giving thought to. Only feasible and viable ideas have the strength to get converted into business.



5.1.2 Invent

To invent is to develop a new thing that did not exist. It can be a product or a service that provides a solution to the consumer's problem. Invention means to create a product of one's own ingenuity or experimentation for the first time. An **invention** is a "unique or novel device, method, composition or process." Thus, an invention is a new thing that someone has made. Examples of inventions are product designs, business models, or working prototypes. Specifically, it includes inventions like the Wright Brothers' aircraft, the Integrated Circuit by Jack Kilby and the Apple II computer introduced by Stephen Wozniak.





Notes

5.1.3 Innovation

Innovation is the manner in which the entrepreneur searches for new opportunities or presents it in a way that turns ideas into profits. The test on innovation lies in its success in the marketplace of ideas, rather than in its novelty alone. Innovation is the process of transforming creative ideas into useful products, services or methods of operation. In other words, innovation allows you to commercialize invented products. Therefore, innovation can take place in many aspects of business like:



- a) **New products** like smartphones, air purifiers
- b) **New production methods** like pre-packaged sandwiches
- c) **New markets** like Snickers/Mars ice cream
- d) **New organisational structures** like Dell
- e) **New sources of supply** like drop shipping
- f) **New way of doing business** like connecting all products and services under one application viz. Swiggy, Ola etc.

5.2 CONCEPTS OF INNOVATION

Generally, innovation includes three concepts:

- a) **Creativity:** It is the act of producing a new, useful idea, approach or action. Creativity is not just to think out of the box but to imagine that there is no box! Creativity involves the development of unique or novel responses to problems and opportunities such as e-ticketing and e-banking.
- b) **Improvements:** Generally speaking, the main purpose of innovation is to improve people's lives. This refers to continued efforts to do better on an existing machine or product, or find alternate means of achieving a process. Example: Making RO purifiers technologically advanced with a copper element.
- c) **Inventions:** Invention rights owners can produce products. An invention is a more mature part of the idea process. It is more tangible and easily defined; it can be patented or licensed. Example: Development of air purifiers.

5.2.1 Measuring Innovation: It can be measured in degrees.

- a) **Imitation:** Least degree of innovation. Takes another's idea and replicates it in a different market.



Notes

- b) **Incremental:** Moderate degree of innovation. Takes existing offer and makes it better in quality, speed, and in affordability. This is also known as evolutionary or continuous innovation.
- c) **Radical:** Greatest degree of innovation. Rejects the existing way and creates a completely different way of doing business. Also known as revolutionary, trans-formative or a paradigm shift.

5.2.2 Types of Innovation

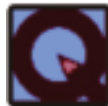
- 1 **Disruptive innovation** represents a new product or service that enters at the low end of the market and gradually moves up-market, displacing existing, established products. The change driving this disruption may, in itself, be a minor or incremental technological innovation.
- 2 **Radical innovation** represents a major technological breakthrough.
- 3 **Discontinuous innovation** is a new technology applied to solve an existing need in a new way. The HP Inkjet printer is the classic example here, having displaced earlier impact print head technologies with a new and better way to put ink on paper.
- 4 **Breakthrough innovation** is an “out-of-the-blue” solution that cannot be compared to an existing solution. Stereo lithography, or Three-dimensional printing, applied to model creation would be a good example here.

5.2.3 Importance of Innovation

- A. **For an organisation:** Innovation can deliver significant benefits to an organization. It is one of the critical skills for success in any business.
 - i. **Competitive advantage:** Innovation gives competitive edge over competitors. Product, services, method, process can all be innovated.
 - ii. **Maximize ROI:** Increased competitive advantage and continuous innovation often have a direct impact on performance and profitability.
 - iii. **Increased productivity:** Economic growth is driven by innovation and technological improvements, which reduce the costs of production and enable higher output.
 - iv. **Positive impact on company culture:** Innovation has a positive impact on company culture as it increases the ability to acquire, create and make the best use of competencies, skills and knowledge.
 - v. **Boost employee morale :** An organisation which gives freedom to employees to innovate, is often characterised by high morale.



- B. For society:** Innovation is important to the advancement of society as it solves social problems and enhances society's capacity to act. From society's perspective, the fundamental outcomes of innovation are:
- i. **Economic growth:** Technological innovation is considered a major source of economic growth. The purpose of innovation is to **come up with new ideas and technologies that increase productivity and generate greater output with the same input.**
 - ii. **Future of jobs:** Technological advancement and increased productivity result in increase in GDP which means major changes for careers.
 - iii. **Increased well-being:** In general, innovation and economic growth increases well-being because living standards rise.
 - iv. **Reduced sickness, poverty and hunger:** Developing countries depend on innovation in new digital technologies and innovative solutions create huge opportunities to fight sickness, poverty and hunger in the poorest regions of the world.
 - v. **Resource Optimisation:** Helps save resources by utilising them in the best possible way.
 - vi. **Environmental sustainability:** Sustainability and environmental issues such as climate change are challenges that require a lot of work and innovative solutions now and in future. Example: Innovation of paper bags leads to reducing use of plastic bags.



INTEXT QUESTIONS 5.1

1. State whether the following statements are TRUE or FALSE:
 - a) An invention is a unique or novel device, method, composition or process.
 - b) Innovation leads to invention.
 - c) Innovation is the process of transforming creative ideas into useful product, service or method of operation.
2. Fill in the blanks:
 - a) The purpose of innovation is to come up with new ideas and technologies that increase.....
 - b) Organisations which give freedom to employees to innovate, often witness high.....

- c) Technological advancement and increased productivity result in increase in.....
- d) Rejecting the existing way and creating a completely different way of doing business isdegree of innovation.



Notes

5.3 DIFFERENCE BETWEEN IDEA AND INVENTION

Idea	Invention
1. An idea is mind's eye or mind's image	1. An invention is a novel method composition or process. An invention is a unique or novel device, method, composition or process
2. Ideas aren't patentable	2. Inventions are patentable.
3. An idea is the outcome of your imagination is an unproven concept that comes from your imagination	3. An invention is next step to prove your idea. Invention is the result of that idea percolating and traveling the long road towards fruition.
4. An idea just a theoretical concept which needs to be proved. An idea is generally theoretical in nature and needs to be proved either with a solution or a prototype.	4. An idea does not automatically become an invention unless it is developed to provide a solution. An invention is the extension of the idea that is developed. You can't just focus on the invention if you don't explore the idea
5. An idea gives solution for a problem in an innovative manner which you derive through a thoughtful process or by experience. It's a light bulb moment that helps you solve a nagging problem that's been in the back of your mind.	5. An idea converts into invention when it proves it can solve a problem in a unique way. For an idea to become an invention, it needs to follow the path of most resistance.

5.4 DIFFERENCE BETWEEN CREATIVITY AND INNOVATION

Basis	Creativity	Innovation
Meaning	Creativity is the act of creation of new ideas	Innovation is the implementation of invention effectively into market
Process	Imaginative	Productive
Quantifiable	No	Yes
Money consumption	No	Yes
Risk	No	Yes

5.5 DIFFERENCE BETWEEN INVENTION AND INNOVATION

Basis	Invention	Innovation
1. Definition	New things that are made or created are called inventions	Commercialization of invention is innovation
2. Objective	- To solve a typical problem - To make a better useful product - To fulfill a gap in the market - To make a business out of it	- To grow and succeed business - To earn profits
3. Patent	Inventions can be patented or licensed.	Produced products may not be patented or licensed
4. Value creation	An invention may not create positive value	Has been adopted and proven to create positive value
5. Required skills	Primary scientific skills	Broad set of strategic, marketing and technical skills

5.6 VALUE ADDITION: CONCEPT

Value addition literally means, adding value to a product or services. An activity is considered value-added when the customer is willing to pay extra money for the additional output.

What creates added value?

- Quality: Does the product/service meet or exceed the customer's expectation?
- Functionality: Does it fulfill the required functional needs?
- Form: Is it useful?
- Place: Is it at the right place?
- Time: Is it right in time?
- Ease of Possession: Is it possible for the customer to purchase?

5.6.1 Types of Value:

The art of creating added value starts with the ability to see your business through the eyes of your customers. The value addition can be of the following types:



Notes

- a) **Functional Value:** Functional values or tangible values are physically presented or can be seen in a more visualised way, experienced or measured in some kind of process. Functional value refers to core characteristics of goods that could fulfill a person's practical needs such as possession, psychical attributers, reliability, ownership of a product etc.
- b) **Emotional Value:** Emotional values or intangible aspects are values that evoke positive feelings about a brand and product to motivate purchase. Emotional values are most appropriate for B2B and include attributes such as trust, peace of mind, security and credibility.
- c) **Expressive Value:** Expressive value is the way of thinking about the aspects of culture that are drawn on and used to commodify and circulate such products. These values are:
 - i. **Aesthetic value** includes beauty, harmony, and form.
 - ii. **Social value** includes community, duty, justice, and security.
 - iii. **Spiritual value** includes insight, awareness, truth, wonder and oneness. India's interesting religious mix of Hindu, Mulsim, Shikh, Buddhism, Christianity and Confucianism are sources of cultural dynamism that the country is working through socially and exporting as well.
 - iv. **Historical value** includes identity, time and continuity.
 - v. **Individuality** includes accomplishment, creation, redemption and validation.

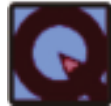
5.6.2 Role of creativity for innovation and value addition

Creativity is the source of innovation and value addition. Creativity leads to innovation and innovation ensures value addition. The key benefits to a business from innovation and adding value include:

- a) Charging higher price resulting increased revenue and profits
- b) Creating point of difference from the competition
- c) Protecting from competitors trying to steal customers by charging lower prices
- d) Focusing a business more closely on its target market segment
- e) Increased market share
- f) Competitive advantages with regards to logo on its products, packages, markets and how it delivers its products have competitive advantage over others and can sell its products at a much higher price.



Notes



INTEXT QUESTIONS 5.2

1. State whether the following statements are TRUE or FALSE:
 - a) Inventions are patentable.
 - b) Innovation has been adopted and proven to create negative value.
 - c) Value addition can be understood better when you see your business through the eyes of a competitor.
2. Choose the correct answer:
 - A. Which of the following way shows how value addition is done?
 - a. Increased profits
 - b. Increased turnover
 - c. Increased market share
 - d. All of the above
 - B. Spiritual value includes
 - a. Insight
 - b. Awareness
 - c. Truth
 - d. All of the above
3. Match the following:

Column A	Column B
(a) Functional value	(a) intangible aspects
(b) Emotional value	(b) tangible aspects
(c) Historical value	(c) identity, time, and continuity
(d) Aesthetic value	(d) includes community, duty, justice and security
(e) Social value	(e) includes beauty, harmony and form

5.7 INTELLECTUAL PROPERTY RIGHTS

The knowledge of Intellectual Property (IP) rights is a must in today's world. Intellectual Property refers to copyrights, patents, geographic indications, trademarks and other intangible assets.

IP rights:

- a) Provide incentive to the individual for new creations



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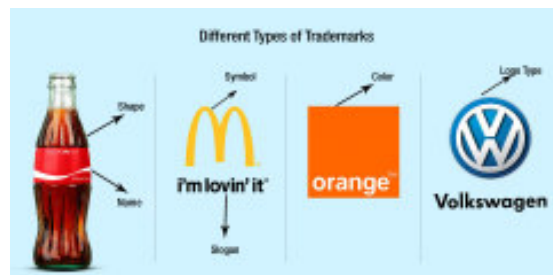
- b) Provide due recognition to creators and inventors
- c) Ensure material reward for intellectual property
- d) Ensure the availability of the genuine and original products

Intellectual Property Law comprises of the following laws:

- (1) Laws relating to Trademarks (Trade Marks Act, 1999)
- (2) Laws relating to copyright Artistic Work, Literary Work, Audio Video Records and Software (Copyright Act, 1957)
- (3) Laws relating to Industrial Designs (The Designs Act, 2000)
- (4) Laws relating to Patents (The Patent Act, 1970)
- (5) Laws relating to Geographical Indications. (Geographical Indications of Registration and Protection Act, 1999)

5.7.1 Trademark

It means any word, name, symbol or device or any combination used or intended to be used in commerce to identify and distinguish the goods of one manufacturer or seller from goods manufactured or sold by others. Symbols used for



trademark are as ®, !, ™. A registered trademark is symbolized by ®. A trademark is valid for 10 years from the date of application which may be renewed for further years on the payment of prescribed fees.

5.7.2 Copyright

Copyrights are provided for items like literary, musical, artistic works like songs, musical scores, poetry, paintings, sculpture, films, architecture, maps, technical drawings, computer programs, data base etc. Copy right is provided to the creators by providing exclusive right to the creator to use or authorize others to use their works. The reproduction in various forms, copying, printing, recording, public performance or adaptation are prohibited. A copyright protects a tangible form of expression, rather than the idea or subject matter itself. Symbols used for copyright are © + name + year. For



**Notes**

example, © Himalaya Publishing House, New Delhi, 2009. Duration of copyright is author's lifetime and then 50 years from the end of calendar year in which author dies. It is 50 years for film and sound recordings and 25 years for typographical arrangements of a published edition.

5.7.3 Patent

Patent is defined as the “grant of a property right to the inventor,” providing the owner “the right to exclude others from making, using, offering for sale, selling, or importing the invention.” Patentable items may include objects or processes such as new technology or business methods, but excludes more abstract items such as web sites or ideas. Terms of the patent are 20 years from the date of filing of all types of invention. Patent rights are territorial. There is no global patent.

5.7.4 Design

The Designs Act, 2000 for protection of the overall appearance of the product resulting from one or more visual features. Visual features encompass the shape, configuration, pattern and ornamentation of the product but do not extend to functionality. A design may consist of three-dimensional features, such as the shape or surface of an article, or of two-dimensional features, such as patterns, lines or colour. Even traditional craft items like hand-woven carpets and cotton bed covers can also be registered for protection as an industrial design.

5.7.5 Geographical Indications

The Geographical Indications of Goods (Registration & Protection) Act, 1999 is about indications and appellations of origin. It has signs used on goods that have a specific geographical origin and possess qualities, a reputation or characteristics that are essentially attributable to that place of origin. Most commonly, a geographical indication includes the name of the place of origin of the goods like Basmati rice of Dehradun, Darjeeling tea etc. so the product can be protected by laws and international agreements because they are the geographical indicators of source.

5.7.6 Trade Secret

A trade secret is a formula, process, device, or other business information that companies keep private to give a business advantage over business competitors. Intellectual property examples of common trade secrets include manufacturing processes, client lists, ingredients, systems, sales methods, launch strategies and business plans. Trade secrets are not registered with a governmental body.

It is a fact not publicly known and of which the owner has taken reasonable steps to maintain secrecy.

5.9 IMPORTANCE OF IPR

You may be surprised to know how your business can be protected by IPRs. Securing and protecting your IP could be essential to the future success of your business, so it is vital to understand your rights and how the law can help you. IPRs are important because they can:

- i. protect against infringement by others and ultimately defend in the courts your sole right to use, make, sell or import it
- ii. stop others using, making, selling or importing it without your permission
- iii. earn royalties by licensing it
- iv. exploit it through strategic alliances
- v. make money by selling it

Infringement constitutes: (a) any reproduction, use, distribution, performance, etc. of the work without the permission of the author/owner, (b) an identical or substantially similar production.



INTEXT QUESTIONS 5.3

1. Choose the correct answer:

Column A	Column B
(a) ©	(a) Registered Trademark
(b) TM	(b) Copyright
(c) ®	(c) Trademark

2. Multiple choice questions:

- (a) Intellectual Property Rights protection is critical to
 - (i) fostering innovation
 - (ii) creativity
 - (iii) imagination
 - (iv) empathy



Notes

**Notes**

- (b) The right which grants protection to the unique expression of ideas is called:
 - (i) Trademark
 - (ii) Patent
 - (iii) Copyright
 - (iv) All of the above
- (c) Which of the following is an example of copyright?
 - (i) © Himalaya Publishing House, New Delhi, 2009
 - (ii) Himalaya Publishing House, New Delhi, ©, 2009
 - (iii) 2009, ©, Himalaya Publishing House, New Delhi
 - (iv) Himalaya Publishing House, ©, 2009, New Delhi
- (d) Which of the following is an example of trademark?
 - (i) Name
 - (ii) Logo
 - (iii) Symbol
 - (iv) All of the above
- (e) A patent describes:
 - (i) an invention
 - (ii) creativity
 - (iii) expression of ideas
 - (iv) a design

**WHAT YOU HAVE LEARNT**

- An idea is a personal view or your intention which may also called as a mind's eye or mental image. Generally, the sources of new ideas are: consumers, existing products and services, distribution channels, (federal) government, research and development.
- Creativity does not merely mean only to think differently. It is more concerned with possible solutions to a problem. Creativity is learned through practice and the development of long-term creative potential depends on experience.

**Notes**

- An **invention** is a unique or novel device, method, composition or process that allows you to produce or manufactured goods. It may be registered.
- Innovation means commercialisation of a creative invention which occurs if someone improves or makes a significant contribution to an existing product, process or service.
- Value addition means adding some features in terms of functional value, emotional value and expressive value in existing products or services to reap the business opportunities.
- Intellectual Property Rights (IPRs) are legal rights that protect creations and/or inventions resulting from intellectual activity in the industrial, scientific, literary or artistic fields. The most common IPRs include patents, copyrights, marks and trade secrets.

**TERMINAL EXERCISE**

1. Name the source of generation of new ideas.
2. Define innovation.
3. What is creativity?
4. What is intellectual property?
5. Explain functional value.
6. What do you mean by value addition?
7. What is the use of copyright?
8. Discuss the benefits of innovation.
9. How is innovation helpful in solving social problems? Explain.
10. Differentiate idea, invention and innovation.

**ANSWER TO INTEXT QUESTIONS****5.1**

1. a. True b. False c. True
2. a. Productivity b. Morale c. GDP d. Greatest

MODULE - 2

Creativity and Innovation

Need for Innovation and Value Addition



Notes

5.2

1. a. True b. False c. False
2. A. (iv) B (iv)
3. 1. b 2. a 3. c 4. e 5. d

5.3

1. a. (ii) b. (i) c. (iii)
2. a. (i) b. (iii) c. (i) d. (iv) (i)

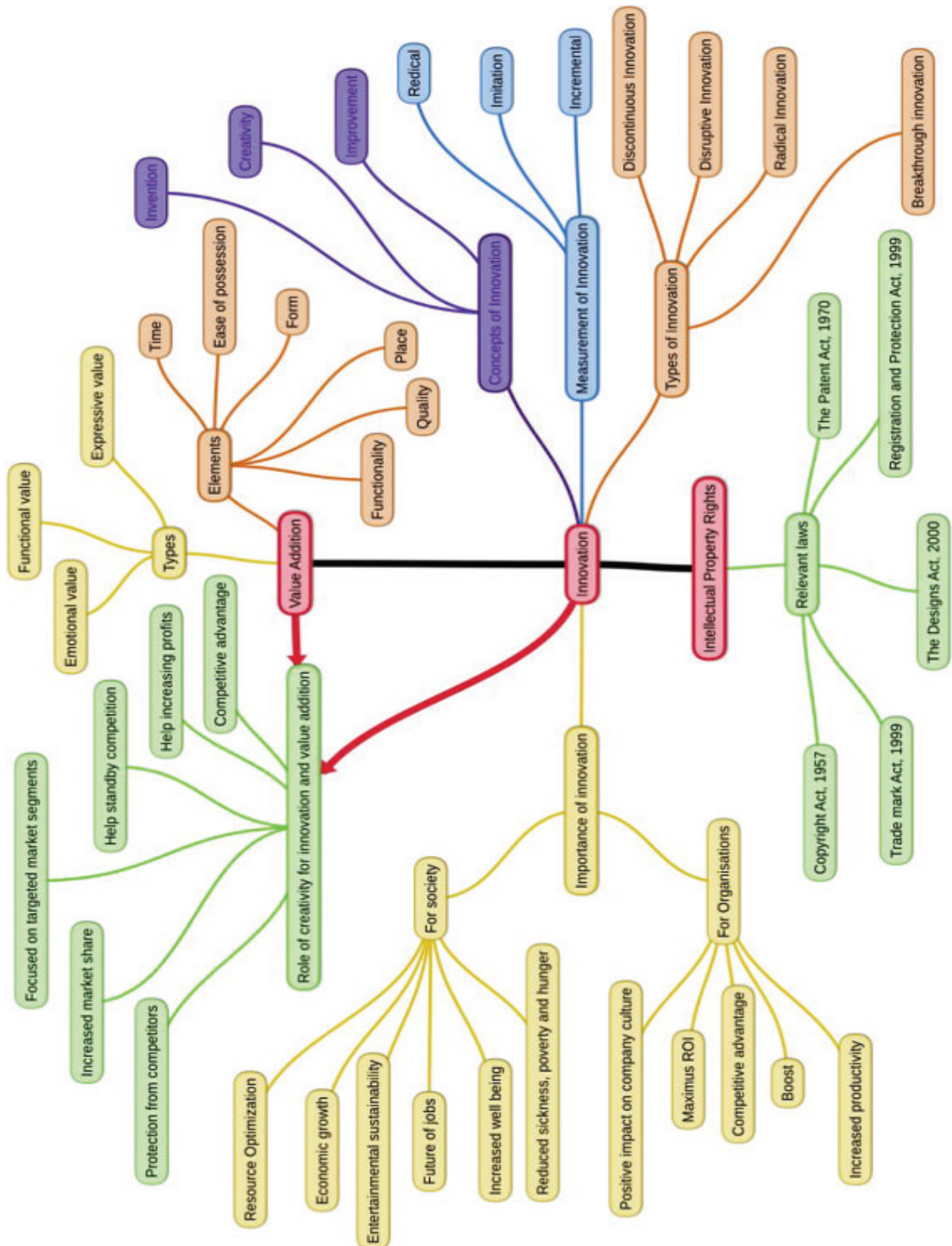
DO AND LEARN

1. Pick up any 10 products that your family and you use. For example, books, laptop etc. List them and identify mark of intellectual property rights in them.

S.No.	Product	Trademark	Copyright	Patent
1.				
2.				
3.				
4.				
5.				
6.				
7.				
8.				
9.				
10.				

2. Pick up five services and five products that your family and you use. List them and identify the creativity in them.

CONCEPT MAP





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6

ENTREPRENEUR AS AN INNOVATOR AND PROBLEM SOLVER

In the previous lessons you studied about creativity and innovation. You are aware that entrepreneurship is a creative process which leads to innovation of new products, processes, discovery of new knowledge, improvement in existing products and services, and development of newer and better ways of manufacturing products with lesser resources.

When the above-mentioned outcomes of innovation solve social problems, it is known as Social Entrepreneurship. The entrepreneur who brings about such an innovation is called a Social Entrepreneur. They look for opportunities in problems being faced by society.

Social entrepreneurs work to improve the living standards of society. Their objective is to bring about social change, not just to earn profits. They work for the betterment of society and specifically for the underprivileged.



LEARNING OUTCOMES

After studying this lesson, the learner will be able to:

- assess the role of innovation in solving social problems; and
- interpret real life situations in various sectors.

In lessons 2 and 3, you have studied in detail about entrepreneurs and entrepreneurship. So, by now, you are also familiar with their qualities and role in society and the economy. Let us now study about the characteristics and importance of social entrepreneurs and how they are different from commercial entrepreneurs.



Notes

6.1 CHARACTERISTICS OF SOCIAL ENTREPRENEURS

Some qualities shared by social entrepreneurs are:

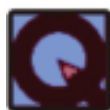
- **Ambitious:** Social entrepreneurs are highly ambitious and they do not accept *status quo* i.e. accepting the world as it is. They have the urge to find solutions to social problems and needs.
- **Social Catalysts:** Social entrepreneurs are aware of the problems of society and they look for opportunities to solve these problems. They act as change agents for society.
- **Innovative:** Innovation involves solving problems. Social entrepreneurs have contributed in numerous fields like education, health, environment and sanitation by finding valuable solutions for problems faced by the society.
- **Focus on Creating Social Value:** They are highly motivated to create social value and not work for personal monetary gains.
- **Resourceful:** They not only make use of readily available local skills, tools and resources to solve local issues, but also actively collaborate with others.
- **Accountable:** They are not satisfied with short-run solutions. They feel accountable towards their beneficiaries; therefore, through hard work, they provide long-term systematic solutions.

6.2 COMPARISON BETWEEN SOCIAL ENTREPRENEUR AND TRADITIONAL/COMMERCIAL ENTREPRENEUR

Social entrepreneurs are different from traditional/commercial entrepreneurs. For a social entrepreneur, profits are not the end result but a means to achieve social change and upliftment. Traditionally, as you have studied in lesson 2, entrepreneurs are opportunity seekers and are associated with establishing highly profitable business enterprises. The following table will help in understanding these differences.

Factors	Social Entrepreneur	Traditional/Commercial Entrepreneur
Objective	Identify and address long-term social issues	Identify and address unfulfilled market gaps
Driving force	Create social value and bring positive change in society	Create monetary value and increase personal wealth

Resources used	Use local resources, tools and skills to provide innovative solutions for social problems	Use all available resources and innovative ideas to establish business
Impact	Change agent and transformational leader	Transactional leader
Measurement of success	In terms of effect on improvement in social issues	In terms of financial indicators
Outcomes	Long term sustainable solutions for societal problems	Customer satisfaction, brand image and profit



INTEXT QUESTIONS 6.1

A. State whether True or False:

1. Social entrepreneurs work for profits.
2. Commercial entrepreneur is a transactional leader.

B. Fill in the blanks:

1. entrepreneurs create monetary value and increase personal wealth.
2. entrepreneurs provide long-term solutions for social issues.

6.3 STEPS IN SOCIAL ENTREPRENEURSHIP

1. Identify various problems and depending on the expertise and interest, select one.
2. Look for techniques and resources both human and others for finding alternate solutions.
3. Find as many different ways as possible for solving the problem.
4. Select the most effective solution and develop it into a feasible business plan.

Social entrepreneurs use local resources, tools, techniques and skills to find solutions for social problems. They work towards maximising the society's well being by working to promote social interest. They measure success in terms of extent of improvement and they have succeeded to make in the life of the people, rather than in terms of extent of profit earned.



Notes

6.4 ROLE OF INNOVATION IN SOLVING SOCIAL PROBLEMS

Social problems can be solved by innovation, which is important for advancement of society. That is because it solves social problems by enhancing the society's capacity to act. It strengthens efficient and sustainable ways for resolving collective problems. New technology plays a vital role by developing new products and services that caters to the need of society while using resources efficiently. Some real life examples are mentioned in this chapter for better understating of how social problems are tackled in real life situations and how these problems lead to developing business ideas.

6.5 REAL LIFE EXAMPLES OF ENTREPRENEURS IN SOME SECTORS

India is a vast country with a large population which has diverse needs and requirements. It is a developing country which faces numerous problems in the areas of health, sanitation, education, agriculture, environment to name a few. The Government of India, through its policies and programmes, works in bringing about improvement in these sectors, but that is not sufficient. That is where social entrepreneurs play an important role, because they find creative solutions for some of these problems.

It is important for individuals to rise to the situation and look for ways in finding solutions for various social issues that have been hindering growth and development. This also helps in improving the economic well-being of the underprivileged sections of the society.

ACTIVITY FOR YOU

Identify five problems that you face in everyday life.

Select one which is causing the most problem.

Think of possible solutions for the problem.

Write down the steps towards the solution.

Share your answer with your friends.

The following section provides an insight into how entrepreneurs have addressed some of the problems being faced in different sectors with creative solutions. The sectors covered are, agriculture, health care, education, hygiene, transportation, information technology and textiles.



Besides the case studies mentioned in this chapter, there are several other examples too that have impacted the society. The case studies selected are just for the purpose of giving examples from different sectors.

6.5.1 AGRICULTURE

eKutir

K.C. Mishra, a renowned social innovator, is the founder and CEO of eKutir, an enterprise based in Bengaluru. To provide a digital platform to farmers, eKutir has developed a website and an android application called Agri Suite that connects farmers with stakeholders such as soil-testing laboratories, suppliers of seeds and fertilisers, banks, exporters, branded retailers, insurance providers, micro-finance institutions and food-processing units. The main challenge was to create a simple, farmer-friendly user experience that would work both online and offline, given the poor internet connectivity in rural India.



Through a decentralised network of trained personnel called micro-entrepreneurs, eKutir has converted an exploitative and fragmented agricultural system into a collaborative and connected soil-to-sale model. They help farmers to use the App at the Gram Panchayat level. They assist right from creating a risk profile of a farmer to soil testing, crop planning, selection of quality and quantity of seeds and fertiers, and to finally selling the produce. These trained personnel earn around 10,000 per month for their services.

eKutir also provides data and information to farmers for sustainable land management, soil analysis, crop recommendation, nutrient management, avoiding crop diseases, promoting organic farming and precision agriculture, leading it towards a more sustainable model. This platform allows small farmers to make and receive payments, access loans, and also enables the government to provide targeted subsidies directly to the farmers.

By 2019, the App had impacted the lives of over 60,000 farmers in India, 12,000 in Cambodia and many in Nepal and Bangladesh and created numerous micro-entrepreneurs. This has led to an increase in the income of farmers by over 60 per cent, affected savings in cultivation costs by around 20 per cent and increased crop yields by upto 120 per cent.

6.5.2 HEALTH CARE

Jaipur Foot

Jaipur Foot, Bhagwan Mahaveer Viklang Sahayata Samiti (BMVSS) was

**Notes**

established in March 1975 by D.R. Mehta. Mehta met with a serious road accident that caused crush injury to his leg. Doctors advised to amputate the leg which saved both his life and limb. This incident caused Mehta to realise the problems that disabled face, especially the underprivileged. The idea of creating BMVSS, the Jaipur Foot organisation, was thus induced out of the pain which Mehta experienced for five months. He finally decided to set up BMVSS to provide artificial limbs, with a focus on rehabilitating the poor.



Even after first seven years after its development in 1968, hardly 50 limbs were fitted. Now, it provides for more than 16,000 prosthetic fittings every year.

With its headquarters in Jaipur, BMVSS has pan-India and international coverage. Besides its 23 branches across India, it also has two associate centres in Pakistan and three in Philippines, and a joint venture in Colombia. It has organised more than 50 fitment camps in 26 countries and helped in setting up of independent prosthetic fitment centres in Asia, Africa and Latin America.

Now, Jaipur Foot, (BMVSS), is the world's largest organisation providing rehabilitation to over 1.78 million disabled. Its services include rubber-based prosthetic leg for people, artificial limbs, calipers and other aids and appliances free of charge. The prosthetic leg made of polyurethane, which is durable and convenient to use, worked out to be reasonably priced, waterproof and quick to fit and fabricate.

Besides providing various services to the disabled, BMVSS also focuses on research and development. It has collaborated with Stanford University, USA; Massachusetts Institute of Technology (MIT), USA; the Indian Space Research Organisation; and Indian Institute of Technology (IIT), Jodhpur, Manipal University Jaipur, for research and development. Malaviya National Institute of Technology, Jaipur; National Institute of Technology, Delhi. Along with having agreements with several private companies for research, BMVSS also receives funding support from corporates.

The Stanford-BMVSS Jaipur Knee, research product of BMVSS and Stanford University, was acknowledged by Time magazine USA (November 23, 2009 issue) as one of the world's 50 best inventions in 2009. BMVSS has also been given Special Consultative Status with the Economic and Social Council of the United Nations Organisation for the various services it offers. The government of India gives financial support to Bhagwan Mahavir Viklang Sahyata Samiti to carry out its services.

**Notes****INTEXT QUESTIONS 6.2**

Choose the correct option :

1. Jaipur Foot provides :
 - (a) Prosthetic by
 - (b) Artificial limbs
 - (c) Calipers
 - (d) All of the above
2. eKutir provides a platform to:
 - (a) Farmers
 - (b) Women weavers
 - (c) Street vendors
 - (d) People below poverty line

6.5.3 EDUCATION**Ekal Vidyalaya**

Ekal is a story of social dreamers who joined hands from different parts of the country, who believed that change is possible through active participation of local communities and education can be the medium to bring that change in the far-flung parts of the country.



Rakesh Kumar Popli (an Indian nuclear physicist), Rajneesh Arora, Mahesh Sharma from IIT and Ashok Bhagat from BHU visited Bishanpur in Gumla district (presently in Jharkhand) in the year 1983 and conducted a study to analyse the tribal area. The study concluded that certain issues such as education, health, gender and economic disparities were a matter of deep concern. Rakesh Popli along with Rajneesh Arora started working on addressing to educational needs of the area and finally came up with informal methods of teaching to local communities and children. Thus, the foundation of experiment of single teacher schools was laid.

On the other hand, in 1985 Shyam Ji Gupta, a social activist, initiated the night school concept in Fulbani district in Orissa to ensure literacy among local communities. 400 night schools were started in villages where children



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accompanied adults. As part of the Vanyatra, Shri Shyam Ji Gupta inspired some affluent families from Kolkata to visit Fulbani district in groups to make them aware of the challenges faced by these tribal societies which later emerged as "Friends of Tribals Society". The dream of 'Ekal Vidyalaya Model' came true when Shyam Ji Gupta transformed an informal model of education into a selfless global cause, presently known as Ekal Abhiyan. Ekal Vidyalayas are controlled and managed by Gram Samitis.

The concept of One Teacher School evolved through the experience of imparting education in Gumla district in Jharkhand and night schools in Orissa. The concept was formally conceived in Gumla in June 1986 in a seminar that was organised to find out the way-out to illiteracy in tribal villages.

Besides education, Ekal's model for holistic development also strives for rural health, economic development, livelihoods and preservation of rich Indian cultural heritage. These Vidyalayas provide free, non-formal education to the children of 6 to 14 years of age operating for about 3 hours every day except Sundays.

Ekal's five-fold education model comprising of- Basic education, Health care education, Empowerment education, Development education and Ethics & Value education works with the primary objective of ensuring functional literacy among the children of the village. Ekal Vidyalaya also runs awareness campaigns on issues of national importance so as to aware village community about different government welfare schemes available with respect to RTI, Tree plantation, Bank Accounts, cleanness etc.

The school usually runs in a Chaupal or in a village courtyard or at teacher's home. The Acharya (teacher) preferably a female facilitates learning with the help of games, songs and dances. The curriculum covers reading, writing, arithmetic, general knowledge, basic science, health and hygiene awareness, moral education, local sports and crafts.

With several constraints and dearth of resources Ekal Vidyalayas were able to make a way through establishing around one lakh Ekal vidyalayas across the length and breadth of the country making the villages literate, aware, healthy, safe, self-sustained as well as united.

6.5.4 HYGIENE

Sulabh International

In 1973, Dr. Bindeshwar Pathak founded Sulabh International as a social service organisation which promotes human rights, environmental sanitation, non-conventional



**Notes**

sources of energy, waste management and social reforms through education.

Dr. Pathak grew up in a conservative Brahmin family in Bihar. As a child he once unknowingly touched a person from the community that cleans toilets. For this innocent act, his grandmother not only scolded him but also made him eat cow dung, drink cow urine and then poured Ganga Jal or water from the river Ganga to 'purify' him. The incident left a scar on the child's mind. He wondered why the community was treated inhumanly even though they have the same flesh and blood others do, and decided to do something for them.

When he grew up, Dr. Pathak studied the inhuman practice of manual scavenging and provided a solution in the form of low cost toilet technology. His technology is now popularly known as the Sulabh Shauchalaya System. By April 2019, Sulabh Shauchalaya had constructed 7,500 public toilets across the country that were used every day by over 10 million people. According to Dr. Pathak, "Nobody should go outside for defecation and every house in India should have a toilet."

Sulabh Shauchalya generates around Rs 500 crore every year. Sulabh International maintains around 8,500 public toilets with the help of 50,000 employees. Over 10 lakh manual scavengers have been connected to the mainstream by jobs at Sulabh Shauchalayas, and their children have been provided education for a better future.

He has also innovated the production of biogas by linking Sulabh toilets to fermentation plants that he designed over three decades ago. His vision is now becoming a byword for sanitation in developing countries all over the world. One of the distinctive features of Dr. Pathak's project lies in the fact that besides producing odour-free bio-gas, it also releases clean water, rich in phosphorus and other ingredients which are important constituents of organic manure. His sanitation movement ensures cleanliness and prevents greenhouse gas emission.

He has also contributed to verticals like bio-energy and bio-fertiliser, liquid and solid waste management, poverty alleviation and integrated rehabilitation programme for liberated scavengers.

In 1996, the technology developed by Dr. Pathak was declared a global Urban Best Practice at the Habitat-II conference in Istanbul. The Economic and Social Council of the United Nations granted Special Consultative Status to Sulabh in recognition of its outstanding service.

A Padma Bhushan recipient, Dr. Pathak has won several domestic and international awards like the Legend of Planet Award from the French Senate in Paris, ahead of World Environment Day, 2013.

The UNDP Human Development Report, 2003 has recommended the use of Sulabh Technology to 2.6 billion people in the world, especially in developing countries, who have no hygienic toilets in their houses. The technology is being used in countries like Afghanistan, Nepal, South East Asia, Africa and Latin America.



Notes



INTEXT QUESTIONS 6.3

I. State whether the following statements are true or false:

1. Ekal curriculum covers science and technology.
2. D. R. Mehta innovated the production of biogas by linking Sulabh tilets to fermentation plants.
3. Sulabh sanitation movement ensures cleanliness and prevents greenhouse gas emission.

II. Fill in the blanks:

1. _____ Model is an informal model of education.
2. Dr. Bindeshwar Pathak's technology is now known as the _____.

6.5.5 AUTOMOBILE

Ola Cabs

Bhavish Aggarwal, founder & CEO of India's most popular Cab Aggregator Ola Cabs started as an online cab aggregator in Mumbai and now resides in the Silicon Valley of India i.e. Bangalore. It has now started operating in United Kingdom, Australia and New Zealand.

As soon as he completed his Bachelors from IIT – B in 2008, he started working with Microsoft Research India. While he was in job, he often rented a car from Bangalore to Bandipur. Many a times, the driver of the car would stop on his way home and try re-negotiating the taxi fare threatening to abandon him midway his destination.

His entrepreneurial mind decided to solve the problem for common good at large. Besides having personal experience of the problem, he further researched and found that it was a genuine problem and a lot of passengers fall prey to such drivers and needed quality cab services. Despite lot of pressure from his parents, who saw it as a travel agent business, Bhavish could foresee the potential a cab booking service could have and made up his mind to launch Ola Cabs. Ola was the collective effort of Bhavish Aggarwal and Ankit Bhati,

**Notes**

owned by ANI Technologies Pvt. Ltd. He simply introduced a technology that connected the cab owners with the passengers through the smart phone.

He believed in “zero” inventory model and sticking to it, Ola didn’t buy even a single car, instead rented them. Ola partnered with a range of taxi drivers for their services. Besides providing integration devices free of cost, he wooed them by paying 5000/day tips + no salary provided they must complete one trip per day. Drivers did anything to work with Ola. Soon after their purpose was solved, the payment was reduced to half i.e. 2500/day and subsequently 750/day tips + salary providing tips only if they covered minimum 10 trips in a day.

By 2014, the company had a vast network with more than 2,00,000 cars across 100 cities an average of more than 1,50,000 bookings per day with over 60% of the market share in India, Ola raised about more than 1 billion from investors. Currently valued at about \$ 3.5 Billion, Ola continues to be one of the cheapest AC cab services.

6.5.6 INFORMATION TECHNOLOGY

Infosys

N.R. Narayana Murthy, the founder of Infosys, is often referred to as the father of Indian Information Technology. After completing M.Tech. in 1969 from Indian Institute of Technology, Kanpur, he worked with many organisations.



In 1981, Murthy founded Infosys along with five friends who were also software professionals like him. Today, Infosys is a leading global technology services company which provides end-to-end business solutions that leverage technology for clients across the entire software life cycle.

Infosys pioneered and perfected Global Design Model (GDM) for outsourcing Information Technology (IT) services from India and it changed the way traditional business models worked in the IT industry. This sparked an outsourcing revolution that brought billions of dollars of business into Indian economy and transformed the country into world’s back office. GDM has become a global outsourcing standard and has helped in creating and perfecting the science of global project management.

GDM provides clearly defined process guidelines emphasising the importance of information flow and communication. It meets various business challenges and addresses key skill gaps. The robustness of the model combined with infrastructure and quality orientation reduces risk for a client compared to conventional delivery models. It is based on the principle of taking work where



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it can be done best. Infosys serves clients worldwide and has presence in more than 45 countries.

Narayan Murthy is the recipient of India's most prestigious awards, Padma Vibhushan (2008) and Padma Shri (2000). According to him, honesty, transparency and moral integrity are the hallmarks of long-term success and the working of Infosys is based on this ideology. Infosys has also set new standards in good governance, corporate governance and morality.

6.5.7 TEXTILES

Khadi INDIA

Soon after Independence, the All India Khadi and Village Industries Board was established by the Government of India, which later in 1957 became the Khadi Village and Industries Commission (KVIC). Since then, KVIC has been working towards the development of khadi industry in India.



In the beginning of 90s, as we moved towards industrial fashion, khadi - the signature fabric of India, was marked as a fashion statement. In 1989, KVIC organised the first ever khadi fashion show in Bombay, showcasing over 80 styles of khadi. In 1990, Ritu Beri presented her first khadi collection at the prestigious Tree of Life show held at Delhi's craft museum. Beri, is now an advisor to KVIC working to take khadi to the global arena.

With the start of 21st century, leading Indian designers like Sabyasachi, Wendell Rodricks, Rajesh Pratap Singh and others began experimenting with this eco-friendly fabric, known for its rugged texture and comfortable feel and have accepted the challenge to reinvent it into a high- fashion wear.

Khadi, the fabric of freedom is recording increasing sales year after year, especially after 2014 with PM Narendra Modi's initiative of using 'Khadi for economic transformation'. Total average Khadi sale, which was Rs 914 crore during the year 2004 to 2014, jumped from Rs 1,081 crore in 2013-14 to Rs 2,510 crore in 2017-18, touching an all-time high of Rs 3,200 crore in FY19.

With the establishment of 375 new Khadi institutions after 2015, the average export of Khadi and village industries grew to Rs 2014.75 crore in 2015-2018 from Rs 87.77 crores in the 10 years' span between 2004 and 2014 reporting a huge growth of 133.28 percent. Besides a total of 18 sales outlets of KVIC, various Khadi institutions across states own 8,062 of them.

MODULE - 2

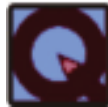
Creativity and Innovation



Notes

Entrepreneur as an Innovator and Problem Solver

Companies like Raymond sourced 7.26 lakh metres of grey khadi fabric, whereas Arvind Mills procured around one million square metre of Khadi denim from Khadi institutions to manufacture and sell garments under their own brand names. KVICs, tapping the corporate gifting segment received orders of Rs 46 crore from ONGC, Rs 43 crore from Indian Oil Corporation and Rs 11-crore deal from Oil India in 2017-18 while tying up with several PSUs for gift coupons to their employees to shop at any Khadi store within a stipulated period. Also, 83,000 postmen across states will be given Khadi uniform as a collaborative effort with the department of posts.



INTEXT QUESTIONS 6.4

I. Fill in the blanks:

1. _____ has now started operating in United Kingdom, Australia and New Zealand.
2. _____ works towards the development of khadi industry in India.
3. _____ is a leading global technology services company.

6.6 CONCLUSION

These case studies throw light on how entrepreneurs have worked hard to improve the lives of many people. They prefer action instead of passively observing problems. Thus, they make the world better.



WHAT YOU HAVE LEARNT

- Social entrepreneurs work not just work to earn profits but to bring about a social change and thus work to improve the living standard of the society.
- Social entrepreneurs have some special characteristics. They are ambitious, innovative, resourceful and accountable. They act as social catalysts with a focus on creating social value.
- Social entrepreneurs profit is not an end but a means to achieve social change and upliftment whilst traditional entrepreneurs create monetary value and increase their potential wealth.
- Social entrepreneurship identifies various problems and selects one. It looks for techniques and resources for finding alternate solutions and finds

**Notes**

possible ways for solving the problem. It selects the most effective solution and develops into a feasible business plan.

- Entrepreneurs have addressed some of the problems faced by the society with creative solutions. These sections cover food, health care, education, hygiene, transportation, information technology and textiles.

**TERMINAL QUESTIONS**

1. Define social entrepreneur and explain their characteristics.
2. How are social entrepreneurs different from commercial entrepreneurs?
3. Name two entrepreneurs who have worked for a social cause. Give reasons for naming them. Explain how they have improved the lives of people.
4. Name any one entrepreneur and discuss their contribution in the field.

**ANSWERS TO INTEXT QUESTIONS****6.1**

- A. 1) False
2) True
- B. 1) Commercial
2) Social

6.2

1. (d) All of the above
2. (a) Farmers

6.3

- I. 1. False 2. False 3. True
- II. 1. Ekal Vidyalaya 2. Sulabh Shauchalaya System

6.4

- I. 1. Ola Cabs

MODULE - 2

Creativity and Innovation



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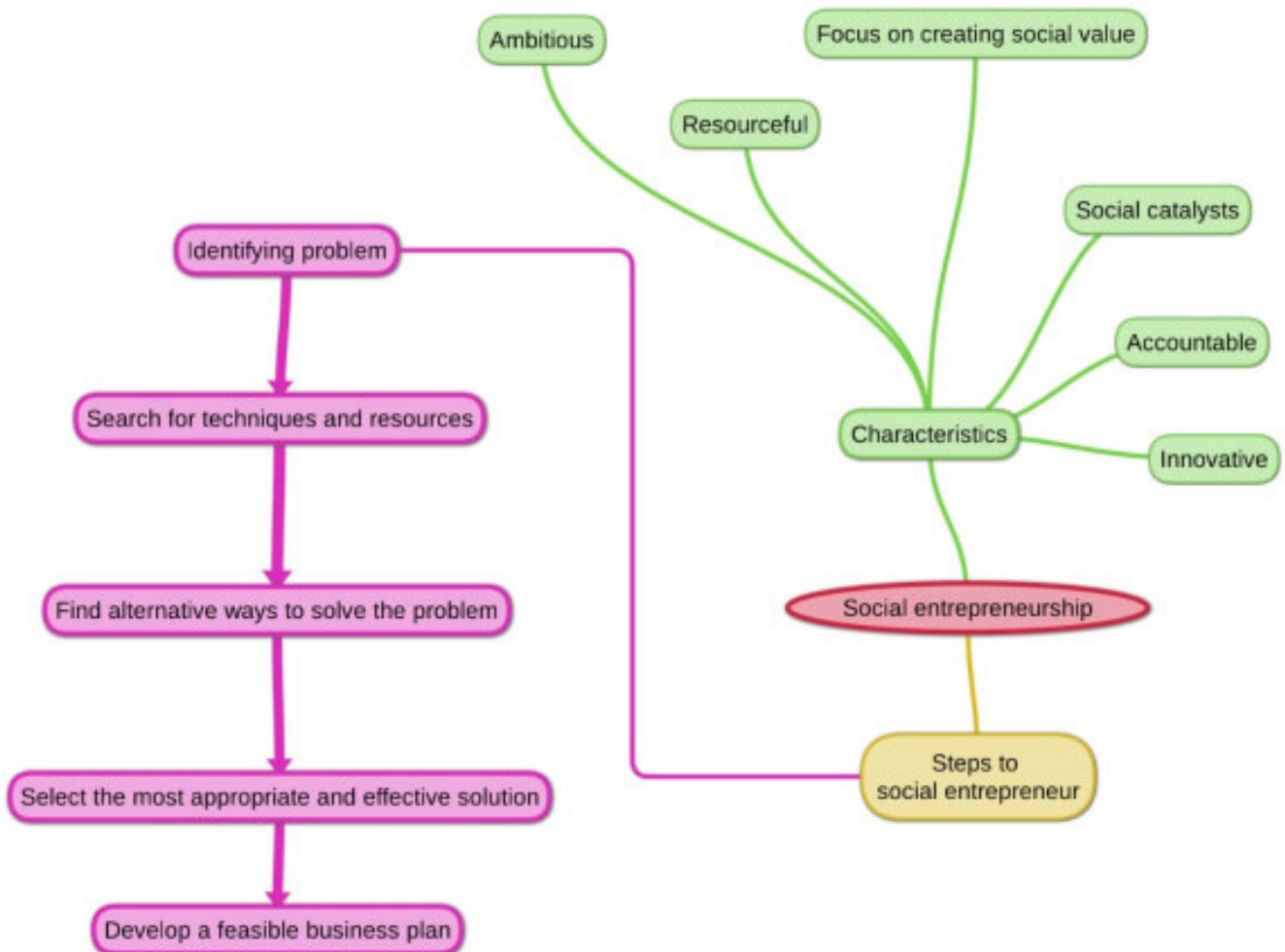
Entrepreneur as an Innovator and Problem Solver

2. Khadi Village and Industries Commission (KVIC)
3. Infosys

DO AND LEARN

1. You are now familiar with how many real-life problems were solved by different entrepreneurs. Identify atleast one social problem in your vicinity and suggest how you would solve it. Discuss with your friends and check if they have better/more solutions for the same.
2. Collect articles from newspaper on latest innovations by entrepreneurs and prepare a presentation.

CONCEPT MAP





249en07

Module 3

ENTREPRENEURIAL MOTIVATION

Maximum Marks - 18

Study Hours 45

Entrepreneurial motivation includes various factors which stimulate desires and activates enthusiasm in entrepreneurs which make them attain a particular goal. This module focuses on entrepreneurial values, attitude, motivation and ethics. Different concepts of motivation has been briefly introduced along with case studies of successful entrepreneurs.

Lesson 7 Entrepreneurial Values and Motivation

Lesson 8 Entrepreneurial Values and Motivation

Lesson 9 Successful Entrepreneurs



ENTREPRENEURIAL VALUES AND ATTITUDES

In the last lesson, you learnt about the role of innovation to solve societal problems and how to interpret various real-life situations in different sectors. Entrepreneurs are motivated by their dream of tapping ample opportunities in the market. The attitude of entrepreneurs shapes their behaviour. An entrepreneur needs to be highly motivated in conducting business activities and face all challenges on the way. Lastly, entrepreneurs must follow an ethical value system. In this lesson, we will learn about the entrepreneurial motivation, values and ethics.



LEARNING OUTCOMES

After studying this lesson, the learner will be able to:

- understand entrepreneurial values and attitudes;
- interpret the need for motivation; and
- outline ethics in business.

7.1 CONCEPT OF VALUES

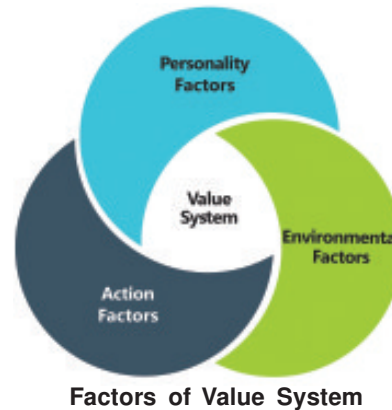
Values are the basic beliefs or convictions that make one choose a specific mode of conduct over other paths. According to Milton Rokeach, “Values are beliefs that guide actions and judgment across a variety of situations.” For example, an entrepreneur is expected to give true and correct information related to his business.

In simple terms, values are the important traits of personality that affect an individual’s behaviour. Values define the good or bad considerations in any society just as they define the objectives of business along with how business

**Notes**

affairs need to be conducted i.e., policies and practices of a business. For example, sale of adulterated goods and false weights are considered inappropriate.

Values are generally learnt from the family, education, religious beliefs and other social institutes the person is living in. As Figure 7.1 shows, values are a combination of personality factors, environmental factors as well as action factors.



7.1.1 FEATURES OF VALUES

The basic features of values are:

1. Standards of morality are reflected in the value system.
2. Values are beliefs central to every individual.
3. Values are permanent. It is difficult to change the value system of any individual.
4. Values describe the code of conduct of any activity.
5. Values help to understand attitudes of people.
6. Values influence the decisions of entrepreneurs.
7. Values also define work ethics.

7.1.2 SOURCES OF VALUES

An individual's value system is a combination of values from various sources. The most important sources of values are:

1. **Family Factors:** The family is the first source of values. People learn their basic values from their family. For example, child rearing practices.
2. **Social Factors:** Social circles to which people belong also have an impact on their valuesystem. Example: discipline in school.
3. **Personal Factors:** The personality of an individual also impacts the person's value system. Example: Intelligence level.
4. **Cultural Factors:** Values, beliefs and norms are a part of every cultural structure. These cultural values are passed from one generation to another. Example:How to welcome guests.

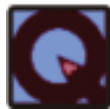


5. **Life Experience:** The experiences of people also influence their value system. An individual learns from her or his own actions. For example, a person with 40 years of experience will have a different value system in comparison to a person with two years of experience.

7.2 CORE VALUES AMONG ENTREPRENEURS

Research has highlighted the following values of entrepreneurs:

1. **Honesty:** It is essential for an entrepreneur to be honest to all stakeholders. In the absence of honesty, entrepreneurs will not be able to sustain themselves in the market for long.
2. **Reliable:** An entrepreneur must be reliable in all dealings. The quality of products, services and decisions must be reliable.
3. **Respect:** An entrepreneur must respect all stakeholders, whether customers, suppliers, investors or workers. Disrespecting any stakeholder might hinder the entrepreneur's reputation and business dealings. An entrepreneur must also respect goals regarding work, time and business.
4. **Foresighted:** Foresight comes through his education and intelligence. An entrepreneur must be able to assess future risks and accordingly plan business activities to safeguard from uncertainties.
5. **Innovation and creativity:** An entrepreneur must be able to think out of the box. It is one of the most important values if an enterprise is to become successful. These include new ideas, managing change, dealing with uncertainty while applying new ideas, portraying originality etc.
6. **Outstanding performance:** Entrepreneurs need to outperform the competition to shine in the market and to establish themselves. Entrepreneurs have to accept their mistakes and to correct them. They do not take shortcuts to complete work because there are no shortcuts to quality.
7. **Independence:** Freedom to express themselves is one of the greatest values entrepreneurs possess. Entrepreneurs are self-motivated and self-reliant.



INTEXT QUESTIONS 7.1

State whether the following statements are true or false:

1. Honesty and reliability are core values of an entrepreneur.
2. Values are not obtained from society.

**Notes**

3. Values are basic beliefs.
4. Personality factors, environmental factors and action factors together form one's value system.

7.3 CONCEPT OF ATTITUDES

Attitudes are psychological traits that shape people's behaviour. Schermerhorn, et al., defined attitude as predisposition to respond in a positive or negative way to someone or something in one's environment. Attitude defines the positive and negative feelings about a place, persons, objects, and other things.

7.3.1 FEATURES OF ATTITUDES

1. Attitudes shape the behaviour of every individual.
2. Attitudes are a psychological phenomenon.
3. Attitudes are not acquired in a day but over a period of time.
4. Attitudes are pervasive.

7.3.2 SOURCES OF ATTITUDES

Attitudes may be attributed to a variety of sources.

1. **Personal experiences:** People gain attitudes from their personal experience. The attitude of one person may be different from another person even in the same conditions. For example, two subordinates might have differing personal experiences with their supervisor. Ultimately, each will have a different attitude to his superior.
2. **Association:** Every action has an impact on a person's attitude. For example, if an employee is efficient and works hard for the company, the boss will have a positive attitude towards that person. Let us presume that after some time, a new employee joins the organisation, also works hard and efficiently. The supervisor may transfer appreciation to the new employee as well.
3. **Social learning:** Attitudes are also obtained from family, teachers and superiors.

7.4 ATTITUDES OF AN ENTREPRENEUR

Attitudes shape entrepreneurial behaviour. Some essential attitudes required for entrepreneurs are:

1. **Patience:** Entrepreneurship is not a one-day activity. At times, it takes

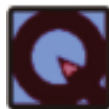


Notes

Entrepreneurial Values and Attitudes

long to establish oneself in the market and create a brand image. So, entrepreneurs need to be patient.

2. **Positivity:** Entrepreneurs must have the capability to take risk and stay positive. A positive attitude is not only required to conduct a business but also for the successful future of the enterprise.
3. **Perseverance:** Entrepreneurs need to put in regular, hard work to accomplish business goals.
4. **Resilience:** Entrepreneurship is not a old career option, so it is natural that entrepreneurs may be cornered for their choice to be an entrepreneur. In such times, entrepreneurs need to be extremely resilient to achieve their goals.
5. **Imagination:** Entrepreneurs are considered visionaries. To tap market opportunities, entrepreneurs must use their imagination.
6. **Change:** Entrepreneurs have a positive attitude towards change. Entrepreneurs accept change and modify themselves accordingly.
7. **Performance:** Entrepreneurs are performers. They complete their tasks against all odds.
8. **Networking:** Generally, entrepreneurs have a good networking circle.
9. **Respect:** Entrepreneurs have a positive attitude towards their stakeholders like customers, suppliers and investors. They respect their stakeholders.



INTEXT QUESTIONS 7.2

Fill in the blanks:

1. Sources of attitude are personal experiences, association and
2. Attitudes shape the of every individual.
3. Attitude is a trait.
4. An entrepreneur must respect all

7.5 CONCEPT OF MOTIVATION

Motivation is a person's enthusiasm towards anything that has to be done, like, work. According to Robert Dubin, "Motivation is the complex forces starting

and keeping a person at work in an organisation. Motivation is something that moves the person to action, and continues him in the course of action already initiated.”

Motivation is a psychological process. The behaviour of human beings has a close relationship with motivation. According to Dalton E. McFarland, “Motivation refers to the way in which urges, drives, desires, aspirations, strivings or needs direct, control or explain the behaviour of human beings.”



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In the motivation process, the starting point is from unsatisfied needs. To satisfy these needs, the person becomes anxious and searches for possible ways to achieve those needs. While moving towards the goals, few more needs arise. Whether the goals are achieved or not, the person keeps working. This also reflects in his constructive or destructive behaviour.

7.5.1 FEATURES OF MOTIVATION

1. **Internal Feeling:** Motivation generally comes from within. It is an internal feeling. It is hard to observe motivation directly, since it is depicted in an individual's behaviour.
2. **Complex process:** Motivation of one person differs from the motivation of another person, even when both are engaged in same activity. Example: Two fashion designers will be having different level of motivation.
3. **Continuous process:** Motivation is not a one-time activity. An individual needs to be continuously motivated to achieve targets.
4. **Dynamic process:** The needs and goals of every individual keep changing, as does their motivation level. Example: A student may study hard to score well and get a job in the relevant industry. After some job experience, the same person will work hard for promotions and also for a better lifestyle.
5. **Different from satisfaction:** Motivation is the desire to achieve something. Satisfaction comes after the desired target is achieved.

7.5.2 SIGNIFICANCE OF MOTIVATION

Motivation is an important management function. It is practiced by all managers to continuously motivate their subordinates. The following factors make motivation significant for any activity or at any level:



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1. **Will to work:** Motivation creates the will to work. It is necessary to achieve organisational goals.
2. **Efficiency:** A motivated worker performs more efficiently than the non-motivated worker.
3. **Cooperation:** A motivated work cooperates more in the organisational activities than the non-motivated worker.
4. **Labour absenteeism:** If workers are motivated to work, labour absenteeism will be low.
5. **Good human relations:** The organization with motivated workers faces less friction among employees.
6. **Fewer complaints:** Motivated employees generally focus on their work and search for solutions to resolve problems rather than complain about them.
7. **Low wastage:** Motivated employees try to achieve efficiency and produce more quality products. This leads to low wastage of raw materials.

7.6 ACHIEVEMENT MOTIVATION

Achievement motivation may be understood by independently considering the words achievement and motivation. Achievement refers to success while Motivation refers to the psychological drive to be successful. Thus, achievement may be defined as the need for success or why and how people strive towards success and away from failure.

Motivation can happen when you :

- Have clear goals
- Visualize achievement
- Work towards the goals
- Anticipate possible risks
- Identify opportunities and threats
- Be patient while moving towards goals
- Take help from others to overcome roadblocks

7.7 HUMAN MOTIVES

Human motives give a reason to do something. Motives drive human beings to go ahead. For example, if you want to become a dancer, you have to practice

**Notes**

dance and strive towards mastery in atleast one dance form. Human motives are broadly classified as:

1. **Biological motives or physiological motives:** These are basic motives and these are needed to satisfy human needs. Example: thirst, hunger. You need water to satisfy your thirst and food to satisfy your hunger.
2. **Psychosocial or social motives:** These are mostly acquired from family, friends, social groups, etc. These needs arise from:
 - i. Need for affiliation
 - ii. Need for power
 - iii. Need for achievement
3. **Curiosity and exploration:** The curiosity to explore more and search for better techniques will always fuel motivation.

7.8 MOTIVATION AND ENTREPRENEURSHIP

Factors motivating entrepreneurs and qualities they need to achieve are:

1. **Innovation:** New innovations and creativity motivates entrepreneurs to work more and more. Entrepreneurs are always ready to adapt to change and they modify themselves according to the need of an hour.
2. **Self-confidence:** Entrepreneurs are not discouraged by mistakes and failures. They have the self-confidence to overcome difficulties and they can also go an extra mile to achieve their targets.
3. **Future orientation:** Entrepreneurs have the tendency to look forward and plan for the future. They learn from past mistakes and rectify them to achieve their long-term goals.
4. **Responsibility:** Entrepreneurs like to take responsibilities for necessary activities and take blame for their actions. At the same time, they want recognition for their work.
5. **Feedback:** Entrepreneurs search for continuous feedback of their actions. They do so to take corrective actions on time.
6. **Tolerance level:** Entrepreneurs have high tolerance level. Even if actions do not move in a planned manner they maintain their tolerance level and take actions accordingly.
7. **Achievers:** Entrepreneurs are never satisfied with what they have in their hands. They always crave for more and better goals to achieve.
8. **Maintain relationships:** Entrepreneurs generally maintain good



Notes

relationships with all stakeholders. This helps stakeholders to feel motivated and contribute their best for the organisation.

9. **Mobility:** Entrepreneurs are not fussy about their geographical location. They are motivated to move in different areas to achieve efficiency and higher profits.



INTEXT QUESTIONS 7.3

State whether following statements are true or false:

1. Biological Motives, psychological motives and curiosity are human motives.
2. Motivation leads to efficiency and cooperation.
3. Motivation is not an internal feeling.
4. Motivation and satisfaction are same concept.
5. Motivation gives self-confidence.

7.10 BUSINESS ETHICS

Ethics can be defined as the rule of conduct or moral principles. These are acceptable and unacceptable actions in any society. Business ethics are the special study of morality which applies on policies of business, institutions and behaviour of entrepreneurs. Various laws give atleast basic ethical standards for any business activity. Of late, companies practice ethics on their own to maintain their reputation and higher standards in the market.

7.10.1 FACTORS GOVERNING BUSINESS ETHICS

The following factors govern business ethics:

1. **Legislative framework:** In earlier times, ethics were followed voluntarily, but due to many unethical practices, laws came into force. These laws provide basic standards for any organisation to be followed.
2. **Regulatory framework of the government:** The government from time to time check whether the business houses are following ethical practices or not. The government sets the minimum basic standards for product quality, weight, etc. The government also do campaigning to make customers aware about the corporate defaults. For Example, Jago Grahak Jago campaign.
3. **Corporateethical codes:** Most of the times, companies plan out their



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own ethical standards to be followed. These standards are circulated to all employees in the organisation and must be followed by them.

4. **Societal obligations:** Social pressures have significantly impacted the ethical structure of any corporate. For example, Maternity leave.
5. **Entrepreneurial vision and mission:** The vision and mission of any entrepreneur also influence the ethical standards of his business. For Example, Tata is known for its ethical standards.

7.10.2 RATIONALE FOR BUSINESS ETHICS

The following factors make business ethics important for every entrepreneur:

1. **Survival of business:** Any business will not be able to work in the long-run when their stakeholders feel that an organisation is following unethical practices. In other words, for any organisation to be successful it must follow ethical practices.
2. **Stable society:** Unless and until the entrepreneurs are not following the ethical practices then they will not be able to create and establish a stable society. Stable society helps entrepreneurs to grow and it also helps in economic and social development of a society.
3. **Business objectives:** The business objectives must be formed ethically and planning need to incorporate the ethical practices. This helps organisation to grow and establish itself for the long-run.
4. **Safeguarding public:** Any business impacts many people. By following ethical practices the entrepreneurs saves public from any malpractices.
5. **Understanding business:** By following ethical practices, entrepreneurs help themselves to be accepted in the society.

7.11 ENTREPRENEURSHIP AND BUSINESS ETHICS

The following factors make business ethics important for every entrepreneur:

1. **Basic human needs:** It is one of the basic human needs that the entrepreneurs should behave ethically. All entrepreneurial activities should be conducted ethically.
2. **Credibility:** An ethical enterprise is given more credibility by the society. People believe in ethical enterprise actions and their products more than the unethical one.
3. **Coordination:** An entrepreneur who follows the ethical standards is able



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to achieve better coordination among his employees, customers, suppliers, etc.

4. **Decision-making:** Ethical standards help in taking decisions of any enterprise. As ethics tells about what is right and what is wrong.
5. **Profits:** Ethical enterprise can also be a profitable enterprise. Ethical practices help enterprises to build their reputation in the market. This leads to long-term survival of any firm.



INTEXT QUESTIONS 7.4

Fill in the blanks:

1. Business ethics is basic need.
2. Business ethics is required for of business.
3. Business ethics are impacted by obligations.
4. Ethics are principles.



WHAT YOU HAVE LEARNT

- Values are basic beliefs or convictions to prefer specific mode of conduct over other mode of conduct.
- The main sources of values are family factors, social factors, personal factors, cultural factors and life experience.
- The core values among entrepreneurs are honesty, reliability, respect for all, innovation and creativity, outstanding performance and independence.
- Attitudes are psychological traits that shape people's behaviour. The prominent sources of attitudes are personal experiences, association and social learning.
- The prominent attitudes of entrepreneurs are patience, positivity, perseverance, resilience, imagination, change, performance, networking and respect.
- The person's enthusiasm towards his work is motivation. The basic features of motivation are it is an internal feeling, complex, continuous and dynamic process.
- Motivation leads to will to work, efficiency, cooperation, low labour absenteeism, good human relations, less complaints and low wastage.

**Notes**

- The prominent human motives are biological or physiological motives, psychosocial or social motives and curiosity.
- The factors that motivate entrepreneurs are innovation, self-confidence, future orientation, responsibility, feedback, tolerance level, goals, relationships and mobility
- Business ethics can be defined as the rule of conduct or moral principles for business activities. The prominent factors that govern business ethics are legislative framework, regulatory framework of the government, corporate ethical codes, societal obligations and entrepreneurial vision and mission.
- Business ethics are important for entrepreneurs due to basic human needs, credibility, coordination, decision-making and profits.

**TERMINAL QUESTIONS**

1. Define values. What are its sources?
2. Explain the role of values for an entrepreneur.
3. Define attitudes. What are its sources?
4. How attitudes shape entrepreneurs behaviour?
5. Define motivation and its features.
6. Explain the significance of motivation.
7. Elaborate the role of motivation for an entrepreneur.
8. What do you understand by business ethics?
9. Explain various factors which governs business ethics.
10. Elaborate the role of business ethics for an entrepreneur.

**ANSWERS TO INTEXT QUESTIONS****7.1**

- 1) True 2) False 3) True 4) True

7.2

- 1) Social Learning 2) Behaviour 3) Psychological 4) Stakeholders

MODULE - 3

Entrepreneurial Motivation



Notes

7.3

- 1) True 2) True 3) False 4) False 5) True

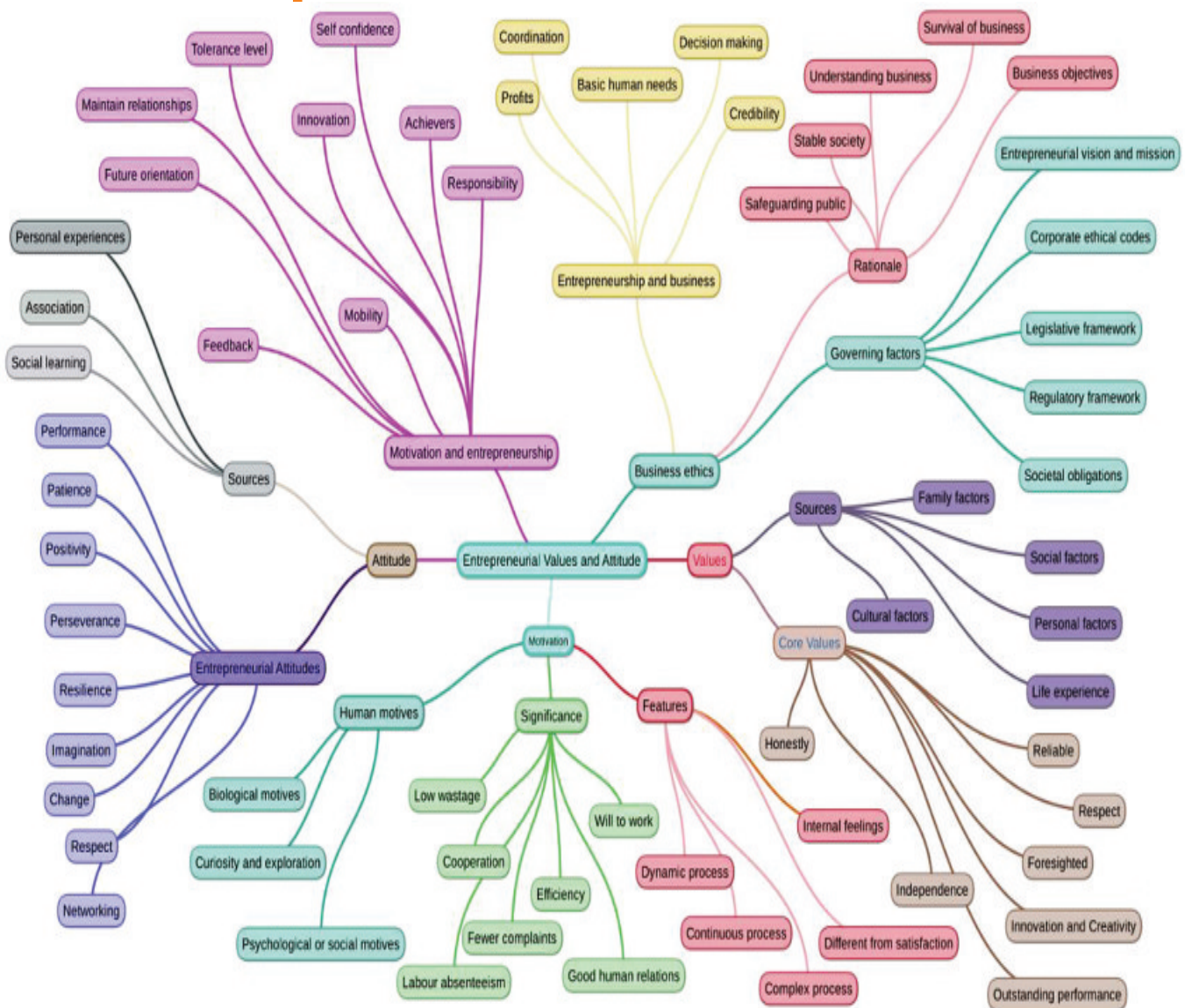
7.4

- 1) Human 2) Survival 3) Societal 4) Moral

DO AND LEARN

Make a list of any five entrepreneurs and their value system and ethical practices.

CONCEPT MAP





ACHIEVEMENT MOTIVATION

In the previous chapter, you learnt the meaning and features of motivation. In this chapter, you will get more insights into the concepts and theories of motivation.

Why are some people more successful? Why do some employees seem to enjoy their work more than others? The answers lie in the phenomenon that you have studied in an earlier lesson. Some individuals are highly work-driven because they are sufficiently motivated.

To be a successful entrepreneur, you not only need to be motivated yourself but you must have the capacity to motivate others. Even the most successful enterprises struggle to keep themselves relevant in a competitive environment without adequate motivation. Motivated entrepreneurs and motivated teams can turn any organisation successful. Without financial and psychological motivation, one is likely to avoid responsibilities and work. However, some people continuously complain even while they work about the work they do, the hours they put in and the salary they earn. A rational person is bound to question the concept of motivation here as the worker(s) don't appear to be motivated. Prima facie, they may not look motivated but they have certain needs to be satisfied and these needs serve as essential motivators for them to stick around and work. You will soon study about the hierarchy of needs as motivators. Similarly, an entrepreneur may be internally or externally motivated to take up a venture and make it a success. She/he may be driven by the desire to earn money, desire to achieve power or simply because she/he wants some sort of affiliation. You will also study about the Need Theory of Motivation in this lesson.

**Notes****LEARNING OUTCOMES**

After studying this lesson, the learner will be able to:

- classify theories of motivation;
- describe achievement motivation; and
- explain motivational theories for self-improvement.

8.1 MEANING OF MOTIVATION

The word motivation comes from the word 'motive' which means any purpose or idea or a stimulus to do or not to do something. Motivation can be positive as well as negative. Positive motivation inspires individuals or employees. Negative motivation discourages people from indulging in undesirable behavior. Negative motivation stops people from indulging in or repeating undesirable attitude or behaviour.

8.2 DEFINITIONS OF MOTIVATION

In the words of Robert Dubin, "Motivation is the complex of forces starting and keeping a person at work in an organisation. Motivation is something that moves the person to action and continues him in the course of action already initiated."

As Mamoria says, "Motivation is a willingness to expend energy to achieve a goal or reward. It is a force that activates dormant energies and sets in motion the action of the people. It is the function that kindles a burning passion for action among the human beings of an organization."

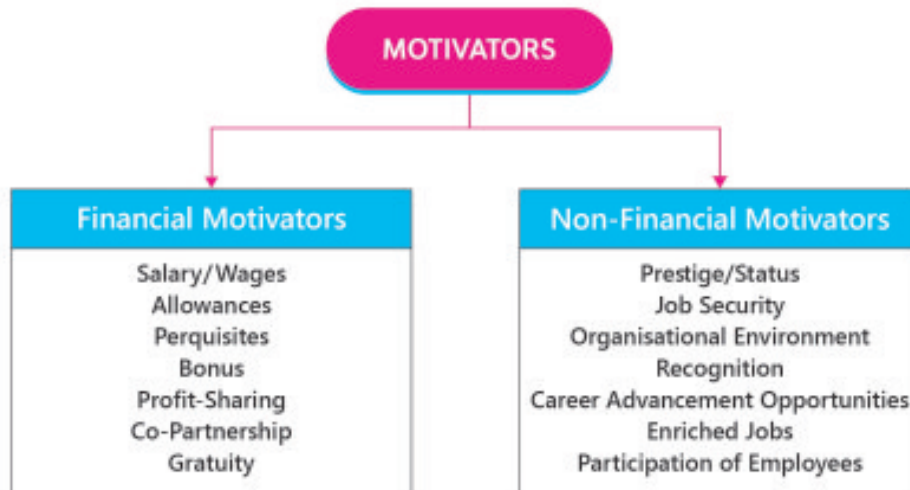
In the words of Buford, Bedeian, and Lindner, "Motivation is a predisposition to behave in a purposive manner to achieve specific, unmet needs." According to Woodworth, "Motivation is the state of the individual which disposes him to certain behavior for seeking goal."

8.3 FINANCIAL AND NON-FINANCIAL MOTIVATORS

It is imperative to understand the type of motivators that motivate entrepreneurs or employees. Identifying the correct motivators may help enterprises keep employees satisfied and motivated in the long term. Two broad categories of motivators include the financial motivators and non-financial motivators which are discussed in detail below:



Notes



8.3.1 Financial Motivators

Financial motivators are monetary benefits given to employees to motivate them and to keep them excited about the work they do. Financial motivators are the primary motivators but after a certain point of time they do not motivate the employees as much since the monetary needs are already satisfied to a great extent. The following are the financial motivators:

Salary/Wages: This is the basic purpose to work for most employees. They are willing to work or to provide their services in return of salary or wages. Salary or wages are paid at fixed intervals usually monthly, but in some cases, even on a daily basis.

Allowances: Allowances are monetary benefits given to an employee or worker over and above salary. Allowances are given to meet particular expenditures the employee may have incurred. Allowances may include House Rent Allowance, Dearness Allowance, and Travelling Allowance.

Perquisites: These are non-monetary benefits given usually to some classified employees but not limited to them. Perquisites are benefits which some employees, enjoy by virtue of their employment. For example, an employee may be provided with rent-free accommodation maintained by the employer or be given a car to travel from one place to other during employment.

Bonus Again, a monetary benefit given to employees usually at fixed intervals or after achieving certain specified goals. Bonus is usually paid in cash. Some employers give ceremonial bonus also like Diwali bonus.

Profitsharing: Profit sharing implies sharing a certain percentage of profits with employees over and above their salaries. Profit sharing is different from bonus. Bonus may be given even if there is no profit in a particular year to keep the employees motivated and happy but profit is shared with employees as an incentive only if the organisation earns profit in the particular year.



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Co-partnership: Co-partnership goes one step ahead of profit sharing. Under co-partnership, employees are regarded as partners or members of business. Workers will share not only profits but also the ownership. Also, they will have participation in control and management of the organisation.

Gratuity: Gratuity can be understood as a sum of money paid by an employer to employee for services to the organisation. Gratuity is usually paid at the time of an employee's retirement.

8.3.2 Non-financial Motivators

Non-financial motivators are secondary motivators which are put to use when financial motivators no longer help in motivating the employees of enterprise. These motivators are primarily employed for employees placed at higher levels in enterprise hierarchy. They include:

Prestige: Prestige or status comes from the position in the organisation. This type of motivator works best for employees at comparatively higher level of hierarchy as their basic physiological needs are already fulfilled. Employees at a higher level of hierarchy are less likely to be motivated with monetary benefits. However, social and esteem needs serve as great motivator for them.

Job security: Job security means stability in a job. An employee who is always afraid of losing the job is unlikely to be motivated towards organisational goals. Such an employee will not be able to work to the best capabilities. So, an employee who is sure of the tenure of the job and does not fear dismissal is likely to be highly motivated and work better.

Organisational environment: It implies the extent to which the environment or culture of the organisation is cohesive. An employee is likely to be more motivated and willing to work in a cohesive environment as against when the organisational culture is hostile. Cohesive work environment here means good relations with supervisors, subordinates and peers.

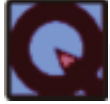
Recognition: Every employee wants to stand out in the organisation. So, recognizing the efforts of employees and rewarding them helps build and boost their morale.

Career advancement opportunities: Every employee wants to grow in the organisation and if they do not see any growth opportunity, they are likely to leave the organisation. Therefore, it is imperative to provide them the opportunities to advance their careers within the organisation. Promotion may be the easiest form of career advancement scheme.

Enriched Jobs: Job enrichment also serves as a motivator for employees since the relative importance of the job goes up. Employees feel that they have a

better role to play, better rights and responsibilities and they are in a position to make independent decisions.

Participation of employees: An employee who participated in the process of setting goals is likely to put in best efforts to achieve that goal. Employees personally attach to such goals that they help in setting and they feel highly motivated and satisfied when it comes to achieving these goals.



INTEXT QUESTIONS 8.1

State if the following statements are true or false:

1. Motivation can be both negative and positive.
2. Motivation is a one-time event.
3. Perquisites are monetary benefits given to employees.
4. Career advancement opportunities are non-financial motivators.
5. Motivation drives goal-oriented behaviour.

8.4 THEORIES OF MOTIVATION

An entrepreneur is expected to organise various resources for the enterprise. Resources can broadly be of two types: human resources and non-human resources. The major difference between human and non-human resources is that non-human resources require the investment of capital, thereby these can be put to use and start functioning as soon as the entrepreneur is willing to pay for them. Human resources not only require capital investment but also require essential skills, abilities and willingness to work. While the ability and the skills to work can be achieved through educational and training programs, willingness to work comes from motivation. This motivation may come from financial or non-financial motivators discussed above but the decisive capabilities as to which motivator to use comes from experience and depend upon situations. McClelland and Maslow attempted to formally put these situations into motivation theories.

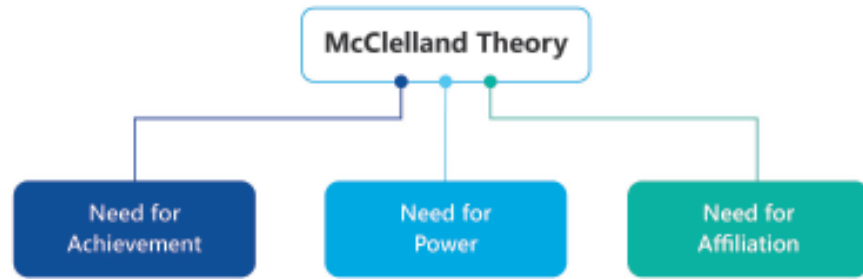
8.4.1 McClelland Theory

David McClelland developed the three-need model. He categorized the human needs into three parts unlike Maslow's need hierarchy theory where needs are classified into five parts. McClelland's theory contemplates that motivation comes from three types of need which are discussed here:

Notes



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1. **Need for Achievement:** The compelling drive to do things better and efficiently than others. People with high need for achievement find attainment of goals mentally satisfying and they give personal attention for achievement of such goals. But, this desire for achievement may not be present in all individuals and cultural factors may influence the level of this need. McClelland observed that people with high achievement needs differentiate themselves from others on the criteria to do things better. They prefer to take up challenging roles and appreciate quick feedback to improve their performance. Also, such individuals are intrinsically goal driven and not necessarily desire for material rewards.
2. **Need for Power:** Need for power is reflected in the desire to be able to control others. The desire to be dominant and be able to direct individuals. Those high in need for power may enjoy dominating others and prefer to be in status-oriented roles. Need for power can be categorised into need for institutionalised power and need for personal power. Individuals with high need for personal power are likely to use such power for personal gain while individuals with high need for institutionalised power are likely to command such power for the betterment of the organisation as a whole.
3. **Need for Affiliation:** The need to be adored and known by others is the need for affiliation. People with high need for affiliation prefer a more cohesive and cooperative situation rather than a competitive one. Individuals with high need for affiliation like to socialise with others to maintain and boost inter-personal contacts. Such individuals get intrinsic satisfaction when they socialise with others but such socialisation may sometimes hinder the process of goal accomplishment.

8.4.2 Maslow's Need Hierarchy Theory

The credit of development of the theory of need hierarchy goes to Abraham H Maslow who developed the need preference principal. Maslow developed the systematic understanding of motivation depending upon the needs. A human may have innumerable needs yet she/he chooses some needs to be satisfied first before going for other needs. So, the needs which are of utmost



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importance are taken care of first and then needs which are comparatively less urgent be satisfied later. Process of motivation, as per Maslow, begins with the assumption that individual behavior is directed towards satisfaction of needs. Maslow also hypothesised that needs are never fully satisfied. As soon as first need is satisfied, the other need arises. But these needs can be ranked in order of preference since a satisfied need stops serving as a motivating factor for individuals and therefore with satisfaction of one need one moves toward the other need(s). The theory of need hierarchy can be summarised through the following chart:



1. **Physiological Needs:** These needs pertain to the survival of human beings like food, shelter, clothing, air and water. These needs are the starting point for motivation theory.
2. **Safety and Security Needs:** People want a certain level of security in their lives to maintain a given economic level. Safety needs include both physical and economic safety. Physical needs may include safety from diseases and accident while economic safety implies security of income and provisions for old age.
3. **Social Needs:** Humans are social animals. They need to interact, to share their feelings, to exchange thoughts and ideas, to share joys and sorrows. So as soon as the first two needs are satisfied, we start looking for some sort of companionship.
4. **Ego Needs:** Ego needs can be of two types. They can be internally located or externally located. Internally oriented needs include self-confidence, knowledge and competence while external ego needs are related with the feeling of status or prestige that one commands by virtue of her/his position.
5. **Self-Fulfilment Needs:** This is a need to be fulfilled as a mission of life. This need, if satisfied, results in psychological satisfaction. After the four needs are fulfilled the person has desire for personal achievement.



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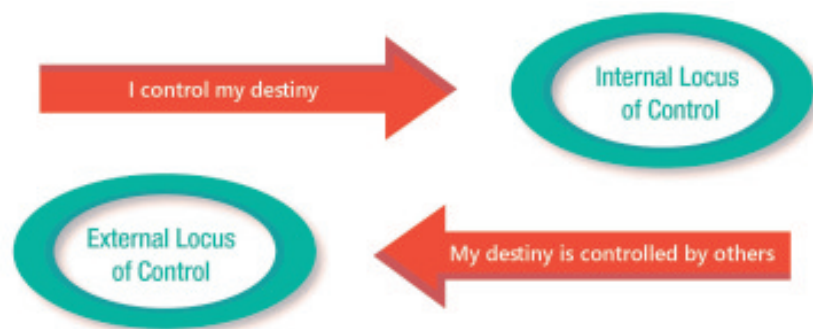


INTEXT QUESTIONS 8.2

Select the most suitable option out of the given options :

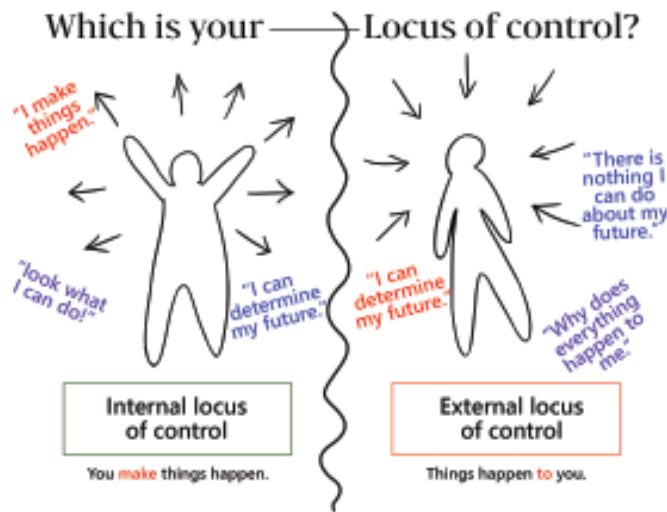
1. McClelland identified the following number of needs in his theory of motivation
 - a) 1
 - b) 2
 - c) 3
 - d) 4
2. Which of the following is not a need as per the need hierarchy theory?
 - a) Physiological needs
 - b) Esteem needs
 - b) Hygiene factors
 - d) Ego needs

8.5 LOCUS OF CONTROL



Locus of control is the extent to which an individual believes s/he has control over the outcomes of her/his actions in life. Individuals may have internal locus of control or external locus of control. Individuals with internal locus of control believe that they drive their destinies. They believe that whatever results they derive in life are due to their own actions. On the other hand, individuals with external locus of control blame or praise external factors rather than their own efforts. The concept of locus of control can be understood with a small example. Suppose a person is suffering from some chronic disease and is advised by the doctor to take certain medicines and also opt to a healthy lifestyle and exercise. Now, after a month the person gets better and healthy. If this person praises himself or herself for exercising and sticking to the schedule to maintain a healthy lifestyle this will be called an internal locus of control as the person gives credit to self for the results. If the same person praises the doctor for suggesting the right medication and food, the patient will be have an external locus of control.

The following image sums up the difference between internal locus of control and external locus of control.



Notes



8.6 SWOT ANALYSIS/SELF ANALYSIS

The credit of developing SWOT analysis goes to Albert Humphrey who conducted a research at Stanford University collecting data for many top organisations with a purpose to identify why organisational planning fail.

The outcome of the research resulted into SOFT (Satisfactory, Opportunity, Fault and Threat) initially but eventually became SWOT.

SWOT analysis is a technique based upon identification of Strengths, Weaknesses, Opportunities and Threats of persons or organisations. Here we will discuss about SWOT analysis in relation to persons. How can individuals use this technique to identify their Strengths to harness and Weaknesses to work upon? How can they identify the Opportunities to exploit or the Threats to avoid?

With the help of SWOT analysis, one can identify one's competitive advantage over others. Strengths and weaknesses may be internally driven but opportunities and threats are identified externally. To get the best out of oneself, the person has to achieve a fit between the internal factors and external forces. The word SWOT is nothing but an abbreviation for the four forces used in the technique which are discussed as below:

Strengths: The advantageous features that a person has over others

Weaknesses: Disadvantageous features that a person has in relation to others

Opportunities: Forces that a person can exploit or take benefit of

Threats: Forces that may cause trouble for the person



Notes

A typical personal SWOT analysis may look like the one produced in the figure below:

Strengths:

1. What advantages do I have over others?
2. What tasks I perform better than others?
3. What skills and resources do I have over others?
4. Do I have connection with people in authority?
5. What strengths do others see in me?

Weaknesses:

1. What are my weaknesses in relation to others in competition with me?
2. What are my toxic traits?
3. What weaknesses do others see in me?
4. Do I need to improve my skills and education?

SWOT

Opportunities:

1. Some person is leaving his position which I can get.
2. What new technologies can help me?
3. What mistakes are others committing?
4. What possible solutions do I have for certain issues?
5. What extra experience can I gain?

Threats:

1. What are the hindrances blocking my way?
2. Am I afraid to change or evolve?
3. Does any other person challenge me?
4. Am I bored and lack creativity?

Theoretically, it may look easy to conduct a SWOT analysis but as is also evident from the above example, an effective SWOT analysis can be conducted by one person. To arrive at reliable results from SWOT analysis many considerations are to be kept in mind while conducting a SWOT/Self Analysis. Some such considerations are:

1. Be truthful about who you are. One should avoid being over aspirational about one's strengths, nor should one unnecessarily underestimate oneself.
2. One has to remember that SWOT analysis is a comparative analysis which means that it is always done in relation to someone else. That someone else is your competitor.
3. An opportunity which is also available to your competitor is no opportunity for you. Therefore, only unique opportunities should be included while conducting the analysis. The same rule applies to threats. A common threat should not be seen as a unique danger.
4. Do not over- or under-analyse.

**INTEXT QUESTIONS 8.3**

Select the most suitable option out of the given options for each question.

1. Internal Locus of Control implies
 - a) No one can control my destiny
 - b) I can control my destiny
 - c) My parents control my destiny
 - d) My friends control my destiny
2. SWOT model does not include
 - a) Weaknesses
 - b) Opportunities
 - c) Strength
 - d) Trade
3. Identification of your bad habits or toxic traits under SWOT is identification of
 - a) Your strength
 - b) Your weakness
 - c) Opportunities
 - d) Threats

**WHAT YOU HAVE LEARNT**

- Motivation implies inspiration which means any purpose or idea or a stimulus to do or not to do something.
- It is a continuous process and can be both negative and positive.
- A person can be motivated through financial and/or non-financial motivators.
- The type of motivator needed to stimulate an employee depends upon the person's position and status in the organisation.
- There are two theories of motivation. McClelland's three need theory and Maslow's need hierarchy theory.
- McClelland gave three need model based upon need for achievement, need for power and need for affiliation.

**Notes**

MODULE - 3

Entrepreneurial Motivation



Notes

Achievement Motivation

- Maslow's need hierarchy theory categorises needs into five categories: physiological needs, safety and security needs, social needs, ego needs, self-fulfillment needs.
- Locus of control is the extent to which an individual believes s/he has control over the outcomes in life.
- SWOT analysis is a technique based upon identification of strengths, weaknesses, opportunities and threats of persons or organisations.



TERMINAL EXERCISE

1. How can motivation be both positive and negative?
2. Which motivators are best suited for a new recruit who is a college passout?
3. Should employees at the top level of an organisation be motivated through financial or non-financial motivators?
4. Which is the better motivator, profit sharing or co-partnership? Why?
5. Out of safety and ego needs, which is to be first satisfied in the level of hierarchy?
6. What is locus of control? How is a person having internal locus of control different from a person having external locus of control?
7. How would you explain the SWOT analysis as a tool of self-analysis?
8. Describe any two financial and two non-financial motivators.
9. Explain McClelland's theory of motivation.
10. Need hierarchy theory suggests one need is more urgent at one point of time than others. Explain the statement with the help of the pyramidal structure of Maslow's need hierarchy theory.



ANSWERS TO INTEXT QUESTIONS

8.1

1. True
2. False
3. False
4. True
5. True

8.2

1. (c)
2. (b)

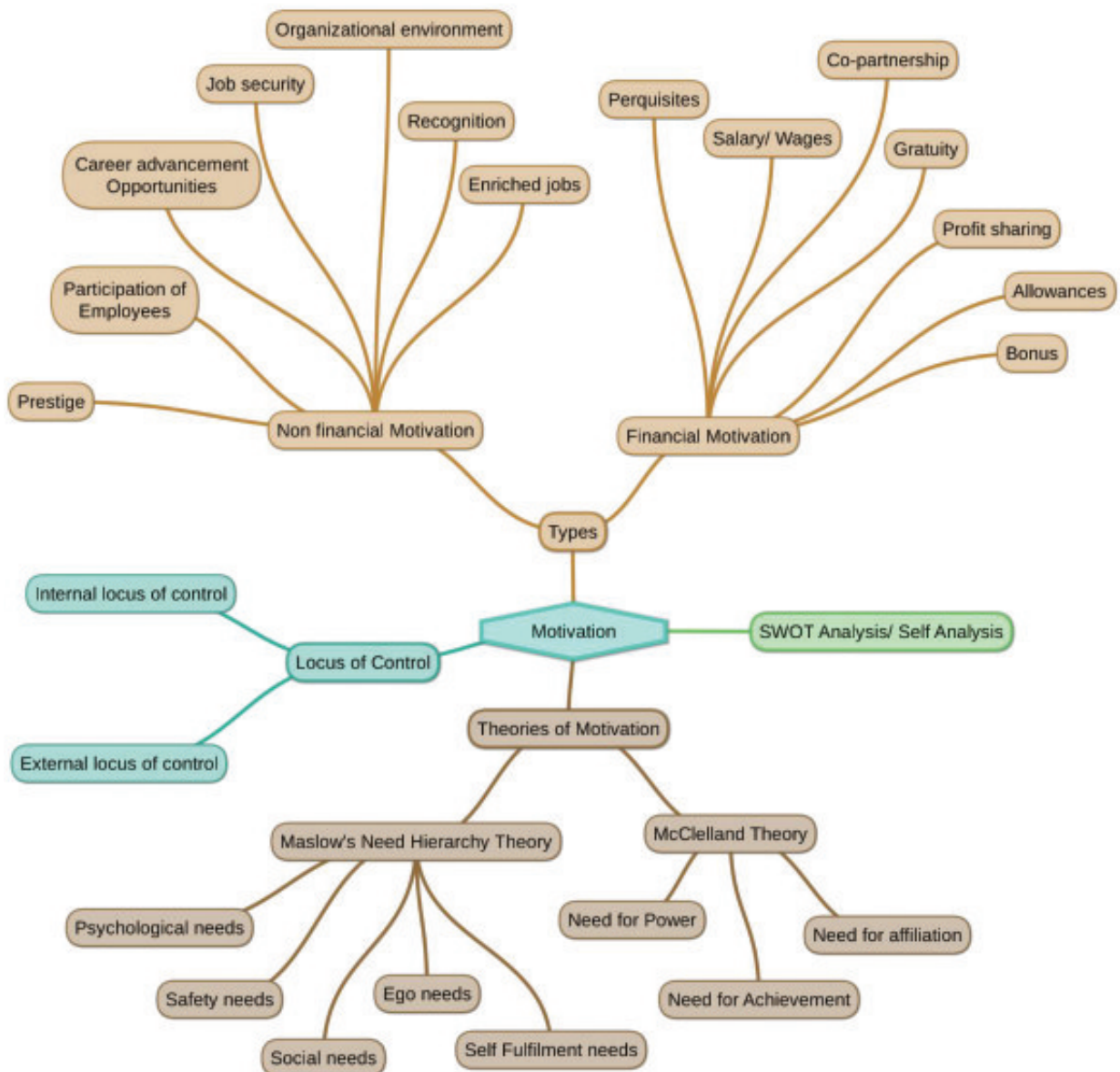
8.3

1. (b)
2. (d)
3. (b)

DO AND LEARN

1. Perform your own SWOT analysis and list out your strengths, weaknesses, opportunities and threats. You can take your examination as an event to perform the analysis.
2. Design a poster on Maslow's theory and explain it giving example of your favourite entrepreneur.

CONCEPT MAP





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SUCCESSFUL ENTREPRENEURS

In the previous lesson, you have understood that entrepreneurs are highly motivated individuals who are ready to take risk and are always on the lookout for opportunities. Normally, what is seen as a problem or a hurdle by some is seen by an entrepreneur as an opportunity to find a possible solution. It is also said that ideas find entrepreneurs, as they are highly receptive and are constantly on the look-out for opportunities.

In this lesson, a few case studies of highly successful entrepreneurs belonging to different backgrounds have been presented. These help in understanding that when entrepreneurs face difficulties they did not feel pressurised; on the other hand, they look for ways of overcoming these difficulties by finding solutions. This not only gives them confidence but also improves the well-being of those around them. Thus, entrepreneurs work hard to empower themselves as well as others in the society.

Before studying the case studies of successful entrepreneurs let us understand the characteristics of a successful entrepreneur. You are already familiar with the traits of an entrepreneur (refer lesson 2).



LEARNING OUTCOMES

After studying this lesson, the learners will be able to :

- draw inference from the case stories of entrepreneurs; and
- discuss various ways to modify the mindset and stereo types in society.

9.1 CHARACTERISTICS OF A SUCCESSFUL ENTREPRENEUR

- **Self-Motivated**

Entrepreneurs are highly motivated by the need for achievement. This



Notes

drives them to work hard to achieve the goals set by them. They are firm on the success of their project and are not affected by what others think about their ideas and actions.

- **Creative**

Entrepreneurs think creative. This enables them to find opportunities in situations which may appear to be ordinary to others. They venture into uncharted territory and take on projects for which they have a unique solution for the identified area.

- **Non-Acceptance of Status Quo**

Successful entrepreneurs do not accept status quo or the existing state of affairs. They feel the urge to work towards bringing about change rather than just observing problems silently or complaining about them. They believe in finding solutions for problems.

- **Persistence with Passion**

Entrepreneurs possess high levels of self-confidence and are highly optimistic. Once a problem or a task has been identified, they work persistently using their skills and ideas to achieve the desired result and see the successful implementation of the same. They are able to impress others about the usefulness of the project or product. Their passion motivates them to work hard and put in their best.

- **Open Minded**

Entrepreneurs are open minded and realise that opportunities may lie in any event or situation and those ideas are constantly being generated. They have the ability to look at everything around them and use them to achieve their goals.

- **Listening Ability**

Entrepreneurs not only listen to what people are saying but also understand what people want to convey. They are good listeners and use the concepts for the betterment of their enterprise.

- **Accountability and Commitment**

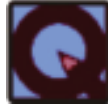
Successful entrepreneurs take responsibility for their actions and are fully prepared for the consequences of the same. Long-term commitment is seen as one of the distinct qualities of successful entrepreneurs. They are committed to several months of intensive focus and feel accountable for making things happen.

- **Integrity**

The most valued quality an entrepreneur can develop is a reputation for

**Notes**

absolute integrity. Success of an entrepreneur depends on the number of people who trust her or him, are willing to work together, have faith in the entrepreneur's products and services and stand loyal during difficult times. Long-term success of a business is based on trust.

**INTEXT QUESTIONS 9.1**

1. State whether the following statements are true or false.
 - 1) Successful entrepreneurs are open-minded.
 - 2) Successful entrepreneurs do not accept status quo.
 - 3) Listening to others is not a habit of successful entrepreneurs.
 - 4) Successful entrepreneurs are creative.

9.2 CASE STUDIES

Besides the case studies mentioned in this lesson, there are several other examples that are prevalent in the society. The case studies selected are just for the purpose of giving examples of highly successful entrepreneurs from different backgrounds.

9.2.1 FIRST GENERATION ENTREPRENEUR**Ramesh Babu**

Life was not always bountiful for Ramesh, the barber who owns a Rolls Royce. He was only seven when his father, a barber in Bengaluru, died leaving behind just a barber shop. As Ramesh Babu's mother couldn't run the barber shop, she rented it out for five rupees a day and worked as a cook to earn livelihood for her kids.



While owning his sense of responsibility he grew up on just one meal a day and couldn't quite decide if he should study further or start working to support his mother and the family income.

While Ramesh studied up to the pre-university level upon his mother's insistence and obtained a diploma in electronics, his father's shop was still being rented out for meager amounts.



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It was no later than in 1989 that he decided to run the salon himself which he later named as Inner Space. Ramesh always dreamt of owning a car, so he purchased a Maruti Omni and started renting it out. His passion soon transformed into a highly successful car-rental business.

After the government opened up the tourism sector, he got into the luxury car rental and self-drive business as 'Ramesh Tours and Travels' in 2004. Since then, his business has been continuously expanding.

"I started with renting out my cars to Intel and to other small clients locally. As it was going well, I took a brave step and bought my first E class Mercedes. This was because at that time there was no taxi rental service which rented out luxury cars, even for big delegates," he says.

Since then, there has been no looking back for Ramesh. His business clients range from politicians to Bollywood stars. He has 75 luxury cars on the fleet including a range of Mercedes, BMW's, Audi's, five and ten seater luxury vans and a Rolls Royce, his ultimate delight. He lets out his car at a lowest rent for Rs. 1,000 per day and the highest goes up to Rs. 50,000.

Ramesh still manages to go to his barber shop every day and has a loyal client base from Kolkata and Mumbai.

9.2.2 YOUNG ENTREPRENEUR

Mark Zuckerberg

Mark Zuckerberg was born on May 14, 1984, in New York, and into a well-educated family and developed an interest in computer programming at an early age. At the age of 12, Zuckerberg created a messaging program named Zucknet that he implemented as an inter-office communication system for his father's dental practice. Due to his early signs of success, his parents got him a computer programming tutor while he was still in high school.



After graduating, Zuckerberg enrolled at Harvard University. Mark Zuckerberg became known quickly as the go-to computer programmer on campus. Based on his acclaim on campus, Zuckerberg partnered with friends to create a social networking site that allowed Harvard students to connect with each other. The site officially went live in June 2004 under the name "The Facebook." Zuckerberg dropped out of college to pursue what was then called Facebook, full-time. The website reached one million users by the end of 2004.

**Notes**

This explosion of user growth attracted the attention of many venture capital (VC) firms, and Zuckerberg eventually moved out to Silicon Valley in 2005. Facebook received its first round of venture capital investments from Accel Partners, which invested \$12.7 million.

By the end of 2005, however, Facebook had opened up to students attending other schools, causing the website to reach 5.5 million users. Since 2005, Facebook received numerous acquisition offers from the likes of Yahoo and Microsoft, has been through legal battles, and has greatly increased its user base.

On Oct. 30, 2019, the company reported that daily active users averaged 1.62 billion for September 2019 while monthly active users totaled 2.45 billion. As of Jan. 30, 2020, the company has a market cap of \$598 billion. Zuckerberg owns over 375 million Facebook shares and holds 60% of voting rights in the company. Mark has achieved by launching it when he was only 19 years old. Within few years of its launch, Facebook became one of the most used social media platforms across the world. Today, Facebook continues to grow and employ thousands of people. An inspiration to a countless number of people, Zuckerberg is estimated to be worth 78 billion USD as on January 29, 2020 and continues to progress as an entrepreneur.

9.2.3 WOMEN ENTREPRENEUR

Jyoti Naik

Shri Mahila Griha Udyog, famous for the Lijjat Papad brand, is an organisation which symbolises the strength of women. It began on 15th March 1959, when seven women gathered on the terrace of a building in Girgaum, Bombay, now Mumbai. Jyoti Naik, the president of Shri Mahila Griha Udyog explains that they started their business with a meagre borrowed sum of ₹ 80 and production of four packets of papad. They were driven by a firm resolves to continue production. This pioneer batch of seven women set the ball rolling. As days went by, the group started growing. Only women could become members of the organisation. In addition to papad, it added a wide range of products like masala, atta, chapati, appalam and detergent.



During the early days, the institution ran into a number of difficulties and the faith and patience of the members were put to test on several occasions. Their policy has been of self-reliance and no monetary help has ever been sought. They do not accept voluntarily offered donations.



Notes

With quality consciousness as the principle that guided production, Lijjat grew to be the flourishing and successful organisation that it is today.

Numerous lessons can be learnt from this women's cooperative that has looked after the needs of all its stakeholders. Sticking to its core values for the past 60 years, Lijjat has ensured that every process runs smoothly, members earn a comfortable profit, agents get their due share, and consumers get the assurance of quality at a good price and society benefits from its donations to various causes. All this been possible by following Gandhian simplicity in all its activities.

Lijjat is more than just a household name for papad. It is an internationally recognised organisation. It has revolutionised the lives of more than 43,000 women members by making them economically independent. They have produced excellent business results and by 2018 the annual sales exceeded ₹ 800 crore.

9.2.4 PERSONS DISABILITIES (PwD) ENTREPRENEUR

Radhaambika S.

When she was two years old, Radhambika S was stricken by polio. This did not stop her from chasing her dreams. She went on to create a company that makes components for India's space programme. After completing Class 10, she undertook a course at the Vocational Rehabilitation



Centre (VRC) under the Union Ministry of Labour and Employment. When she completed the course, she received special training at Indian Space Research Organisation (ISRO). The training, held in Mumbai, changed her life.

In 1983, Radhambika established Sivavasu Electronics Industries Pvt. Ltd., based in Kerala's Thiruvananthapuram. Her company makes electronic components that aid in navigation and guidance of India's rockets. They have been supplying equipment to the ISRO since the first launch with the



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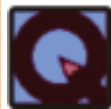
Augmented Satellite Launch Vehicle (ASLV) in 1987, followed by India's first mission to the Moon, Chandrayaan-1 in 2007, and India's first foray to Mars through Mangalyaan in 2013, and the recent Polar Satellite Launch Vehicle mission to hoist the HysIS ("sharp eye") satellite. So behind every launch by ISRO lies the precision workmanship of Radhambika.

Her vision is to be one among India's leading avionics product manufacturing organisations through teamwork, experience, performance, personal attention and compliance of international standards. The company has plans to expand business to meet the expected increase in demand of avionics production.

Sivavasu has had a long, fruitful and successful association with their clients. Along with ISRO, they have been supplying precision electronic products to clients like Godrej, HCL and IndusTeqsite.

More than 750 women, some physically challenged and some from deprived families have also been trained at Sivavasu to become qualified professionals. Many have built their homes and lives from here and some have moved on to start their own entrepreneurial ventures.

On **World Disability Day 2018**, Radhambika was honoured by **President Ram Nath Kovind** with the national award for **Best Employer for the Empowerment of Persons with Disabilities**. Radhambika has dedicated her life to empower others, especially women with disabilities and has trained hundreds of people with disabilities including locomotor, hearing, cerebral palsy, intellectual, speech as well as multiple disabilities.



INTEXT QUESTIONS 9.2

Match the following:

- | | |
|--------------------|--------------|
| 1. Mark Zuckerberg | (a) Kerala |
| 2. Radhambika S. | (b) Lijjat |
| 3. Ramesh Babu | (c) facebook |
| 4. Jyoti Naik | (d) barber |



Notes

9.2.5 FOOD ENTREPRENEUR

Kong Kara

Phikaralin Wanshong or Kong Kara as she is lovingly known, is an entrepreneur who specializes in food processing. Kong Kara, a mother of four kids inherited her passion in food processing from her mother who was adept in pickle making. She initially made pickles which were enough just



for her household. Her children, friends and neighbours loved the pickles she made. This constant appreciation finally inspired her to officially enter the food processing business. Aspiring to succeed, she attended a two week training course organised by the Department of Food and Nutrition in 1988. Later, she went for further training under various departments, including training organised by the Department of Horticulture in 2005 and 2006 at Fruit Garden, Shillong.

Kong Kara's perseverance, dedication, hard work and growing professional skills through all the trainings she attended, empowered her to set up her own processing unit - Kara's Fresh Foods. She then received financial support in the form of loans which helped her expand the business. Her products include a large range of pickled foods and various other locally available fruits. The enterprise also manufactures juice from locally available fruits. Over the years, she has also had fruitful and successful association with farmers for direct procurement of the produce. Hygiene is very important in her work and Kong Kara is very careful about cleaning and drying all yield before the pickling or process. Kong Kara buys plastic pouches and plastic jars for packaging from Mumbai and Guwahati respectively. The enterprise operates at about 25% to 30% profit margin.

Because of her fast expanding business, she has received many opportunities to showcase her products at exhibitions organized by the Government of Meghalaya. She has also had the advantage of showcasing her products at national exhibitions in New Delhi. Additionally, she was sponsored under a scheme by the Chief Minister to participate in a one month bakery training programme under JM Bakery in Bangalore.

**Notes**

As a responsible entrepreneur, Kong Kara helps other women who face economic hardships and she also wants to take up other entrepreneurship activities. She has herself trained students from various institutions and aspiring entrepreneurs who are particularly interested in food processing. She has been engaged in training programmes organized by the Meghalaya Institute of Entrepreneurship. In fact, Kara at Kong Kara's food processing unit provides internships to students from institutes such as Martin Luther Christian University and St Anthony's College Shillong.

Kong Kara registered herself as a partner with the Enterprise Facilitation Centre (EFC), in 2015 in Myllem village, East Khasi Hills. Her work has been acknowledged by the Ministry of Micro, Small and Medium Enterprise which awarded her with the Best Entrepreneur Award in 2010. The award was conferred to her by then President of India Smt. Pratibha Devi Singh Patel in New Delhi.

9.2.6 SOCIAL ENTREPRENEUR

Chetna Gala Sinha

Some people look at injustice and feel overwhelmed, unable to do anything about it. Not Chetna Gala Sinha, a humble woman known for grit and empathy. She was born in Mumbai, a city she grew up in. While



she was in college, she realised she had the will to bring about social change. Through her political forays, she met her husband, Vijay Sinha, an activist-farmer from Mhaswad, Maharashtra. In 1987, when she arrived in her husband's village, she had no idea that there was no toilet in the house. The next morning, she was asked to go to the fields behind the house and carry a stick to shoo away pigs following her. She decided then that there was a need to change a few things in the village. She actively started petitioning for toilets and electricity in the village. She continued working relentlessly for various social causes.



Notes

Later, some women approached Sinha for help. They wanted to open a savings account, but they were refused by the bank because of their low savings. So, she decided to help them set up a cooperative bank. When she applied for permission to open a cooperative bank, the Reserve Bank of India (RBI) rejected the proposal, as the women were illiterate. This did not stop the highly motivated women who then decided to become literate. Six months later, they accompanied Sinha and met the RBI officials in Delhi, and were able to convince the officials that they could calculate interest orally. Thus, the cooperative was sanctioned and Mann Deshi Mahila Sahakari Bank, India's first bank for and by rural women, was born in 1997. The bank was set up with a working capital of ₹ 7,08,000 which was raised from its 1,335 members. By 2017, it had over 3,10,000 women account holders of whom 84,000 were borrowers. The bank has provided women with financial backing and emotional impetus to become successful entrepreneurs. From its single branch in Mhaswad, Mann Deshi now operates with a working capital of ₹ 150 crore across seven branches in Maharashtra.

Sinha also established a sister organisation, Mann Deshi Foundation, which is a platform in western Maharashtra for community initiatives like organising cattle camps, building check dams, running a local radio station and sports talent hunts. Along with providing access to finance, it also imparts financial and business literacy through its business school. Women are taught about savings, investments, insurances and loans through modules that comprise games like Monopoly. Vocational courses train rural women in setting up businesses and in running and scaling them up. Women are also taught how to run a fast food centre, a home bakery, to rear cattle, apply mehendi and other skills. Mann Deshi, in partnership with the Nimbkar Agricultural Research Institute in Phaltan, Maharashtra trains women in vaccination and artificial insemination of goats, which was till then a male-dominated vocation. In three years, from 2014 to 2017, around 21 trained goat doctors have vaccinated over 8,000 goats and artificially inseminated over 3,000 goats across 50 villages in a region that predominantly houses cattle-rearers.

Village women who want to start a business are often not supported by their families. So, at Mann Deshi, they are provided a supportive structure that instills courage and confidence in them to succeed. Community radio is used to share inspiring stories of women entrepreneurs so as to encourage families to support more women.

**Notes**

For the many women whom Sinha has mentored, the 59-year-old, or *bhabhiji* as they fondly call her, is an icon who has scripted a micro-enterprise movement in the region that has empowered lakhs of rural women. According to Sinha, the potential of women is not just limited to doing something for themselves or their families. They have the potential to bring about a change in society. Sinha's five ingredients to a winning attitude are: passion, patience, persistence, listening and humility.

9.2.7 RURAL ENTREPRENEUR

Mansukh Bhai Prajapati

Mansukh bhai, a traditional clay craftsmen, known for his incredible environment- friendly and pocket-friendly innovations, transformed traditional clay items into an innovative range of products fondly known as Mitticool. Mansukh after suffering huge loss in the Gujarat earthquake got an idea to make a fridge out of clay. Apart from a fridge, his



inventions also include non-stick earthen tavas, earthen thermos flasks, etc.

He got his company registered in 1990, and in 1995 he got a bulk export order for water filters from Nairobi, Kenya. Subsequently, he got his Trade Mark 'Mitticool' registered in 2001.

In the tragic earthquake of 2001, Mansukh bhai suffered huge irreparable loss. Most of his stock was wiped off, and whatever remained was distributed among the earthquake victims in Kutch.

In February 2001, the caption 'Garibi Ka Fridge Tut Gaya' (Fridge of the Poor got broken) in Sandesh Gujarat Daily showed a broken water filter which was made by

Mansukhbhai. This incident inspired him to work hard and create a fridge for the rural masses. In 2002, he started working with GIAN (Grassroots Innovation Augmentation Network), which supported him in product development.

Mitticool preserves the original taste of fruits and vegetables, does not require electricity and works on the same principle of cooling as that of earthen pots



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and therefore has no periodical costs. GIAN through National Institute of Design (NID), Ahmedabad facilitated design improvements in the fridge. Conference organised by the Centre for India and Global Business, Judge Business School, University of Cambridge, UK has also displayed Mitticool in May 2009. Mansukhbhai has also set up a company and an online retail portal with the support of GIAN in 2008 (www.mitticool.in).

Manuskhbhai in consultation with NIF-India, manufactured earthen thermos flask of 1 and 2 liters capacity. He also collaborated with Future Group with the assistance of GIAN & NIF-India and his products are being sold at various outlets of Big Bazaar.



INTEXT QUESTIONS 9.3

I. Fill in the blanks:

1. _____, a fridge made out of clay, does not require electricity.
2. Kong Kara prepared _____ which were liked by her kids and relatives.

II. State whether the given statements are true or false:

1. Kong Kara set up her own processing unit known as Kara's Fresh Foods.
2. Mitticool is a non-stick earthen tava invented by Mansukh bhai Prajapati.
3. Chetna Gala Sinha worked relentlessly for various social causes.



WHAT YOU HAVE LEARNT

- We have learnt various characteristics of successful entrepreneurs which can mainly be characterised into self- motivated, creative, non-acceptance of status quo, and persistence with passion, open minded, good listener, accountability and integrity.
- Case studies of various famous and successful entrepreneurs like Bill Gates, Chetna Gala Sinha, Jyoti Naik, Mark Zuckerberg, Radhambika S,

**Notes**

Santosh Otswal and Mansukh bhai Prajapati were discussed. We can find that all successful entrepreneurs have some common characteristics.

**TERMINAL QUESTIONS**

1. Describe any five characteristics of successful entrepreneurs.
2. How did Chetna Gala Sinha help village women?
3. What motivated Santosh Otswal to do something related to water and irrigation?
4. Discuss the success story of Masukh bhai Prajapati.
5. What lesson did you learn from the case study of Ijjat Papad ?
6. Describe Radhambika's vision.

**ANSWERS TO INTEXT QUESTIONS****9.1**

(1) True (2) True (3) False (4) True

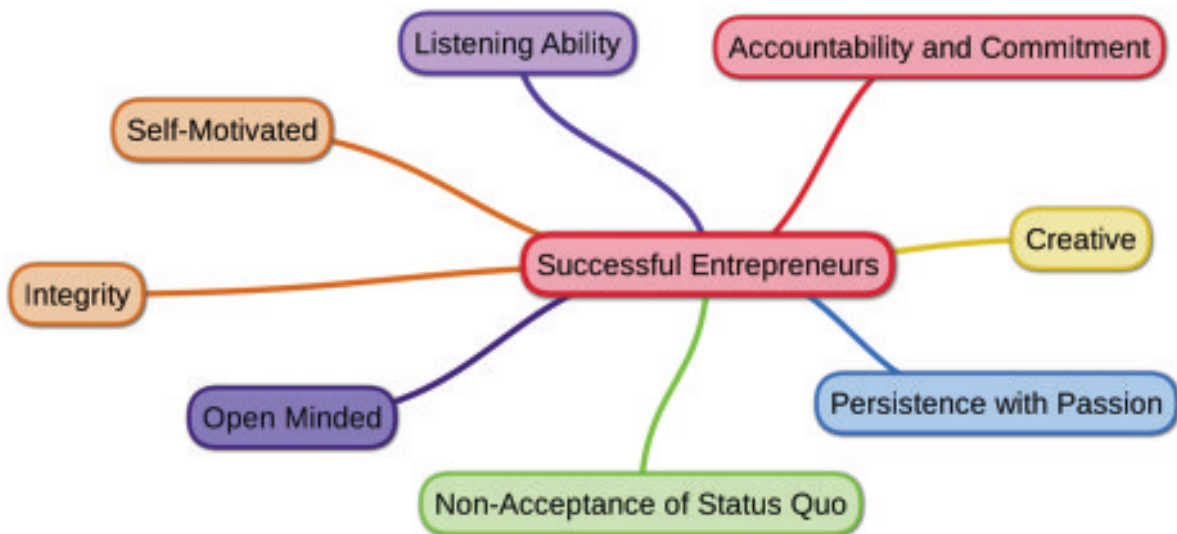
9.2

1. (c) 2. (a) 3. (d) 4. (b)

9.3

- I. 1. Mitticool
2. Pickles
- II. 1. True
2. False
3. True

CONCEPT MAP





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Module 4

ENTREPRENEURIAL OPPORTUNITIES

Maximum Marks - 25

Study Hours 45

An entrepreneur has to be very quick in recognizing business opportunities. This module deals in systematic manner the process of converting an Idea into an enterprise. The learner will be able to understand techniques of Idea generation, steps for setting up an enterprise and resource mobilization for starting an enterprise.

Lesson 10 Idea Generation

Lesson 11 Setting up an Enterprise

Lesson 12 Resource Mobilization



10

IDEA GENERATION

In the previous lesson we discussed the characteristics of a successful entrepreneur, achievements of some important entrepreneurs and the various ways to modify the mindset and stereotypes of the society. In this lesson, we shall move a step further and bring out the difference between needs, wants and demand and also show you how the entrepreneur can generate ideas and finally translate them into a flourishing business.



LEARNING OUTCOMES

After studying this lesson, the learners will be able to:

- compare need, want and demand;
- outline various idea generation techniques;
- explain feasible business ideas; and
- describe the ways to convert business idea into an entrepreneurial set up.

10.1 DEFINITION OF NEEDS

By needs, we mean those requirements which are extremely necessary for a human being to live a healthy life. They are not only personal but also psychological, cultural and social requirements that are important for a human being to survive. This was elaborated by A.M. Maslow in the need hierarchy theory proposed by him (see lesson 8).

In ancient times, the three basic needs of man were food, clothing and shelter. With the passage of time, education and healthcare have also become integral, as they improve the quality of life. They are a person's first priority as they also keep us healthy. Therefore, if needs are not satisfied in time, we may fall ill or even die.



Notes

Wants

A want is a choice, a desire which a person may or may not be able to get. All desires, aspirations and motives of humans are known as human wants in Economics. The wants that can be satisfied with goods and services are economic wants. You can classify wants into the following three broad categories.

- (a) **Necessities:** These are absolutely essential for living and surviving and include food, water, clothing, shelter, etc. If a cart driver buys *roti* and *subzi* (bread and vegetables) for lunch, it falls in this category.
- (b) **Comforts:** They are not as essential or urgent as necessities. Comforts are the wants that make the life of the human comfortable and satisfying. Items such as fans, furnished houses, special clothing for occasions fall under this category. Let us continue with the example of the cart driver. If he starts earning well and purchases a burger or pizza, it is a comfort.
- (c) **Luxuries:** These are goods that give humans pleasure and prestige in society. Some examples of luxuries are cars, diamond jewellery, expensive designer clothing, and air conditioners.

Some examples to understand:

- *Having a watch is a need but having an expensive branded watch is a want.*
- *Having asamosa is a need but eating it in a restaurant is a want.*
- *Having a phone is a need but having an iPhone is a want.*

To summarise this concept, let us say wants are shaped by one's society and surroundings. When you have the desire to purchase a product that is not essential for your survival, it is a want. So, a want is the complete opposite of a need, which is essential for survival.

We know that human wants are unlimited while money or the means to satisfy those wants with, is limited. Hence, all the wants of an individual cannot be met and they must seek alternatives. For the purpose of spending and saving money wisely, every person must know the difference between needs and wants. This is true also for an entrepreneur.

Demand

The mere desire of a consumer for a product is not demand. *Demand* refers to the willingness and ability of consumers to purchase a given quantity of a



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good or service. If a customer is willing to and able to buy a need or a want, the person has a demand for that need or a want. For e.g., you have two options, you either buy a smart phone or a basic phone, clothes from the weekly market or branded ones from a store or a mall. The prices of buying a smart phone or buying branded clothes are much higher than their alternatives.

A smart phone might be a need for some and for others it can be a want. We would prefer to purchase the smart phone, but the question is, can we? If we are financially strong enough to buy the smart phone, it means that we have transformed our want/need into a demand.

So, the key difference between want and demand is desire. People who can afford a desirable product are transforming their wants into demands. Needs, wants and demands are interlinked.

In the real world, it is all about making choices regarding allocation of scarce resources so as to make their best possible use and satisfy human needs and wants. These needs and wants get translated into demand when you have a desire along with the means to acquire them.

NEED/WANT → WILLINGNESS → ABILITY (MONEY) → DEMAND

If a customer is willing and able to buy a need or a want, it means that a demand has been created.

Understanding The Concept of Needs, Wants and Demands



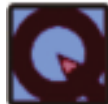


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BASIS FOR COMPARISON	NEEDS	WANTS
Meaning	Needs refers to an individual's basic requirement that must be fulfilled, in order to survive.	Wants are described as the goods and services which an individual likes to have.
Nature	Limited	Unlimited
Represents	Necessity	Desire
Survival	Essential	Inessential
Change	May remain constant over time	May change over time
Non-fulfilment	May result in onset of disease or even death	May result in disappointment

Needs, wants and demand are separate forces that compel actions for satisfaction. If needs are not met on time, the survival of a person may be at stake whereas wants are something which a person craves for, things that do not challenge a person's survival, if not satisfied.

Needs can be distinguished from wants on the basis of their level of importance. Hence, the distinction is between what is required and what is desired and finally acquiring the desired which converts into demand, if you have the ability to do so.



INTEXT QUESTIONS 10.1

State whether the statements given below are true or false.

- Needs, wants and demand are one and the same thing.
- Wants, when not satisfied, challenge the survival of the person.
- Needs are not only physiological but also include social security and cultural needs of a person.
- Needs are unlimited whereas wants are limited.
- A mobile phone is a need for all.
- Buying Nike shoes is a want.

10.2 WHAT IS IDEA GENERATION?

"Creative thinking inspires ideas. Ideas inspire change."

– Barbara Janusz kiewicz



Notes

Ideas are the key to innovation. New ideas are necessary for making any kind of change for improvement. Most of the ideas are generated from surroundings, culture, problems faced and experiences. Ideas may be tangible or intangible, structured or unstructured and risky or conservative. It is obvious that ideas alone will not make innovation happen, as you need to be able to build a systematic process for managing those ideas as well as executing them. The point of ideation is not just about the quantity you generate but also paying attention to the quality of the idea.

10.2.1 Idea generation and its importance

Idea generation is described as the process of creating, developing and communicating abstract, concrete or visual ideas. It is the front end part of the idea management funnel and it focuses on coming up with possible solutions to be perceived or actual problems and opportunities. For example, it was Shahnaz Hussain's idea to deal with skin problems that led to the setting up of a big business house dealing in herbal cosmetics in India. It was the creative imagination of Ratan Tata that led to the creation of Nano, a low budget passenger car for middle class families in India. It was the creative idea of Mulky Raghunandan Srinivas Kamath which started from a simple question, "If ice-cream can have fruit flavours why can't it have real fruit instead?" This idea soon translated into making of Naturals icecream with fresh fruits ranging from litchi, chikoo, custard apple, tender coconut to figs.

As mentioned, ideas are the first step towards making improvement. From the perspective of an individual, new ideas can help you to move forward if you feel stuck with a task or are unable to solve a certain problem.

10.3 IMPORTANCE OF IDEATION

- Stay relevant
- Make positive change happen in your organisation
- Perhaps your organisational goal is to improve your and your team's efficiency or you need new ideas for making your product better?
- Regardless of your goals or the types of ideas you are looking for, the purpose of new ideas is to **improve the way you operate**.
- On a larger scale, **economies** depend on innovation to drive growth and increase well-being. Innovation creates new technologies and businesses, which provide new jobs for people.

So, although innovation is not about ideas alone, they are an important part of the equation as one would not be there without the other.

**Notes**

10.4 TOOLS AND TECHNIQUES FOR GENERATING IDEAS

Techniques are ways to generate ideas. There are a number of methods of doing so.

10.4.1 Brainstorming

This technique means using the brain or thinking deeply to dwell on various aspects of the issue/problem. Brainstorming usually boils down to generate number of ideas to be considered for the dealing of the issue/problem. The technique to be effective needs to follow four basic principles:

- 1) Generate as many ideas as possible
- 2) Be creative and imaginative
- 3) Extend or combine earlier ideas
- 4) Withhold criticism of others' ideas

It involves prompting a huge number of solutions addressing a unique problem (idea) with focus on a number of ideas. There is no assessment of the idea. People can voice their ideas freely without fear of criticism. Brainstorming generally is done in a group of 5 to 10.

A national level institute of Government of India took its faculty to a resort in Himachal Pradesh for a brainstorming session for two days to generate ideas on what it can do to be known, noticed or recognised at the national and international level. Seven major ideas were generated ranging from introducing new courses to nominating young faculty members to join faculty Development Programme conducted by various chapters of Indian Institute of Management.

10.4.2 Focus Groups

This group consists of six to 12 members belonging to various socio- economic backgrounds. They are formed to focus on some particular matter like a new product idea. The group is facilitated by a moderator to have an open in depth discussion. The comments from other members stimulate group discussion and conceptualise and develop new products ideas to meet the market requirement. While generating ideas, they screen the idea too and select the most excellent dea to be pursued as a venture.



Notes

10.4.3 Gap Analysis

Gap analysis is a useful tool to help a team establish their current situation and establish a future desired state. Gap analysis helps explore what is missing and what needs to be done to bridge the gap which has been identified. How to use Gap Analysis

- a. Work with the team to identify the future desired state (use any process that will help identify how the group wants to be in the future)
- b. Discuss with the group the present situation in terms of what has come out of the discussion about the future.
- c. Focus on the Gaps – ask team members to work in pairs to discuss (a) what are the gaps between the present state and the desired future state (b) What are the barriers.
- d. Ask the pairs to share their ideas on the ‘gaps’ and post these on a flipchart between the two original flipcharts.
- e. Once the whole group reaches an agreement on the identified gaps, the gaps are evenly divided between the groups and they work together to solve the problem.
- f. Reconvene the team meeting to hear recommendations and action plans.
- g. Get approval from the team on identified plans and develop a means to follow-up on action plans.

10.4.4 Opposite/reverse Thinking

It is a technique that can help you question long-held assumptions related to your business. It's a useful tool to consider if you feel your team is stuck with the conventional mindset and coming up with those “out-of-the-box ideas” seems to be difficult. It is reversing the process of adopting the logical, normal manner of looking at a challenge e.g. How can I ensure punctuality? Can change into, how do I make sure that no student reaches late for exam? Negative challenges get quicker responses as desired outcome is clearly defined because it's a fun way of discovering ideas.

**Notes**

Often, finding the best solutions isn't found through a linear thought process. Although our brains are wired that way, opposite thinking can help us question the norm.

With this type of thinking, you consider the exact opposite of what's normal. You can even think backwards to find unconventional solutions.

10.4.5 Brainstorm cards

They are a useful tool for coming up with dozens of new ideas related to whatever challenge or problem you are currently working with. Brainstorm cards help you consider external factors such as society, new technology, and regulation in the context of your business. This approach allows you to generate a great number of ideas with little effort. Although many ideas will not make sense, this tool can be beneficial.

10.4.6 Analogy Thinking

It is a technique for using information from one source to solve a problem in another context. Often, one solution to a problem or opportunity can be used to solve another problem. Analogy thinking can, for example, be used for analysing a successful business, identifying what makes it great, and then applying those same principles to your business. This is an effortless method for coming up with new ideas that are pre-validated. The Uber model has been adopted by a number of start-ups.

10.4.7 Empathy User Research

This requires entrepreneurs to observe prospective customers in everyday situations. This helps in developing customer profile and launching customised products e.g. McDonald and Pizza Hut offer customised region specific menus e.g. aloo tikki burgers were launched in India looking at the customer needs.

The aforementioned techniques are some techniques for generating ideas. Other options for idea generation are e.g. mentor opinion, day dreaming, trigger sessions and heuristics.

Ritesh Aggarwal founder of OYO rooms initially started as O ravel Stays to capitalise budget travelling. Or avel was an aggregator of bread and breakfast across India. He realised the importance of affordable and good budget rooms, and re-launched O ravel as OYO rooms (On Your Own). This venture succeeded because of amalgamation of ideas accompanied by favourable opportunity.



Notes

10.5 CASE STUDY: CONVERTING CHALLENGES INTO OPPORTUNITIES

Nilkamal, a leader in furniture products, collaborated with Wello, the US-based social venture, to launch a revolutionary new product – Nilkamal- Wello Water Wheel. It is an innovative patented product designed to simplify and increase water availability in India's rural villages.

Over one billion women and girls spend hours every day hauling heavy loads of water to their homes. The practice of head loading can cause chronic back, neck, and eye pain, the curvature of the spine, and can lead to death during childbirth. The UN recommends 20 litres of water per person per day but because of the challenges associated with water collection, most rural consumers have access to less than five litres per day. The time, physical and health burdens of water collection combine to trap entire families in a vicious cycle of poverty.

The Nilkamal- Wello Water Wheel is a drum that carries 50 litres of water and can be easily rolled to transport the water over long distances. The Water Wheel is durable, easy to use and saves time and effort. This can help women and young girls allocate their time for other productive activities. By combining American technology with Nilkamal's expertise in manufacturing and widespread pan-India distribution network, they aim to serve the market of over 250 million rural consumers across India making it easier for households everywhere to have access to safe water. They used the empathy research-based technique.

The Water Wheel is the flagship product of Nilkamal's new line of Social Impact solutions; products designed to uplift and improve the infrastructure of rural India. Other products in the category include ultra-low-flow toilets, school desks, and waste disposal bins. Nilkamal plans to deploy these products across the country at an affordable price through its extensive distribution network.



INTEXT QUESTIONS 10.2

State whether the statements below are true or false:

- a) There is only one way of idea generation.
- b) Brainstorming involves prompting a huge number of solutions addressing a unique problem.
- c) In Brainstorming, people can voice their ideas freely without fear of criticism.



Notes

- d) The Focus group is not facilitated by a moderator to have an open in depth discussion.
- e) Gap analysis is to work alone and to discuss what the gaps between the present state and the desired future state are.
- f) Nilkamal collaborated with Hello.
- g) The UN recommends 20 litres of water per person per day but because of the challenges associated with water collection, most rural consumers have access to 10 litres per day.

10.6 A NINE-STEP FEASIBILITY TEST FOR YOUR NEW BUSINESS IDEA

“I knew that if I failed I wouldn’t regret that, but I knew the one thing I might regret is not trying.” – Jeff Bezos, Founder and CEO, Amazon.

A business idea is mostly an impulsive thought, which strikes and then never fades away. There are plenty of ideas that people come up with before the one which gave them their eureka! moment. At the end of the day, it is not just the idea or its uniqueness that attracts funding but the overall execution and feasibility instead. Thus, a business idea undergoes considerable testing before finally being rolled out in the market as a full-fledged business.

If you have a great idea for a new business but don’t know where to start, we will take you through a nine-step feasibility test to check whether your idea will make enough money to cover your costs and make a profit. This has been discussed in detail in Lesson 11.

10.6 TURNING IDEA INTO BUSINESS POSSIBILITY

Inspiration has struck you with a genius idea for a business, but how exactly do you transfer your idea, scribbled on a napkin, into a sustainable company? It has been done before. Most of the companies take a unique path that cannot easily be duplicated. However, there are some fundamental steps that every new entrepreneur can take to get their idea in motion. Take these eight steps to turn your idea into a functioning business.

10.6.1. Figure out what problem is being solved

When you strip a company down to its core function, you find that it solves a problem. Initially you are focused on your idea and on the solution it provides. Many entrepreneurs claim to have solutions, but what specific problem are they eliminating?



Notes

Amazon, for instance, solved how e-commerce was, at one time, expensive and inconvenient. Today, it has more customers and sales than its brick-and-mortar competition.

Bottom line: all successful companies, products, or services enhance the lives of their customers by eliminating a problem.

10.6.2. Find your market

Picture who your ideal user is. This is the first step to actually figuring out where your idea fits into a sea of consumers. They all have different habits and needs to fulfil, yet are facing the same problem. Figure out where your solution will fit into the market and in the lives of people.

One of the biggest mistakes start-ups make is the failure to get people to understand and want the product or service. If it turns out that your idea is not being “sold” to your audience, do not blame the market. Instead, figure out what they find compelling, or what it will take to get them to want something different than what they already have. You have a solution, but it needs to be in front of the right people to be seen as such.

10.6.3. Find your support

“Have you ever noticed how few successful start-ups were founded by just one person?”

This question was raised by Paul Graham, co-founder of the start-up incubator Y Combinator, when he was addressing mistakes start-ups make that ultimately lead to failure.

Having business partners has several benefits, especially when you’re first starting out. They can act as support, a sounding board for your ideas, and provide evidence to others that you actually have a good idea. Besides building a team, having relationships with other entrepreneurs will give you invaluable knowledge. Find seasoned entrepreneurs and spark conversations with them. It should not be difficult to pick their brains because people love to talk about themselves, so they will be happy to share what they have learned from their experience with starting a business.

10.6.4. Create a financial model and plan the first phase

Since you have your market research done, now you must figure out if it’s financially viable. Create a bottom-up financial model that focuses on how your product or service is created, marketed, and sold to an individual user. Doing this will give you more insight on how your business will function. Then, to



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verify your projections, create another financial model that is “top-down,” which examines the size of your market and what goals you need to reach to turn a profit.

Once you are satisfied with your financial model, begin moving into planning the first phase of your business. This plan is simple: Get your ideas out. For discussion purposes among your team and mentors, map out your mission, objective, keys to success, target market, competitive advantage, and basic strategies. It ensures that everyone involved is on the same page and set to proceed into the next stages.

10.6.5. Figure out your source of capital

Entrepreneurs generally do not start out just for the money, but money is still needed to get the business off the ground. Some attainable sources of funding are self-funding, money from people you know (friends and family), credit cards, or loans. Depending on the amount you need, a more helpful source can be angel investors and venture capitalists looking to back your mission for a slice of the profits and room for decision-making.

Whatever source(s) you choose to obtain or to aim for, consider that each one has their own rewards and risks.

10.6.6. Build the MVP

The MVP, or minimal viable product, provides you with the feedback you need before putting your idea on the market. After all, it’s of no use to anyone if you build a product customers don’t want.

Minimal does not necessarily mean “basic.” The point is not to build a minimal product, but a product that is already great (viable), yet has room to improve (minimal). It is how early adopters actually jump on board to use the product and, if they like it, will provide you the feedback to make it better for them.

10.6.7. Find the pivot

The information gathered from your early adopters helps you figure out what works and what garnered the most response from your audience. You might find that their feedback is entirely different than what you expected and planned for.

This can lead you to “pivot” your business model, or change a fundamental part of it. Changing direction doesn’t mean you failed entirely; it actually helps to prevent failures you may have encountered. Pivoting doesn’t necessarily mean abandoning everything you learned. Rather, it is about taking what you

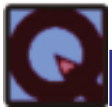


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learned and using it for your new direction. You took one route to a destination and got lost. Pivoting is just recalculating a different route to get there.

10.6.8. Stay positive

They say misery loves company. Ensure there is no misery involved with your new business. Self-doubt and questioning if something will go wrong will only hold you back from taking necessary risks. People will question your ideas and your business, but if they do not believe in your ability to overcome it, they are perpetuating their negativity into you. When you stay above the negativity and stay positive, it will make it easier if you do make a mistake or face an obstacle. Both are inevitable. Your journey to building a sustainable business will not be like most processes, simply because there is no guarantee for success. All you can do is adapt your idea and see what works. If at first you do not succeed, try and try again until you do.



INTEXT QUESTIONS 10.3

Fill in the blanks :

- At the end of the day, it is not just the idea or its uniqueness that attracts funding but the overall _____ and _____ instead.
- All successful companies, products, or services enhance the lives of their _____ by eliminating a problem.
- Figure out where your _____ will fit into the market and in the lives of people.
- _____ act as support, a sounding board for your ideas, and provide evidence to others that you *actually* have a good idea.
- Once you're satisfied with your _____, begin moving into planning the first phase of your business.
- Some attainable sources of funding are _____, money from people you know (friends and family), credit cards, or loans.
- People will question your ideas and your business, but if they do not believe in your ability to overcome it, they are _____ into you.

Conclusion

In this lesson, we learnt how an entrepreneur needs to know the difference between needs and wants and convert the needs of people into wants and finally, into demand. To be successful, the entrepreneur needs to begin with

**Notes**

basics i.e., to generate ideas, check viability and finally seize the opportunity. Hence, ideas have to be shaped into opportunities after systematic research based on available data, market characteristics and competitor actions.

**WHAT YOU HAVE LEARNT**

- Needs mean those requirements which are extremely necessary for a human being to live a healthy life. They are not only personal but also psychological, cultural and social requirements that are important for a human being to survive.
- A want is a choice, a desire which a person may or may not be able to get. All desires, aspirations and motives of humans are known as human wants in Economics. The wants that can be satisfied with goods and services are economic wants.
- Demand refers to the willingness and ability of consumers to purchase a given quantity of a good or service.
- Needs and wants are different. Needs are limited whereas wants are unlimited, Need represents necessity whereas wants are desires. Needs are essential for survival whereas wants are not.
- Idea generation is described as the process of creating, developing and communicating abstract, concrete or visual ideas. It is the front end part of the idea management funnel and it focuses on coming up with possible solutions to be perceived or actual problems and opportunities.
- Importance of idea generation Stay relevant, make positive change happen in your organisation, to improve efficiency or make your products better, improve the way you operate, or innovate to drive growth.
- Tools of idea generation brainstorming, reverse thinking, brain writing, gap analysis etc.
- Brainstorming technique means using the brain or thinking deeply to dwell on various aspects of the issue/problem. Brainstorming usually boils down to generate number of ideas to be considered for the dealing of the issue/problem.
- Focus group consists of six to 12 members belonging to various socio-economic backgrounds. They are formed to focus on some particular matter like a new product idea.
- Gap analysis is a useful tool to help a team establish their current situation and establish a future desired state.



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- Opposite/reverse Thinking is a technique that can help you question long-held assumptions related to your business.
- Brainstorm cards are a useful tool for coming up with dozens of new ideas related to whatever challenge or problem you are currently working with.
- Analogy Thinking is a technique for using information from one source to solve a problem

In another context

- Empathy User Research: This requires entrepreneurs to observe prospective customers in everyday situations.
- Converting ideas into business opportunities. Figure out the problem to be solved, find your market, find your support .create a financial model, find

Sources of capital, build the minimal viable product, find the pivot and finally stay positive



TERMINAL QUESTIONS

- 1) Differentiate between needs, wants and demand.
- 2) Write short notes on
 - a) Brainstorming
 - b) Gap analysis
- 3) Elucidate how you can convert your ideas into business opportunity.
- 3) What are the tools and techniques used for generation of idea?
- 4) List out the importance of ideation.
- 5) What is the concept of idea generation?



ANSWERS TO INTEXT QUESTIONS

10.1

(i) False (ii) False (iii) True (iv) False (v) False, (vi) False

10.2

(i) False (ii) True (iii) True (iv) False (v) False (vi) False(vii) False



Notes

10.3

- (i) Overall execution and feasibility instead
- (ii) Customer problem
- (iii) Solution
- (iv) Business partner
- (v) Financial model
- (vi) Self-funding
- (vii) Perpetuating their negativity

DO AND LEARN

Make a list of things which under two columns titled needs and wants. Can you list some things which were your wants but have got translated into needs?

CONCEPT MAP





SETTING UP AN ENTERPRISE

Now you know what entrepreneurship is all about. It is an act of creating an enterprise or an opportunity to become an entrepreneur and generate profits. What is an enterprise? What are the various forms of an enterprise? What is the process of setting up an enterprise? How can one register an enterprise?



LEARNING OUTCOMES

After studying this lesson, the learner will be able to:

- explain various forms of business enterprise;
- examine the feasibility of the brief Project Report;
- formulate brief Project Report; and
- outline the legal compliances and registration formalities.

11.1 PROCESS OF SETTING UP AN ENTERPRISE

An enterprise is an industrial undertaking or a business concern or any other establishment which is engaged in production or procurement of goods or services to fulfil the demand of the customer, discussed in detail in Chapter 13. Setting up an enterprise is the whole process of converting an innovative business idea into a realistic project to be able to reap profits in the long run. Setting up an enterprise may not be as easy as it looks. It involves a lot of commitment, patience, proper planning and a regressive process to convert what is there in your mind into a realistic entity.

A determined entrepreneur is the most crucial aspect of every successful business project. In order to set up an enterprise, a suitable project has to be chosen. It involves a systematic feasibility study, preparation of project profile, strategic planning, deciding upon the constitution of the entity, preparation of



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project report, obtaining registration and clearance from related departments, resource mobilisation, obtaining funds and final implementation of the project. Based on the selection of product/ service to be offered, a project feasibility study has to be conducted and a brief product profile is made on that basis. Depending upon the type of project, details like a suitable form of enterprise, location, investment involved are decided. In this chapter we will discuss various aspects of setting up of an enterprise in detail.

Setting up an Enterprise



11.2 FORMS OF AN ENTERPRISE

To set up an enterprise, an entrepreneur has to decide upon the constitution of the enterprise at the initial stage of the project. There are various forms of an enterprise which can be chosen by the entrepreneur based on the selection of the intended project. Selection of a most conducive form of enterprise is important for the successful execution of the project. Let us discuss some broad categories of enterprises.

11.2.1 Types of Organisations

1. Sole Proprietorship

Sole proprietorship is the simplest and oldest form of enterprise. It is also known as a **sole trader** or simply **proprietorship**. It is the type of business entity which is owned and run by one individual, which means 100 per cent ownership and profits stay with the owner and so the decision taking authority. In sole proprietorship there is no legal distinction between the owner and the business. Many businesses start as a sole proprietorship and get converted into huge corporation later. Companies like Coca-Cola, Apple, Google, Amazon, and Disney started as sole proprietorships.

Sole proprietorship is a popular business form due to its simplicity, ease of setup and comparatively less initial costs involved. A sole proprietor need only register his/her name to secure local license and can start his/her business immediately. Taxation formalities for sole proprietorship is



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also very easy as the income generated during the course of business gets taxed only at the owner's personal income tax rate with no major reporting requirements.

Salient Features of Sole Proprietorship

- a. Single ownership
- b. No separate legal entity of the firm
- c. Unlimited liability
- d. One man control
- e. Undivided risk

2. Partnership Firm

As a business entity grows in size and scope of operations, it needs much more funds that may possibly be beyond the capacity of a single person. A group of persons can join their hands to form a partnership to fulfil the needs of organisation. Partnership, the form of enterprise, over comes the limitations of a one- person business such as need of more capital, better managerial skills and specialisation.

The Partnership Act, 1932 defines partnership as, "the relation between persons who have agreed to share the profits of business carried on by all or anyone of them acting for all." In other words, a partnership is a form of organisation in which there is two or more persons share the ownership and thereby profits or losses generated in the business entity. Persons who enter into a partnership agreement are called the partners.

As per section 464 of the Companies Act 2013, maximum number of partners can be 100 subject to the number prescribed by the government. However as per Rule 10 of the Companies (miscellaneous) Rules 2014, at present the maximum number of members can be 50.

The partnership may come into existence either as a result of expansion of the sole proprietorship firm or by means of an agreement between two or more people to join hands to form a partnership firm.

Salient Features of Partnership Firm

- a. Two or more persons enter into the partnership agreement, known as partners
- b. A written or oral agreement
- c. Legal aspects are governed by the Indian Partnership Act, 1932
- d. Mutual consent to join hands among the partners

**Notes**

- e. Unlimited liability of partners
- f. No separate legal entity of the firm

3. Limited Liability Partnership Firm

A traditional form of partnership firm suffers the problem of unlimited liability. Liability of the partnership firms extends right upto their personal assets. This make regular partnership firms undesirable for most of the entrepreneurs. To settle up these issues a new form of organisation has been passed in January 2009 by the government of India, the Limited Liability Partnership to be governed under the Limited Liability Partnership Act, 2008.

Limited Liability Partnership or LLP is a hybrid form of organisation which contains the features of both, the traditional partnership firm and company. It is an alternative corporate business form which offers benefits of limited liability to the partners at lower compliances costs. An LLP is a legal entity, liable for the full extent of its assets. However, the liabilities of its partners are limited. Further, no partner shall be liable on account of the independent or unauthorised actions of other partners in the firm. Thus, LLP allows individual partners to be shielded from liabilities created by another partner's wrong business decisions or misconduct.

Salient Features of Limited Liability Partnership Firm

- a. It is a corporate body which has its separate legal entity
- b. It enjoys the perpetual succession unlike traditional form of partnership
- c. It is governed by the Limited Liability Partnership Act, 2008. Also, the Partnership Act, 1932 is not applicable to it.
- d. There has to be minimum of two persons for its incorporation. However, unlike partnership firm, there is no limit of maximum members.
- e. Partners assume limited liability.
- f. If partners agree, LLP can have a common seal.

4. Joint Stock Company

This form of organisation was evolved to overcome the weaknesses of proprietorship and partnership forms of businesses. A joint stock company or association is a group of individuals organised to conduct a business for a common motive of making profits. The individuals have a joint stock



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of capital represented by shares owned in the company. These shares/stocks are transferable by the members without the consent of the group.

A joint stock company can be formed under the Companies Act 2013. A registered company is incorporated as a separate legal entity, with a distinct name, common seals, and perpetual succession with the limited liability of individual share-holders or members. As an independent legal entity, the joint stock company enjoys the status of an artificial legal person, which means it can sue some other party or can be sued in its own name.

Types of Joint Stock Company

i. Private Company

A private company is a company which has a paid up capital of one lakh rupees or above, as prescribed by its Articles of Association. However the Companies Amendment Act (2015) removes the minimum paid-up requirement. To form a private company, there must be at least two members. The maximum limit is of 200 members. Also, these members are restricted in their rights to transfer their shares, if any. A private company cannot invite to the public to subscribe for the shares or debentures of the company.

ii. Public Company

A public company is any company, which is

- a. Not a private company.
- b. Has paid up capital of minimum five lakh rupees and higher, as may be prescribed.
- c. Is a subsidiary of a company which is not a private company.

The formation of a public company requires at least seven members and can invite general public to subscribe for its shares and debentures, if required. Members are not restricted to transfer of their shares.

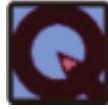
11.2.2 Choice of form of Company

A prospective entrepreneur should properly analyse various form of organisation to identify the one that suits his/her business idea in the best possible way. The choice has to be made at the time of setting up the business entity. The choice could be derived by several factors including:

- a. Nature of business
- b. Size and scale of operation

**Notes**

- c. Capital requirement
- d. Degree of control desired by the promoter
- e. Degree of risk and uncertainty the owners are ready to bear
- f. Life span of the enterprise desired by the owners etc.

**INTEXT QUESTIONS 11.1**

State whether the following statements are true false:

1. Conducting the feasibility study is the first activity being performed in the process of setting up an enterprise.
2. The sole proprietorship business is being owned and run by an individual or a sole trader.
3. Hundred percent ownership and profits stay with the individual owner and so the decision taking authority.
4. Sole proprietorship firm has a separate legal identity to that of the owner.
5. Two or more persons enter into the partnership agreement, known as partners.
6. In a partnership firm, there is no maximum limit for the number of partners.
7. Limited Liability Partnership or LLP is a hybrid form of organisation which contains the features of both, the traditional partnership firm and company.
8. A joint stock company is a group of individuals organised to conduct a business for a common motive of making profits.
9. A joint stock company does not have a separate legal identity to its owners.
10. The formation of a public company requires at least seven members.
11. A public company can invite the general public to subscribe to its shares and debentures, if required.

11.3 FEASIBILITY STUDY

Feasibility study is a systematic analysis that involves finding and documenting potential solutions to a particular business idea. The feasibility study is done to check whether the business plan is compatible with the accessible technology or not. In other words, it is an analysis and evaluation of the proposed business idea to identify if it is technically feasible. If it is, the next concern is, will it



Notes

be profitable? The feasibility study involves a targeted market analysis, technical analysis, financial analysis, economic analysis and commercial feasibility analysis.

1. Market Feasibility Analysis

Market feasibility analysis deals with understanding the potential market and market share, market factors like market growth potential and the location of competitors. Market survey is the most popular method to evaluate the market feasibility. The market feasibility study involves the analysis of the nature of market cost of production and overall cost of production, selling price and profits, market demand, target market, market share etc.

2. Technical Feasibility Analysis

Technical feasibility analysis deals with analysing the technical viability of the project. In this study, efforts are made to review the infrastructural facilities like land, building, transportation, availability of raw material, locational advantages and disadvantages, evaluation of technical know-how, labour force requirement and project schedule.

3. Financial Feasibility Analysis

This involves assessing the risk and uncertainty involved in executing the project. The purpose of this analysis is to present some measures to assess the financial viability of the project. The feasibility report should take into account the expected income generated, taxation liabilities as per the applicable tax laws, income tax rebates for priority industries, incentives for backward areas, expected depreciations in line with the industry it belongs to etc.

4. Commercial Feasibility Analysis

Commercial feasibility analysis evaluates the commercial aspects of the arrangement of the project. It also examines the arrangement process of plant and machinery, procedure of selection of raw material suppliers, appropriate location for the plant and other commercial aspects of the project.

5. Economic Analysis

Economic analysis involves evaluation of a project in terms of cost and benefit analysis. It is the most crucial aspect of evaluation of a business idea. It is the process of determining the efficiency of the project. It is also called Cost Analysis.



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11.4 FORMULATION OF PROJECT REPORT

A project is a temporary, unique and realistic business idea which is converted into a feasible and achievable plan. It is time-bound to achieve a set of pre-specified objectives. Risk and uncertainty are the integral part of a project. All projects have to pass through different phases in its lifespan. These phases are broadly classified as conception phase, definition phase, planning and organising phase, implementation phase and clean-up phase.

Project report is an important document that describes the basic blueprint of the project. It summarises the variety of activities to be undertaken during the course of action. This report helps in effective decision making and procuring funds from the market. The project report contains all relevant information required for the business idea evaluation and project appraisal. Thus, preparation of project report is of a great significance for the entrepreneur. It essentially serves two crucial purposes.

- a. As a clear road map describing the direction of enterprise
- b. To attract the potential lenders and investors

The Planning Commission of India duly provides guidelines for the preparation of the project report. The project report broadly covers the following aspects of the proposed project:

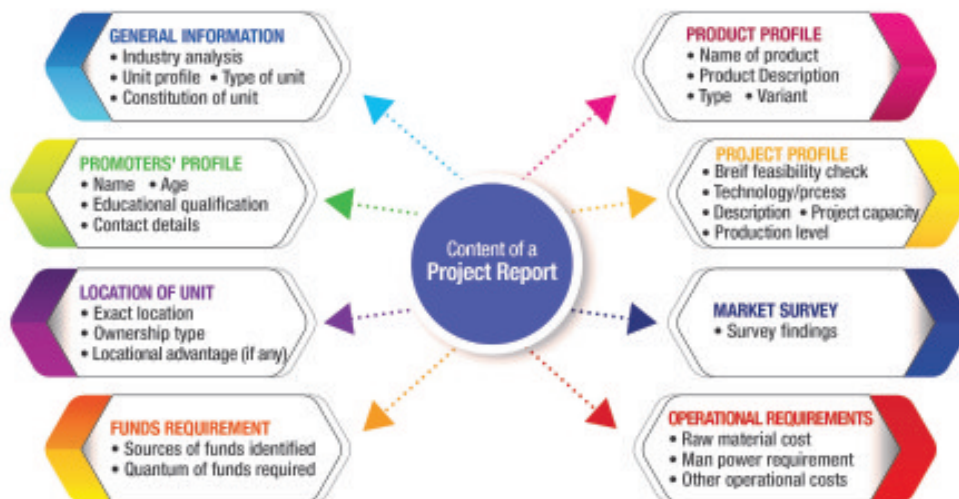
Content of Project Report

1. **General Information:** The project report must contain a brief analysis of the industry it belongs to. It should also contain details related to the type of proposed entity, its size, company profile, product/service profile, constitution of the company etc.
2. **Product Profile:** This section talks about the basic specification and features of the product. It should contain the product details like name of product/service, type of product/service, variants available, a brief description of the product/service etc.
3. **Promoter Profile:** It contains the promoters' details like their name, age, educational qualification, address, contact details etc.
4. **Project Description:** The project report must contain a brief yet complete profile of the project the entrepreneur intends to work on. It includes a brief feasibility report, a brief description of technology/process selected for the project, capacity of the project, intended level of production to be attained etc.



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5. **Location of Unit:** The project should contain details like exact location of the unit, whether the property is leased or self-owned and locational advantage.
6. **Market Survey:** This section of the project report talks about the finding of the market survey conducted by the promoters to analyse the response of the targeted customer group towards the product/service intended to be introduced.
7. **Funds requirement:** The project report must contain details of the funds required. It includes quantum and type of funds required like working capital, fixed capital, sources of funding identified etc.
8. **Other operational requirements:** This section of the project report contains all other aspects which have not been covered in the previous heads viz. raw material cost, requirement of human resources and other operational costs.



INTEXT QUESTIONS 11.2

State whether the following statements are true or false:

1. Feasibility study is a systematic analysis that involves finding and documenting potential solutions to a particular business idea.
2. Analysing the technical viability of the project is being dealt with technical analysis
3. Financial analysis needs to be conducted to check whether or not the business plan is compatible with the accessible technology.

**Notes**

4. Commercial feasibility analysis evaluates the commercial aspects of the arrangement of the project.
5. Economic analysis does not involve evaluation of project in terms of cost and benefit analysis.
6. The project report helps in effective decision-making and procuring funds from the market.
7. Project report must contain a brief yet complete profile of the project the entrepreneur intends to deal with.

11.5 LEGAL COMPLIANCES FOR SETTING UP A NEW BUSINESS

The legal compliances that are supposed to be adhered to, depend on the form of organisation which has been opted by the entrepreneur. Each form of organisation is governed by their respective Indian legal Acts. A brief discussion of such legal compliances is given below.

11.5.1 Obtain Registration

The sole proprietorship does not have too many legal formalities. MSMEs usually choose to register with local/district industries centre for obtaining various facilities and incentives. In case there is more than one person involved, one can opt for setting up a partnership firm. In these firms, partners' personal assets are also held responsible as their liabilities are unlimited. So, it might be risky. However, partnership firms are governed by the Indian Partnership Act, 1932 and the partnership deed which contains terms and conditions of the partnership contract.

Often, the requirement of huge capital and managerial aspects can make it convenient to setup a Limited Liability Partnership (LLP) or a joint stock company, as applicable. The LLPs are governed under the Limited Liability Partnership act, 2008 whereas companies are registered with the Registrar of the Company (RoC) and the cooperative entities are registered with the registrar of cooperatives. In India companies are governed by the Companies Act 2013.

However, irrespective of form of the enterprise chosen, a number of clearances and approvals are required from concerned authorities.

11.5.2 Application Formalities

An application is a prescribed format for registration of an enterprise in which

**Notes**

all the required details have to be duly filled and submitted along with the following documents:

- a. A copy of provisional registration certificate (PRC)
- b. A detailed project report
- c. Certified copies in support of educational qualification, experience, and other information as applicable to various forms of entity
- d. Applicable earnest money deposit

11.5.3 Registration of MSMEs (UAM)

Udyog Aadhaar Memorandum (UAM) is a one-page registration form which constitutes a self-declaration format under which the MSME will self-certify its existence, bank account details, promoter/owner's Aadhaar card details and other minimum information required. There is no fee for filling the Udyog Aadhaar Memorandum. Once the UAM is submitted, Udyog Aadhaar Number (UAN) is sent through e-mail.

It is a simplified government registration forum that provides a unique number along with a recognition certificate to certify small/medium business.

Udyog Aadhaar Registration Process

1. Visit the official website: Udyog Aadhaar Registration portal (<http://www.udyamregistration.gov.in>)
2. Enter your personal Information

It requires the 12 digit Aadhaar number along with your name and click on, "validate and generate OTP." You will receive the OTP on your registered mobile number. Enter the OTP on the portal and select social category you belongs to.
3. Fill details about the enterprise
4. Fill the correspondence details
5. Fill the carry-forward information
6. Fill the bank details
7. Opt for the classification of your enterprise from being a service entity of manufacturing entity
8. Details of total investment
9. Select the District Industry Centre and accept the declaration

MODULE - 4

Entrepreneurial Opportunities



Notes

Setting up an Enterprise

Udyog Aadhaar Memorandum

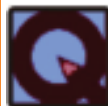
1. Aadhaar Number: XXXX XXXX XXXX
 2. PAN Number: XXXXXXXXXX
 3. Name of Entrepreneur: [Redacted]
 4. Social Category of Entrepreneur: [Redacted]
 5. Gender: [Redacted]
 6. Physically Handicapped: [Redacted]
 7. Name of Enterprise: [Redacted]
 8. Type of Organization: [Redacted]
 9. Location of Plant Details

SN	Floor/Door/Block No.	Name of Premises/Building/Village	Road/Street/Lane	Area/Locality	City	Pin	State	District
1	[Redacted]	[Redacted]	[Redacted]	[Redacted]	Bengaluru	560001	KARNATAKA	BENGALURU (URBAN)

Official Address of Enterprise: [Redacted]
 10. Name: [Redacted] City: [Redacted] State: [Redacted] Pin: [Redacted]
 Mobile No: 9911059644 Email: uamcertificate+PeetanKumar01@gmail.com
 11. Date of commencement: 27/03/2018
 12. Previous Registration details-if any: [Redacted]
 13. Bank Details: IFSC Code: KKBK00000072 Bank Account: 11130791184

Documents Required for UAM Registration

- Name and Aadhaar number of the business owner (as mentioned in the Aadhaar card)
- Document required as proof for SC, ST and OBC social category
- Name of your organisation or enterprise
- Previous registration details of your enterprise
- Type of organisation that you own
- Current address and account details
- NIC Code or National Industrial Classification Code
- The total number of workers employed at your organisation
- Current activities of your firm
- Email ID and mobile number of the entrepreneur
- PAN number and the total investment made in the organisation by the entrepreneur



INTEXT QUESTIONS 11.3

1. Mention the documents that have to be submitted along with the prescribed format of registration of an enterprise.
2. Mention any four documents required for UAM Registration.



WHAT HAVE YOU LEARNT

- Setting up of an entrepreneurship involves a systematic feasibility study, preparation of project profile, strategic planning, deciding upon the constitution of the entity, preparation of project report, obtain registration and clearance from related departments, resource mobilisation, obtain fund and final implementation of project.
- There are broadly four forms of business organisations viz. sole proprietorship, partnership, Limited Liability Partnership and joint stock companies.
- Sole proprietorship is the simplest and oldest form of organisation. It is also known as a sole trader or simply, proprietorship. It is the type of business entity which is owned and run by one individual.
- A partnership is a form of organisation in which there are two or more persons who share the ownership and thereby profits or losses generated in the business entity.
- Persons who enter into a partnership agreement are called the partners.
- Limited Liability Partnership or LLP is a hybrid form of organisation which contains the features of both, the traditional partnership firm and company. It is an alternative corporate business form which offers benefits of limited liability to the partners at lower compliance costs.
- A joint stock company or association is a group of individuals organised to conduct a business for a common motive of making profits. The individuals have a joint stock of capital represented by shares owned in the company.
- Feasibility study is a systematic analysis that involves finding and documenting potential solutions to a particular business idea. The feasibility study is done to check whether the business plan is compatible with the accessible technology or not.
- The feasibility study involves a targeted market analysis, technical analysis, financial analysis, economic analysis and commercial feasibility analysis.
- A project is a temporary, unique and realistic business idea which is converted into a feasible and achievable plan. It's a time-bound endeavour undertaken to achieve a set of pre-specified objectives.
- Project report is an important document. It describes the basic blueprint of the project. It summarises the verity of activities to be undertaken. This



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**Notes**

report helps in effective decision-making and procuring funds from the market.

- The legal compliances that are supposed to be adhered to, depends on the form of organisation which has been opted by the entrepreneur. Each form of organisation is being governed by their respective Indian legal Acts.
- Udyog Aadhaar Memorandum (UAM) is a one page registration form which constitutes a self-declaration format under which the MSME will self-certify its existence, bank account details, promoter/owner's Aadhaar details and other minimum information required.
- There is no fee for filling the Udyog Aadhaar Memorandum.
- UAM registration portal provides a unique number along with a recognition certificate in order to certify small/medium business.

**TERMINAL EXERCISE**

1. Explain the process of setting up an enterprise in brief.
2. List out various forms of business organisations.
3. Describe various criteria kept in mind at the time of choosing a suitable form of organisation.
4. What do you understand by feasibility study? Explain in detail.
5. What do you understand by project report?
6. Explain the content of project report in brief.
7. What are the legal formalities an entrepreneur is expected to comply with to obtain the registration of the organisation?
8. List out various documents required to submit at the time of filing of application.
9. Write a short note on the following:
 - a. Sole proprietorship
 - b. Partnership firms
 - c. Limited Liability Partnership
 - d. Joint stock company
 - e. Private companies
 - f. Public holding companies



Notes

10. Explain the following feasibility analysis criteria in brief:

- Technical Feasibility Analysis
- Financial Feasibility Analysis
- Commercial Feasibility Analysis
- Economic Analysis



ANSWER TO INTEXT QUESTIONS

11.1

1. False 2. True 3. True 4. False 5. True 6. False
 7. True 8. True 9. False 10. True 11. True

11.2

1. True 2. True 3. False 4. True 5. False 6. True
 7. True

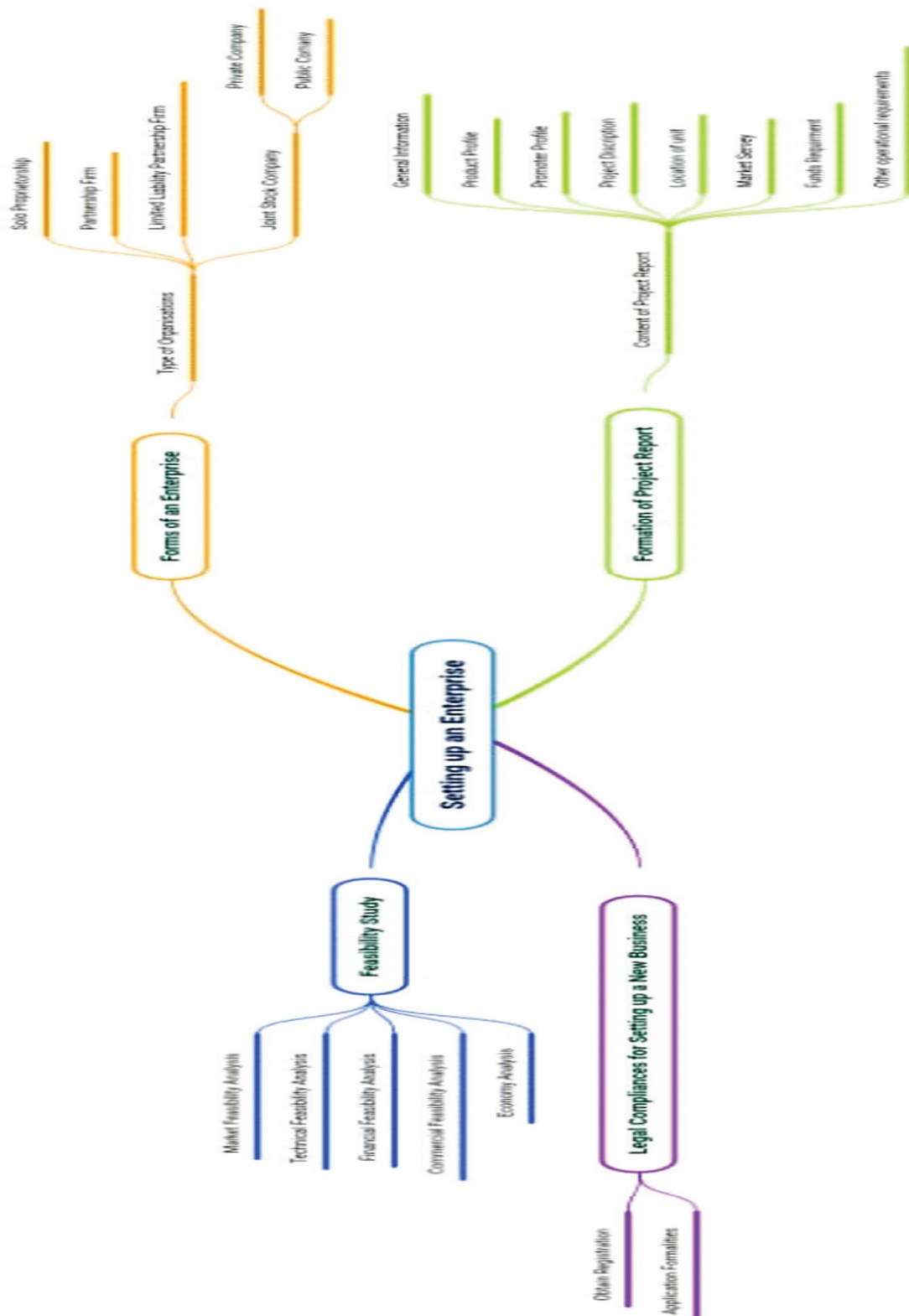
11.3

1. (a) A copy of provisional registration certificate (PRC)
 (b) A detailed project report
 (c) Certified copies in support of educational qualification, experience, and other information as applicable to various forms of entity
 (d) Applicable earnest money deposit
2. (a) Name and Aadhaar number of the business owner (as mentioned in the Aadhaar card)
 (b) Document required as proof for SC, ST and OBC social category
 (c) Name of your organisation or enterprise
 (d) Previous registration details of your enterprise

DO AND LEARN

Identify various forms of business organisations in your locality and discuss with them various legal formalities which have to be performed and how they obtained clearance from local authorities.

CONCEPT MAP





RESOURCE MOBILISATION

Now you know, there are various forms of entrepreneurship organisations you can choose from as per the suitability of your business idea and the way to obtain registration. Once all the compliances are fulfilled and clearances are taken, you are almost set to start your profitable business.

Remember, the process of setting up an enterprise? Mere generation of million dollar business idea, successful conduct of feasibility analysis of your project, preparation of a properly analysed project report, fulfil all required legal formalities and obtaining of clearance is not enough to start your journey to be a successful entrepreneur. There are several more questions that need to be addressed. Like, what are the various resources required for starting business operations? Where can you find them? How can you mobilise them at the work place? How to fund your project? What are the various resources available to you? And so forth.

In this chapter we will figure out the ways and means to address these questions.



LEARNING OUTCOMES

After studying this lesson, the learner will be able to:

- classify various resources required in the business enterprises;
- describe ways to mobilise the resources for the business; and
- identify various sources of funds.

12.1 BUSINESS RESOURCES

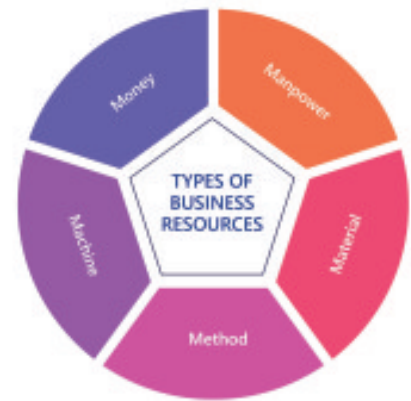
Setting up a new business can be a big challenge for an entrepreneur. It requires a lots of efforts, money and time to get it start. The potential entrepreneur need to spend a significant time in raising funds, market research, technical



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analysis, to convert a business plan into a realistic entity. Once these studies are done, and registration process finishes, an entrepreneur needs to focus upon mobilisation of resources for bringing the enterprise into existence. Let us identify what these resources are.

- Money: Financial resources
- Manpower: Human Resources
- Machine: Physical Resources
- Material: Raw Material
- Method



In the next section, we will study them in detail and identify ways to mobilise them.

12.2 MOBILISATION OF RESOURCES

Resource mobilisation refers to the coordination of all activities involved in securing new and additional resources for an organisation. It involves mobilisation of resources from outside the enterprise. Taking effective measures to make the best utilisation of existing resources is also considered as mobilisation of resources. It is often termed as new business development. Mobilisation can be explained through the five Ms. They are:

1. Money: Financial Resources

It is the most important resource and has to be arranged first to meet other resource requirements. Even the most basic form of business needs funds for getting registered and procurement of other inputs to be processed into a marketable product. Financial resources can be obtained from a variety of sources like owner's funds, finance from family and friends, borrowed funds etc. These sources can broadly be divided into two categories based on their life span.

- a. Long term financing sources are generally required to buy fixed assets and maintain minimum working capital like equity funds, preference shares, debentures, long term bank loan, public deposits etc.
- b. Short term financing sources are used to meet short term funds requirements for example trade credit, short term bank loans etc.

Thus, employment of resources completely depends on the nature of business financial needs.



Notes

2. Manpower: Human Resource

After finance, it is the most important resource which utilises other resources. The success of an organisation heavily depends upon the skills and abilities of the human resource employed by them. Thus, human resource employment decision should be taken carefully. Acquiring the right number of employees of a right type and placing the right person is the challenge which is being taken up by the entrepreneur under this category. It includes skilled as well as unskilled employees through all hierarchical rungs.

A strong team is one of the basic drivers of a successful enterprise. To select the most suitable team there are various internal and external sources available. For example, employment exchanges, contractors, advertisement in the classified section of local newspapers, online advertisements etc. Human resource management looks forward to settle the following aspects:

- Total manpower required
- Identify key required skills
- Need for training and development
- Legal compliances attached with mobilising human resource
- Estimation of future demand

3. Material

Without materials, human resource is redundant. Every right-thinking organisation knows that materials needed for any business or service must be in place before manpower can be of use. For example, cement factory workers waiting for limestone have nothing much to do till the supply arrives.

Supply chain departments grew out of this branch and have been a very useful and effective aspect of business management.

4. Machine: Physical resources

After acquiring the necessary funds and human resources, an entrepreneur needs to acquire physical resources like land and building, plant and machinery, furniture and fixtures, and raw material. Every entrepreneur should design and develop a suitable procedure for procurement of business resources and its sustainability. This aspect of resource mobilisation could be costlier as it requires heavy investments to set up workplace requirements. The physical resource mobilisation process development broadly depends upon the needs of business structure. Some businesses



Notes

do not require much more physical resources like a mobile app programmers whereas some manufacturing units require a huge physical resource investment like sugar industry, oil refineries etc. Also the quantum of physical resources depends on the size of the organisation too. Larger the firm, higher would be the requirement and vice versa. For example Amazon and Wal-Mart heavily rely on physical resource in terms of warehouses, stores and human resource workplaces as they are one of the biggest business giants in their industry.

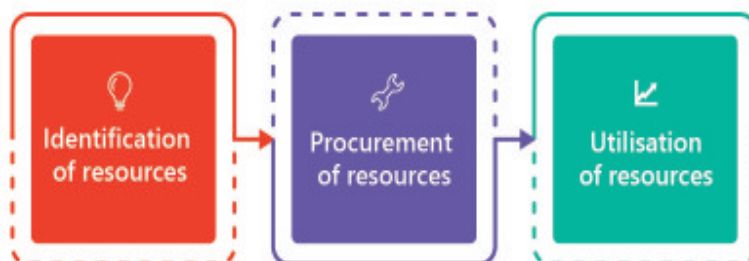
As far as ways to mobilisation of physical resources is concerned, the entrepreneur should realistically assess his need before making any purchase. Once analysed a simple purchase could be undertaken to fulfil the requirement. The physical resource mobilisation broadly includes considering the following aspects:

- Infrastructure
- Land and building
- Plant and machinery
- Technological know-how
- Franchise
- Lease agreement or acquisition
- Furniture and fixtures

5. Method

This is one of the crucial M's of the business resources. Method is defined as the sequence of activities designed to perform the task. In the service industry, methods include the chain of tasks required to create, design, sell, and deliver a service, as well as the systems created by the infrastructure to support the achievement of business outcomes. Technical know-how, trade secrets, business processes are some well-known methods.

PROCESS OF MOBILIZATION OF FUNDS





INTEXT QUESTIONS 12.1

1. State the five Ms of Mobilisation :
2. _____ is often termed as new business development.
3. _____ and _____ are examples of physical resources.
4. _____ and _____ are some well known methods of the business resources.

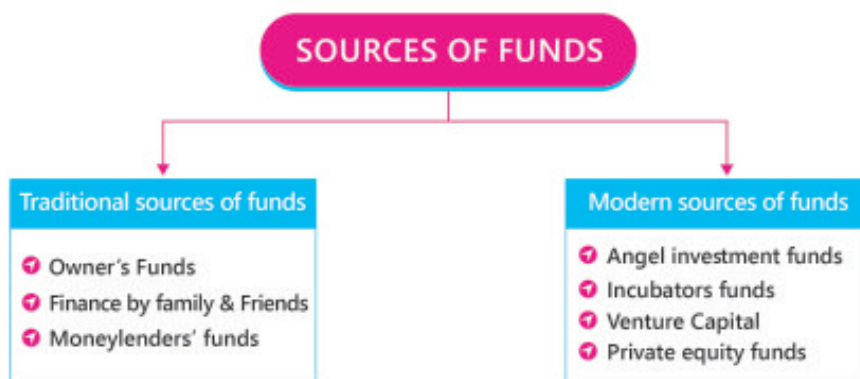


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12.3 SOURCES OF FUNDS

Recall the financial resources we needed to start your business. In this section, we will discuss various sources of funding that you can collect finance for your firm. The sources of funds can broadly be divided into two categories:

1. Traditional sources of funds
2. Modern sources of funds



1. Traditional sources of funds

a. Owner's funds

It is one of the earliest sources of funds which are still prevalent. While starting a business, an entrepreneur is the first person to invest in it. These funds are either in cash form or come in collaboration with assets. It proves to outside investors or banks that you have a long term commitment to the project and are ready to take risk.

b. Financing by Friends and Family

This is money loaned from the entrepreneur's spouse, parents, friends and family. This form of capital investment is considered patience lending by the banks and other external investors. Patience



Notes

lending is repaid when the business starts growing or the share of profit increases.

However, while this option of financing is optional the entrepreneur should keep in mind that the relative may have less capital than required, or they want ownership rights in the organisation, among other things.

c. Moneylenders /non-institutional funds

This form of raising funds is more prevalent in rural areas or areas where the institutional credit system has not yet developed much. Most of the time, it is more time efficient than other institutional sources of funds. However, the rate of interest charged is extremely high. The Government of India in coordination with the Reserve bank of India is taking all possible measures to get rid of this non-institutional market.

Thus, borrowing from a local moneylender or non-institutional credit may be a costly affair sometimes. So, the entrepreneur shall keep this fact in mind and avoid medium term or long term funds borrowings from this source.

2. Modern sources of funds

a. Angel investment funds

The term Angel Investors was first addressed by William Wetzel, founder of the Center for Venture Research, he completed his study from the University of New Hampshire on how entrepreneurs gather capital.

Angel's investors invest in small start-ups or entrepreneurs. They are typically one of the earliest equity investments made in new start-up companies usually in exchange for convertible debt or ownership equity. The angel investor is defined as "an individual who invests in small start-ups or entrepreneurs." Angels are high net worth individuals who invest their personal funds in start-ups. The capital provided by angel investors may be one-time investment to meet the initial huge expenditure at the time of setting up an entrepreneurship firm or an on-going injection of money to support the working capital needs of the firm. Some angel investors invest through crowd funding platforms.

Most often, angel investors organise themselves into an Angel group or Angel network to pool their investable capital, share the researches of relevant industries and other key resources that can help them reap profitable opportunities. Since these networks are enriched with a



Notes

good amount of research and analysis, they provide advice their portfolio companies as well.

Angel investors are often experienced entrepreneurs, who can become valuable advisers to a young company.

Angels, often take an ownership stake in the enterprise in exchange of their personal funds' investments. Such sale of company's stake holding is called "private placement".

b. Incubators

We will study the concept of business incubators in detail in Lesson 16. For now, let us limit ourselves to analyse its role in providing financial support to budding start-ups and new business enterprises.

The concept of incubators was first used in the United States of America when Joseph Mancuso opened the Batavia Industrial Centre in New York. By 1980s, it spread to the United Kingdom, United States of America and Europe. A business incubator is a company that helps start-ups and new entrepreneurs to grow by providing them development services as management training, affordable office space and other physical infrastructure, shared offices, marketing support or financial aids.

Dulf defined business incubators as, "an organisation which offers a range of business development services and access to small space on flexible terms, to meet the needs of new firms. The package of services offered by business incubators is designed to enhance the success and growth rate of new enterprise thus maximising their impact on economic development."

Business incubators provide all adequate support from a pure business idea to a successful enterprise and mentoring at various stages of the business lifecycle. Financial support is one of these crucial supports. This way, business incubators play an important role in the development of new business enterprise by providing them support at different stages of its lifecycle.

In the context of India, there are various participating departments and agencies for setting up new incubators like Department of Science and Technology, Department of Biotechnology, Department of Higher Education, Ministry of Micro, Small and Medium Enterprises, Department of Electronics and Information Technology. The Niti Aayog under Atal Innovation Mission has pledged to provide the funds to these agencies for setting up of the business incubators. These are some well-known business incubators:

**Notes**

- Seed funds founded in 2011-12.
- Science and Technology Entrepreneurship Park, a technology business incubator based in IIT Kharagpur established in 1989.
- Angel Prime Location, founded in 2011. Ezetap and Hacker Earth are major start-ups in India.
- Centre for Innovation Incubation and Entrepreneurship, set up by IIM Ahmedabad with support from the Government of India and Government of Gujarat, founded in 2002 as a research institute and turned into a full-fledged incubation centre in 2007.
- The Amity Innovation Incubation, a pioneering concept in context of Indian Universities, founded in 2008 and located in Noida, Uttar Pradesh.

c. Venture Capital

Venture capital is the process of raising capital from individuals and firms that invest in high growth and high risk firms. It is the source of long term finance, for investors investing in new start-up businesses and small businesses in the belief that they have long term growth potential. The venture capital generally comes from investors, investment banks and other financial institutions. This investment could be in monetary form or in the form of technical or managerial expertise. In other words, venture capital is the long term stable capital provided to high potential and growth-oriented start-up companies.

Venture capital funding is a risky affair for investors who invest in start-ups but has the potential for above average returns, considering these are highly risky projects. To invest venture capital wisely requires domain knowledge and expertise. This form of raising capital is popular among start-ups that do not have access to capital market, or raising bank loan and funds by issuing debentures.

Remember, venture capitalists get a stake in the firm and hence they have a say in crucial decisions made by the firm. However, raising venture capital is difficult and may not be the ideal option for all kinds of enterprises. Hence, the entrepreneur needs to research thoroughly and think twice before raising funds from this source.

For the venture capitalist, crucial investment criteria to place their funds are:



Notes

- Management team
- Technology and product
- Proprietary product or service
- Scalability and market

Some popular venture capitalists in India are:

- Accel Partners
- Blume Ventures
- Sequoia capital India
- IDG Ventures
- SAIF Partners
- Kalaari Capital

d. Private Equity Funds

Private equity fund is a collective investment scheme. It is typically a limited liability partnership contract with a term of 10 years, generally with annual renewals. In other words, private equity is an alternative investment class and consists of capital that is not listed on a public exchange market. It comprises of funds and investors that directly invest in private companies.

Private equity fund investors invest at the later stages of the company. They generally take interest in operating activities of the firm and help them improve. A private equity fund is raised and managed by investment professionals of a specific private equity firm.

There are more than 100 private equity funds in India. Senior Associate, India Alternatives; principal, Gaja Capital; Senior analyst, Capvent; TVS Capital, and India Fund Advisors are some of the emerging private equity firms in India.

CASE STUDY: Senior Associate, India Alternatives, PE Firm, India

Senior Associate, India Alternatives is an established private equity fund, with experienced team members from various fields like consultation firms, private equity, corporate finance banking etc. The company has experts operating on its Board which specialises in governance, education, health care and fund raising.

**Notes**

India Alternatives provides holistic solutions for both equity and debt requirements. They assist entrepreneurs and make their businesses IPO-ready and collaborate with promoters to focus on key business drivers that generally results in disproportionate increase in value.

India Alternatives deals in acquiring or buying a business and investing in existing businesses. The investment size remains between Rs. 10 crore to Rs. 80 crore.

The company targets investments in a variety of unrelated sectors such as agriculture capitals, textile, apparel and accessories, footwear, home furnishing, restaurants and bars, agriculture, food processing, household products, beauty and wellness, advance medical technology, biotechnology, industrial goods, healthcare technology and education.

Attractiveness of business model, strength and experience of managerial profile, current revenues and future revenue growth and its drivers, profitability, valuation attractiveness, brand name and market leadership position assets with high ROCEs are some key investment criteria observed by the firm. They deal with enterprises in India.

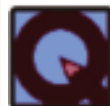
Advantages of Private Equity Funds

1. Allows firms more liquidity unlike other conventional modes of funds i.e. high risk bank loans, or listing to public exchanges.
2. Certain specific private equities finance new ideas and provide funding at initial stages.

Disadvantages of Private Equity Funds

1. It can be difficult to liquidate holdings if the firm winds up.
2. Prices of shares of the company are determined by mutual negotiations between buyers and sellers and not by market demand and supply forces, which mostly leads to under-pricing of the holdings.

Thus, there are various sources of finance an entrepreneur can opt for based on availability, accessibility and structural requirements of the enterprise. Once the funds are generated and various other resources are mobilised, an entrepreneur is set to start the business project proposed at the earlier stages.

**INTEXT QUESTIONS 12.2**

State whether these statements are true or false:

1. Venture capital is the source of long term finance.



Notes

2. Private equity funds are listed at the public exchange markets.
3. Liquidation at the time of winding up is comparatively easy in case of private equity funding.
4. Venture capital investment can be in monetary form or in form of technical or managerial expertise.
5. Business incubators provide all adequate support from a pure business idea to a successful enterprise and mentoring at various stages of business lifecycle.
6. Angels often take an ownership stake in the enterprise in exchange of investing their personal funds.
7. Business incubator only provides financial services to the businesses and entrepreneurs.
8. While starting up a business, entrepreneur is the first person to invest in it.
9. Venture capitalists have no intervention in managerial decisions of the enterprise.
10. Private equity fund management companies invest directly in private firms.
11. Angel's investors avoid investing in small start-ups or entrepreneurs.



WHAT HAVE YOU LEARNT

- Setting up a new business can be a big challenge for an entrepreneur. It requires a lot of efforts, money and time to get it start.
- Mobilisation of resources involves accumulation of resources from outside of the enterprise as well as taking effective measures to make the best utilisation of existing resources. Resource mobilisation is often termed “**new business development**”.
- Financial resource is the most required resource to be arranged first to meet the other resource requirement. Even the most basic form of business need funds for getting registered and procurements of other inputs to be processed into marketable product.
- Human resource is the most important resource which sets the other resources to utilisation. The success of organisation heavily depends upon the skills and abilities of the human resource employed by them.
- To select this most suitable team there are various internal and external

**Notes**

sources available for example employment exchanges, contractors, advertisement in local news-paper classified, online advertisements etc

- Acquiring key educational resources is one of the greatest things an entrepreneur can do. By understanding the competition and gaining in-depth knowledge of the industry, an entrepreneur would better prepare to take quick and correct decisions.
- Educational resources can be acquired through professional trade associations which are geared through his industry, his local chamber of commerce, as well as small business administrations.
- The sources of funds can broadly be divided into two categories: Traditional sources of funds and modern sources of funds.
- Owners' personal funds are one of the earliest sources of funds which are prevalent to date. An entrepreneur is the first person to invest in a new business either in cash or come in collaboration with assets.
- Money loaned from spouse, parents, friends and family is considered Patience Lending by banks and other external investors.
- The angel investor is defined as "an individual who invests in small start-ups or entrepreneurships". Angels are high net worth individuals who invest their personal funds to start-ups capital.
- Angels often take ownership stake in the enterprise in exchange of investing their personal funds. Such sale of company's stake holding is called private placement.
- The business incubator is an organisation offering a range of business development services and access to small space on flexible terms, to meet the needs of new firms.
- The package of services offered by business incubators is designed to enhance the success and growth rate of new enterprise thus maximising their impact on economic development.
- Venture capital is the process of raising capital from individuals and firms that invest in high growth and high risk firms. It is the source of long term finance, which investors invest in new start-up businesses and small businesses that are believed to have long term growth potential.
- Private equity fund investors invest at the later stages of the company. They generally take interest in operating activities of the firm and help they improve.

**TERMINAL QUESTIONS**

1. What is mobilisation of resources?
2. Define long term financing sources.
3. Define short term financing sources.
4. Name the sources for mobilisation of appropriate human resources for the firm?
5. Discuss various aspects taken into consideration during the process of human resource mobilisation.
6. Discuss various aspects taken into consideration during the process of educational resource accumulation.
7. Discuss various aspects taken into consideration during the process of physical resource mobilisation.
8. Define intellectual resources.
9. Explain the concept of Angel's investment. Name some well-known Angel Investors in India.
10. Explain various traditional sources of finance available to an entrepreneur.
11. Explain the concept of venture capital as a source of finance.
12. Do you think incubators are the most prevalent source of finance these days? Throw some light on the financial services provided by the incubators.
13. What are the functions of incubators? Name some incubators in India providing financial services to enterprises.
14. Define private equity as a source of finance. Critically analyse private equity fund as a source of finance.

**ANSWER TO INTEXT QUESTIONS****12.1**

1. Money, Manpower, Material, Machine, Method
2. Resource Mobilisation
3. Land and Building
4. Technical know-how, trade secrets.

**Notes**



Notes

12.2

- | | | | |
|----------|----------|----------|----------|
| 1. False | 2. True | 3. False | 4. True |
| 5. False | 6. True | 7. True | 8. False |
| 9. False | 10. True | 11. True | |

CONCEPT MAP





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Module 5

MSME AND ENTREPRENEURIAL ECOSYSTEM

Maximum Marks - 25

Study Hours 45

Micro, small and medium enterprises are playing a key role in GDP and generation of employment in our country. This module consists of entrepreneurial support ecosystem. The learners will be able to understand MSMEs, key stakeholders, government support for setting an enterprise.

Lesson 13 MSMEs

Lesson 14 Whom to Approach for What

Lesson 15 Government Schemes for Entrepreneurs

Lesson 16 Introduction to incubation

Lesson 17 E- resources



MICRO, SMALL AND MEDIUM ENTERPRISES (MSMEs)

Walking through the streets of any rural area, town or city, you might have seen some industrial plants, enterprises and business shops. For example, Gupta Furniture Shop Pvt. Ltd., Sri Sai courier services, Jyothi cloth merchants, Om Ganesh bricks unit, XYZ cement company Ltd. etc. What do these names stand for? Did you ever try to know about them? Each such enterprise has some kind of a business process. You will see some employees working in manufacturing plants and some are providing services at the front office. Those enterprises and business firms are either manufacturing or providing services.

Let us know in detail about business, enterprise, factory, manufacturing and service sector, and Micro, Small and Medium Enterprises (MSME).



LEARNING OUTCOMES

After studying this lesson, the learner will be able to:

- explain business, enterprises, factory, manufacturing and service sector ;
- identify different types of business entities and its registration process ;
- differentiate between manufacturing and service sector ; and
- describe the concept of MSME and ease of doing business.

13.1. BUSINESS, FACTORY AND ENTERPRISE

13.1.1 Importance of MSMEs for Economic Growth

Micro, small and medium enterprises are the pillars of economic growth in many developed and developing countries. MSME is rightly termed as “the engine of growth” for India. MSMEs have played a prominent role in the development of the country in terms of creating employment opportunities. MSMEs have employed more

**Notes**

than 50 million people, scaling manufacturing capabilities, curtailing regional disparities, balancing the distribution of wealth, and contributing to the Gross Domestic Product (GDP). MSME sector forms 8% of GDP.

The Government has planned to raise the contribution of MSME sector to the country's GDP to 50 percent from the present 29 percent, and ensure that it gives employment to at least 15 crore people against the 11.1 crore at present.

Six Economic Censuses have been conducted so far in 1977, 1980, 1990, 1998, 2005 and 2013-14. The Sixth Economic Census (2013) found 58.5 million establishments in operation of which 34.8 million establishments (59.48%) were found in rural areas and nearly 23.7 million establishments (40.52%) were located in urban areas. According to National Sample Survey (NSS), 73rd Round on Unincorporated Non-Agricultural Enterprises in Manufacturing, Trade and Other Services Sectors, there are 633.92 lakh MSMEs in India, and only 4000 enterprises of them were large Industries.

13.1.2 Business

Business is a human economic activity which is concerned with the production and distribution of goods and services with the objective of earning profits. Businesses can be privately owned, not-for-profit or state-owned.

13.1.3 Factory

As per the Factories Act 1948, Factory means any premises, including the precincts thereof, in any part of which a manufacturing process is being carried on or is ordinarily so carried on:

- with the aid of power, provided that 50 or more workers are working or were working thereon on any day of preceding twelve months, or
- without the aid of power, provided that 100 or more workers are working or were working thereon any day of the preceding 12 months and provided further that in no part of such premises any manufacturing process is being carried on with the aid of power

13.1.4 Enterprise

The Micro, Small and Medium Enterprises Development Act 2006 (MSME Act) provides for facilitating the promotion and development and enhancing the competitiveness of micro, small and medium enterprises. The Act provided the appropriate definitions for enterprise, manufacturing and service sector.

According to MSME Act 2006, Enterprise means an industrial undertaking or a business concern or any other establishment, engaged in the manufacture or production of goods, in any manner, pertaining to any industry specified in the first schedule to the Industries (Development and Regulation) Act 1951 or engaged in providing or rendering of any service or services.

MODULE - 5

MSME and Entrepreneurial
Ecosystem



Notes

Micro, Small and Medium Enterprises (MSMEs)



Manufacturing enterprise
engaged in the manufacture or
production of goods



Service Enterprise
engaged in providing or rendering
of services

Generally, people get confused when it comes to registration of an enterprise. Enterprise can be in form a company or proprietorship or partnership firm or cooperative. These are formed and incorporated by respective government laws and procedures.

13.2 TYPES OF BUSINESS STRUCTURES / ENTERPRISE

Let's try and understand the types of business structures available in India. Here is a list of some of them:

13.2.1 Sole Proprietorship

Sole proprietorship is a business that is owned, managed and controlled by one person. It is one of the most common forms of business in India, used by small businesses. Although sole proprietor doesn't require any specific registrations, he is advised to obtain a few registrations to make his business function smoothly. Registering as SME, Shop and Establishment Act License & GST Registration.

- **Registering as SME / Udyog Aadhaar** : Udyog Aadhaar is a twelve digit Unique Identification Number provided by the Ministry of Micro, Small and Medium Enterprises, Government of India for small and medium enterprises in India. It is also known as Aadhaar for Business. You can get yourself registered as Small and Medium Enterprise (SME) under the MSME Act. The application can be filed electronically. Although it isn't compulsory to register as an SME, it is highly beneficial, especially at the time of taking loan for the business. The Government runs various schemes for SMEs where loans are provided at the concessional rate of interest.
- **Shop and Establishment Act License**: This license isn't mandatory at all places, but it is required to be obtained according to the local laws. It is issued by the municipalities or local bodies and is issued on the basis of the number of employees.
- **Goods and Services Tax (GST Registration)** : You can get yourself registered under GST if your annual turnover is more than Rs. 20 lakhs. Also, if you are

doing online business (selling through amazon, flipkart etc.), you are required to get a GST number.

13.2.2 Partnership / Limited Liability Partnership

A partnership firm is an organization which is formed with two or more persons to run a business with a view to earn profit. Each member of such a group is known as partner and collectively known as partnership firm. If you want to start your business, then you must get it registered under Indian Partnership Act, 1932.

Alternatively, you may choose the LLP. The minimum number of partners to incorporate a Limited Liability Partnership (LLP) is 2. There is no upper limit on the maximum number of partners of LLP. Among the partners, there should be minimum two designated partners who shall be individuals, and at least one of them should be resident in India. The rights and duties of designated partners are governed by the LLP agreement. They are directly responsible for the compliance of all the provisions of LLP Act 2008 and provisions specified in LLP agreement.

If you want to start your business with Limited Liability Partnership, then you must get it registered under Limited liability Partnership Act, 2008 through Registrar of Companies.



Sole proprietorship means one person is establishing an enterprise
Partnership means two or more partners are establishing an enterprise,
it may be registered under Partnership Act 1932 or LLP Act 2008

13.2.3 Company

Company means an entity formed and registered under the Companies' Act 2013. One Person Company (OPC) or private limited or public limited companies registered under this Act is called as a Company.

What is a Company?

A company is a legal entity formed by a group of individuals to engage in and operate a business commercially or industrial enterprise.

- **One Person Company (OPC)** : Recently introduced in the year 2013, an OPC is the best way to start a company if there exists only one promoter or owner. It enables a sole-proprietor to carry on his work and still be part of the corporate framework.



Notes

MODULE - 5

MSME and Entrepreneurial
Ecosystem



Notes

Micro, Small and Medium Enterprises (MSMEs)

- **Private Limited Company (PLC):** A company in the eyes of the law is regarded as a separate legal entity from its founders. It has shareholders (stakeholders) and directors (company officers). Each individual is regarded as an employee of the company.
- **Public Limited Company (PLC) :** A PLC is a voluntary association of members which is incorporated under company law. It has a separate legal existence and the liability of its members are limited to shares they hold.

13.2.4 Cooperative Society

A cooperative is “an autonomous association of persons united voluntarily to meet their common economic, social, and cultural needs and aspirations through a jointly-owned enterprise”. Cooperative Society means a co-operative society registered under this Act 1950 or any state/relevant act.



The company registered under the Companies Act may have many shareholders who invested in the business



The Women's Dairy Cooperative Society is registered under Cooperative Act and all like-minded women from the same occupation join to manage their own and controlled cooperative society

Registration of Business Enterprises

Business Registration	Under which Act	Registration at
Sole Proprietorship		
Partnership firm	Partnership Act 1932	Registrar offices (State Government)
	Limited liability Partnership Act 2008	Registrar offices (State Government)
Company, one person company, private limited company, public limited company	Companies Act 2013	Registrar of companies (Central Government)
Cooperative Society	Cooperative Act Mutually Aided Cooperatives Act	Registrar of Cooperatives



INTEXT QUESTIONS 13.1

State whether these statements are true or false:

- 1) The manufacturing sector and service sector are both the same.
- 2) The proprietary firm is an enterprise.
- 3) Cooperative Society is also an Enterprise
- 4) Enterprise means manufacture or production of goods engaged in providing or rendering any service or services.
- 5) The factory is an enterprise.

13.3 DEFINITION OF MSME

What exactly an SME or Small to Medium Enterprise is, depends on who is defining it. Depending on the country, the size of the enterprise can be categorized based on the number of employees, annual sales, assets, or any combination of these. It may also vary from industry to industry. SMEs have a dominant share of the global economy. Small to medium enterprises (SMEs) make up the vast majority of businesses in most countries.

13.3.1 MSME definition in India

After 14 years since the MSME Development Act came into existence in 2006, a revision in MSME definition was announced in the *Atmnirbhar Bharat package* on 13th May, 2020. As per this announcement,

- The definition of Micro manufacturing and services units was increased to Rs. 1 Crore of investment and Rs. 5 Crore of turnover.
 - The limit of small unit was increased to Rs. 10 Crore of investment and Rs. 50 Crore of turnover. Similarly, the limit of medium unit was increased to Rs. 20 Crore of investment and Rs. 100 Crore of turnover.
 - The Government of India on 01.06.2020 decided for further upward revision of the MSME Definition. For medium Enterprises, now it will be Rs. 50 Crore of investment and Rs. 250 Crore of turnover.
- (i) **a micro enterprise**, where the investment in Plant and Machinery or Equipment does not exceed one crore rupees and turnover does not exceed five crore rupees;
 - (ii) **a small enterprise**, where the investment in Plant and Machinery or Equipment does not exceed ten crore rupees and turnover does not exceed fifty crore rupees;
 - (iii) **a medium enterprise**, where the investment in Plant and Machinery or Equipment does not exceed fifty crore rupees and turnover does not exceed two hundred and fifty crore rupees.



Notes



Notes

13.3.2 Definition of Investment and Turnover

Investment: To allocate money in the expectation of some benefit in the business (Personal money or loan from Banks and other financial institutions)

Turnover: The amount derived from the provision of goods and services after deduction of trade discounts, taxes and any other taxes based on the amounts so derived.

	Investment	Turnover
Micro Enterprises	1	5
Small Enterprises	10	50
Medium Enterprises	50	250

13.3.3 Definition of Manufacturing and Service Sector

“**Manufacturing process**” means any process for:-

- Making, altering, repairing, ornamenting, finishing, packing, oiling, washing, cleaning, breaking up, demolishing or otherwise treating or adapting any article or
- Substance with a view to its use, sale, transport, delivery or disposal; or
- Pumping oil, water, sewage, or any other substance; or
- Generating, transforming or transmitting power; or
- Composing types for printing, printing by letter press, lithography, photogravure or
- Other similar process or book-binding; [or]
- Constructing, reconstructing, repairing, refitting, finishing or breaking up ships or vessels; or preserving or storing any article in cold storage.

“Service Sector”

Service sector provides services rather than providing tangible goods. Activities in the service sector include retail, banks, hotels, real estate, education, health, social care, computer services, recreation, media, communications, electricity, gas and water supply on service fee payment basis/business mode.

13.3.4 Differences between manufacturing and service sector

Tangible	Intangible
Homogeneous	Heterogeneous
Production and distribution are separated from consumption	Production, distribution and consumption are simultaneous processes



Notes

A thing	An activity or process
Core value processed in factory	Core value produced in the buyer-seller interaction
Customers do not participate in the production process	Customers participate in production
Can be kept in stock	Cannot be kept in stock
Transfer of ownership	No transfer of ownership

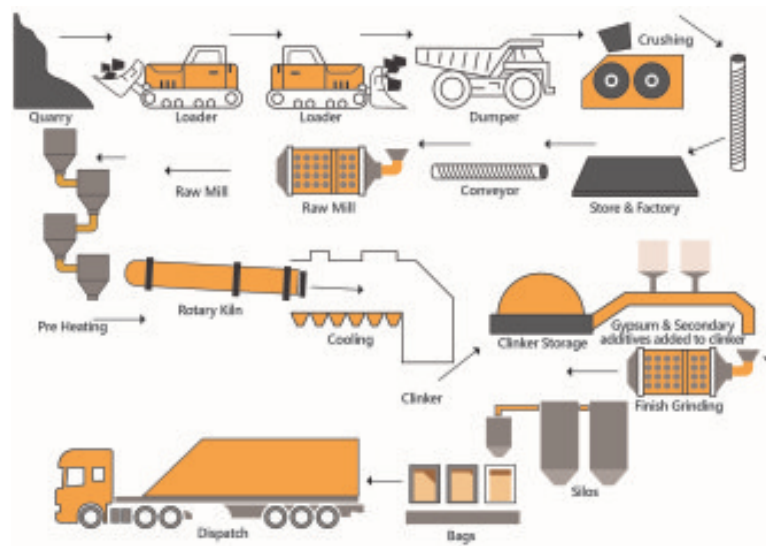
UdyogAadhaar Registration – Ministry of MSME, Government of India



Central Government – UdyogAadhaar (<https://udyogaadhaar.gov.in>)

UdyogAadhaar is a government registration that is provided along with a recognition certificate and a unique number to certify small or medium businesses or enterprises. The central motive behind this facility was to offer a way to the government to provide the maximum benefits to medium or small-scale businesses or industries in India registered via MSME through their Aadhaar Card Number. The owner, director or proprietor of the entity will provide his/her 12digit Aadhaar Number, whether the enterprise or entity is a sole proprietor, an LLP, a Private limited company or anything else. It should have the recognition certificate provided via the MSME registration process.

Manufacturing Process – Cement Industry



Brief Description of The Cement Manufacturing Process

- i. **Crushing Section:** The raw materials mainly limestone, additives etc. are crushed in the separate crushers and stored automatically into the respective silos.

MODULE - 5

MSME and Entrepreneurial
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Notes

Micro, Small and Medium Enterprises (MSMEs)

- ii. **Storage & Proportioning:** The different raw materials are extracted from the silos in the desired proportion through table feeders and conveyed to raw mill.
- iii. **Raw Milling:** The raw mix is ground into a Ball Mill at desired fineness to produce Raw Meal, and transported for Homogenizing.
- iv. **Blending & Homogenization:** The raw meal is homogenized in the blending silos, and is stored automatically into a storage silo for feeding to the kiln.
- v. **Palletizing & Burning:** The raw meal is charged into the kiln for burning. The clinker after discharge is stored in the clinker yard through deep Bucket Elevator.
- vi. **Clinker/gypsum crushing, storage & proportioning:** Clinker & Gypsum after crushing stored into the hoppers and extracted in the desired proportion with the help of table feeders and transported to the Cement mill Hopper.
- vii. **Cement Milling:** The clinker, Gypsum & Fly ash mix is ground in the cement mill to produce cement.
- viii. **Storage & Packing:** The cement is stored into the cement silos and aerated, tested and packed for dispatch.

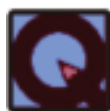
Service Sector – Courier Delivery Services

	i. Merchant or retail customer plans to send a shipment abroad or domestically and request a delivery via phone. Email or web booking.
	ii. Customer service takes the shipment order and directly updates the system to notify the courier person to pick-up the shipment.
	iii. Notified by the IT system, the courier collect or picks the shipment and records successful pickup and heads to the warehouse.
	iv. At the warehouse, the shipment is sorted based on the urgency and destination requested. The customer is able to track his shipment on a real time basis.
	v. Operations allocate a delivery job to each courier boy based on their zone coverage. Operations track the movement of all of its couriers via mobile including the number of deliveries performed and his efficiency.
	vi. For domestic shipments, the delivery is made to the end customer or parcel lockers.



Notes

	vii. For International shipments, we either deliver the shipment to our agents or they pick it up from our warehouse depending on the agreement. Those agents also provide us with a shipment tracking services.
	viii. The agent chooses the delivery mode depending on the parcel delivery requirements (priority, size and destination) and delivers it to the warehouse of the destination country. The shipment is then sorted for delivery.
	ix. The recipient of the shipment is then contracted by the customer services of the agent and arranged a time for delivery.



INTEXT QUESTIONS 13.2

I. Match the following:

1. Cement factory	1. Service Sector
2. 9 crore investment in plant and machinery	2. Medium Enterprise
3. 9 lakhs investment in photo studio equipment	3. Small Enterprise
4. Courier	4. Micro Enterprise
5. 25 crore investment in Food processing unit	5. Manufacturing Sector

II. Choice the correct answer :

i) Micro Enterprise (Limit for Investment)

a) 0-1Crore	b) 2-10 Crore	c) 11-50 Crore	d) None
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ii) Small Enterprise (Limit for Investment)

a) 0-1Crore	b) 2-10 Crore	c) 11-50 Crore	d) None
-------------	---------------	----------------	---------

iii) Medium Enterprise (Limit for Investment)

a) 0-1Crore	b) 2-10 Crore	c) 11-50 Crore	d) None
-------------	---------------	----------------	---------

iv) Micro Enterprise (Limit for Turnover)

a) 0-5 Crore	b) 6-50 Crores	c) 51-250 crore	d) None
--------------	----------------	-----------------	---------

v) Small Enterprise (Limit for Turnover)

a) 0-5 Crore	b) 6-50 Crores	c) 51-250 crore	d) None
--------------	----------------	-----------------	---------

vi) Medium Enterprise (Limit for Turnover)

a) 0-5 Crore	b) 6-50 Crores	c) 51-250 crore	d) None
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**Notes**

13.4. EASE OF DOING BUSINESS

“Ease of doing business” (EoDB) is an index created by **Simeon Djankov** published yearly by the World Bank . It defines the ease of doing business in a country. Higher rankings in the index imply better, simpler business regulations and stronger protections for property rights.

13.4.1 Importance of EoDB

With the growing number of small-and-medium enterprises in India, ease of doing business plays a crucial role in the India’s economic growth and creating employment opportunities for youth. While ease of doing business has implications for foreign direct investments, local businesses too are impacted by the processes, rules, and regulations set up by governments that can help promote a business-friendly environment or hold local businesses back from their entrepreneurial ambitions. It goes without saying that when systems, processes, rules and regulations are business-friendly, setting up businesses is made easier for not just big companies but also smaller ones that have less capital and resources at their disposal. Thus, ease of doing business can benefit businesses and local citizens in creating an open and fair economic environment.

13.4.2. India Rank in ease of doing business

Sustained business reforms over the past several years helped India jump 23 places to move to 77th position in 2018 global ease of Doing Business rankings. India carried out six business reforms during the past year, earning the credentials of being a top global improver for a second consecutive year. The latest reforms were in the Doing Business areas of starting a Business, Dealing with Construction Permits, Getting Electricity, Getting Credit, Paying Taxes, and Trading Across Borders.

13.4.3 EoDB : Eight Key Areas

To setup an enterprise, the Central and State Governments are focusing on following aspects

- Starting a Business
- Dealing with Construction Permits
- Getting Electricity
- Registering Property
- Getting Credit
- Protecting Minority Investors



- Paying Taxes
- Trading across Borders
- Enforcing Contracts
- Resolving Insolvency

13.4.4 State Government Initiatives

State governments are taking several steps such as setting up single window system for approvals to improve ease of doing business. The parameters include areas such as construction permit, labour regulation, environmental registration, easy loans, setup incubation centers, funding, and access to information, land availability and single window system.

13.4.5 EoDB Ranks for States

Ease of doing business ranking of states of India has been done by World Bank since 2015 and facilitated by the Department of Industrial Policy and Promotion, under the Ministry of Commerce and Industry (India) of Government of India based on the progress of states in completing annual reform action plan covering 8 key areas which has a number of points that vary every year.

State or Union Territory	2018 ranking	2015 ranking	Called
Andhra Pradesh	98.42 (1/36)	70.12 (2/32)	Top Achievers
Telangana	98.33 (2/36)	42.45 (13/32)	Top Achievers
Haryana	98.07 (3/36)	40.66 (14/32)	Top Achievers
Jharkhand	97.99 (4/36)	63.09 (3/32)	Top Achievers
Gujarat	97.96 (5/36)	71.14 (1/32)	Top Achievers
Chhattisgarh	97.36 (6/36)	62.45 (4/32)	Top Achievers
Madhya Pradesh	97.31 (7/36)	62.00 (5/32)	Top Achievers
Karnataka	97.40 (8/36)	48.50 (9/32)	Top Achievers
Rajasthan	95.69 (9/36)	61.05 (6/32)	Top Achievers
West Bengal	94.70 (10/36)	46.90 (11/32)	Achievers
Uttarakhand	94.21 (11/36)	13.36 (23/32)	Achievers
Uttar Pradesh	92.87 (12/36)	47.37 (10/32)	Achievers
Maharashtra	92.71 (13/36)	49.43 (8/32)	Achievers
Odisha	92.09 (14/36)	52.12 (7/32)	Achievers

MODULE - 5

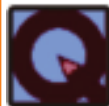
MSME and Entrepreneurial
Ecosystem



Notes

Micro, Small and Medium Enterprises (MSMEs)

Tamil Nadu	90.68 (15/36)	44.58 (12/32)	Achievers
Himachal Pradesh	87.90 (16/36)	23.95 (17/32)	Fast Mover
Assam	84.75 (17/36)	14.84 (22/32)	Fast Mover
Bihar	81.91 (18/36)	16.41 (21/32)	Fast Mover
Goa	57.34 (19/36)	21.74 (19/32)	Average Mover
Punjab	53.92 (20/36)	36.73 (16/32)	Average Mover
Kerala	44.79 (21/36)	22.87 (18/32)	Slow Mover
Jammu and Kashmir	33.05 (22/36)	05.93 (29/32)	Slow Mover
Delhi	31.60 (23/36)	37.35 (15/32)	Slow Mover
Daman and Diu	28.69 (24/36)	14.58 (22/32)	Slow Mover
Tripura	22.27(25/36)	09.29 (26/32)	Aspirers
Dadra and Nagar Haveli	21.28 (26/36)	01.79 (32/32)	Aspirers
Puducherry	15.65 (27/36)	17.72 (20/32)	Aspirers
Nagaland	14.04 (28/36)	03.41 (31/32)	Aspirers
Chandigarh	11.44 (29/36)	10.04 (24/32)	Aspirers
Mizoram	03.63 (30/36)	06.37 (28/32)	High Aspirers
Andaman and Nicobar Islands	01.24 (31/36)	09.73 (25/32)	High Aspirers
Manipur	00.27 (32/36)	01.19 (32/32)	Very High Aspirers
Sikkim	00.13 (33/36)	07.23 (27/32)	Very High Aspirers
Meghalaya	00.00 (34/36)	04.38 (30/32)	Very High Aspirers
Arunachal Pradesh	00.00 (35/36))	01.23 (32/32)	Very High Aspirers
Lakshadweep	00.00 (36/36)	00.3 (32/32)	Very High Aspirers



INTEXT QUESTIONS 13.3

Fill in the blanks-

- EODB means _____
- EODB Index created by _____
- EODB Index focusing on _____key areas
- EODB is being published every _____ by World Bank.

- v) India rank in EODB 2018_____
- vi) _____state have first Rank in EODB 2018.



WHAT YOU HAVE LEARNT

- Enterprise means manufacture or production of goods by an entity engaged in providing or rendering any service or services.
- Sole proprietorship is a business that is owned, managed and controlled by one person.
- Limited Liability Partnership Act 2008 or Partnership Act 1932; partnership as the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.
- Company means a company formed and registered under the Companies Act 2013.
- Cooperative Society means a co-operative society registered under this Act 1950 or any state cooperative act.
- Factory means any premises, including the precincts thereof, in any part of which a manufacturing process is being carried on.
- The MSME definition is classified based on limits of Investment and Turnover.

	Investment	Turnover
Micro Enterprises	1	5
Small Enterprises	10	50
Medium Enterprises	50	250

- Ease of doing business plays a crucial role in the India economic growth and creating employment opportunities for youth. To setup an enterprise, the central and state governments are providing assistance to entrepreneurs regarding registration, credit etc.
- Sustained business reforms over the past several years helped India jump 23 places to move to 77th position in 2018 global ease of Doing Business rankings.
- UdyogAadhar is a government registration that is provided along with a recognition certificate and a unique number in order to certify small/medium businesses or enterprises.



Notes

MODULE - 5

MSME and Entrepreneurial
Ecosystem



Notes

Micro, Small and Medium Enterprises (MSMEs)



TERMINAL QUESTIONS

- 1) What is MSME?
- 2) Explain difference between Manufacturing Sector and Service Sector?
- 3) What is meaning of Ease of Doing Business?
- 4) Explain the limits of Investment & Turnover amount for micro, small and medium enterprises?
- 5) What is Udyog Aadhar?
- 6) Explain Cement manufacturing process?
- 7) Explain about registration of enterprises based on various acts?
- 8) Explain about key areas of EODB?
- 9) Explain about Courier Company services ?
- 10) Explain the importance of MSMEs in India.



ANSWER TO INTEXT QUESTIONS

13.1

1) False	2) True	2) True	2) True	2) True
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13.2

Matching

i) 5	ii) 3	iii) 4	vi) 1	v) 2	
i) a	ii) b	iii) c	vi) a	v) b	vi) c

3.3

Fill in the blanks

1. Ease of Doing Business
2. Simeon Djankov
3. eight
4. year
5. 77th Position
6. Gujarat State

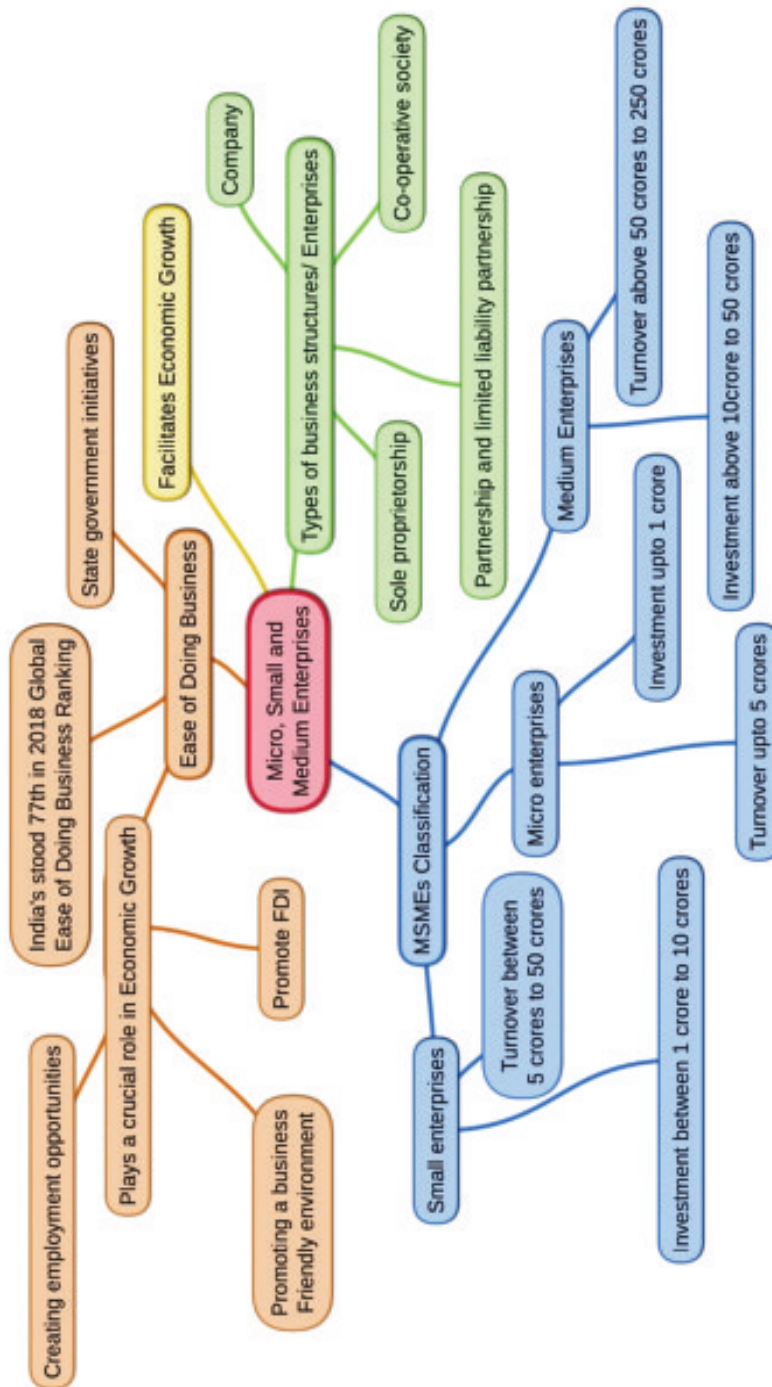
ACTIVITY FOR YOU

Identify a few micro, small and medium enterprises (MSME) in your area and discuss with them about the registration of their enterprises, getting licenses, incentives from the government, enterprise product and service and its process.

CONCEPT MAP



Notes





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14

WHOM TO APPROACH FOR WHAT

“He who loves practice without theory is like the sailor who boards ship without a rudder and compass and never knows where he may cast.”

— Leonardo da Vinci.

The above words are relevant for an entrepreneur who is like a sailor in the boat wanting to reach a destination. Various central and state government organisations guide entrepreneurs to their destination. They support entrepreneurs through various schemes and programmes. These schemes and programmes are implemented through various government agencies. Once you have identified the business you want to start, it would be interesting to know which government departments could be helpful. So, knowing about these organisations and approaching the relevant government departments can help you start or grow your existing business.

You must have seen many government departments working for development of business near you. These could be District Industries Centres (DICs), Khadi and Village Industries Commission (KVIC), National Small Industries Corporation (NSIC), National Bank for Agriculture and Rural Development (NABARD) and various banks.

In this chapter we will be learning which government department provide assistance and what services they can be contacted for.



LEARNING OUTCOMES

After studying this lesson, the learner will be able to:

- describe the importance of developing rapport with the key stakeholders; and
- describe the services of various stakeholders.

**Notes**

14.1 ROLE OF GOVERNMENT ORGANISATIONS IN ENTREPRENEURSHIP DEVELOPMENT

Entrepreneurship plays an important role in the economic growth and development of the country. So, the government has an important role in supporting entrepreneurs through various means. The government provides training, infrastructure, technology, finance, machineries, raw material support etc. The government also ensures business-friendly policies like Make in India and introducing tax system reforms like the Goods and Services Tax (GST). India is classified as an easy place to do business in the Global Ease of Doing Business Index due to business-friendly policies and support of the government. To do this, central and state governments have set up various organisations and departments.

Entrepreneurs initially have few ideas for starting an enterprise. Entrepreneurs require guidance in selection of businesses that they should start. They also require training about the procedure of starting a business, regulations, government schemes and other support mechanisms. That is why Entrepreneurship Development Programmes (EDP) are conducted by various organisations to support new entrepreneurs. To understand how important this is, imagine what will happen if a person starts driving without learning to drive. That is why we have driving schools. Similarly, new entrepreneurs who undergo Entrepreneurial Development Programme (EDP) understand how to start and run a business and become successful entrepreneurs. Entrepreneurs also need to register every business with appropriate government bodies. This helps get easy bank loans and easy access to government schemes. Some entrepreneurs may also require help for technology, machinery, raw material and marketing.

We will now look at major organisations and whom should the entrepreneur contact for what.

14.2. IMPORTANT GOVERNMENT ORGANISATIONS

In this section we will understand some of the important government organisations. We will learn more about:

1. District Industries Centres (DICs)
2. MSME Development Institutes (MSME-DIs)
3. Khadi and Village Industries Commission (KVIC)
4. National Small Industries Corporation (NSIC)
5. National Bank for Agriculture and Rural Development (NABARD)

MODULE - 5

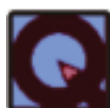
MSME and Entrepreneurial
Ecosystem



Notes

Whom to Approach for What

6. Small Industries Development Bank of India (SIDBI)
7. State Financial Corporations (SFCs)
8. Skill Development Centres
9. Entrepreneurship Development Institutes
10. Export Promotion Councils and Commodity Boards



INTEXT QUESTIONS 14.1

Write down the full form of the following acronyms:

(i) DIC	
(ii) NSIC	
(iii) NABARD	
(iv) KVIC	
(v) EDP	

14.2.1. District Industries Centres (DICs)

As per the Industrial Policy 1977, with the support of the central government, state governments started District Industries Centres (DICs) in every district of a state. This centre is located in district headquarters and promotes industrial development in the whole district.

DICs provide assistance and support to entrepreneurs. They are also responsible for effective promotion of micro, small and medium enterprises at district level. They also

generate employment opportunities for the public. A DIC is headed by a General Manager and is supported by Industry Promotion Officers (IPOs). They work under the Directorate of Industries of the respective state government. Therefore, most state government schemes and subsidies are routed through DICs.

Entrepreneurs should visit, participate and register themselves with local DICs to take maximum advantage of support facilities and expertise. The district industrial profile prepared by the DIC gives a fair idea of resources and opportunities in the district.





Notes

14.2.2. MSME-Development Institutes (MSME-DIs)

MSME-Development Institutes are field institutes of the Development Commissioner, Ministry of MSME, Government of India. There are MSME-DIs and Branch MSME-DIs set up in state capitals and other industrial cities all over the country.



MSME-DIs provide consultancy and support to the MSMEs. They guide entrepreneurs for selection of product, location, raw materials, machinery, layout, production process, managerial consultancy, etc. With changing times, they also focus on modernisation, technology upgradation, acquiring international quality systems, energy conservation, pollution control and similar details for MSMEs.

MSME-DIs also spread awareness about central government schemes and identify suitable beneficiaries for these schemes. They also conduct Entrepreneurship cum Skill Development Programmes (ESDP), Entrepreneurship Development Programmes (EDP), Management Development Programmes (MDP) and Skill Development Programmes (SDP) focussing on developing and sharpening the entrepreneurial, managerial and technical skills of the existing or prospective entrepreneur. They also coordinate with DICs and link with state government functionaries.



14.2.3. Khadi and Village Industries Commission

The term Khadi goes back to the Swadeshi Movement launched by Mahatma Gandhi in 1920. He propagated the use of hand-woven and home-spun fabrics. Khadi is a hand-made cloth using the *charkha* or indigenous spinning wheel.

The Khadi and Village Industries Commission (KVIC) is a body under the Ministry of MSME, Government of India. It works for the development of Khadi and other village industries in the rural areas. It provides raw materials and implements to the artisans, creates common facilities centre for processing of raw materials as semi-finished goods and also supports in its marketing. Besides Khadi, KVIC promotes enterprises like soap, detergents, pottery, honey, handmade paper, food processing, leather, coir etc.



MODULE - 5

MSME and Entrepreneurial
Ecosystem



Notes

Whom to Approach for What

KVIC implements various schemes for Khadi, cluster development etc. but the most prominent is the Prime Minister's Employment Generation Programme (PMEGP) which is basically a credit-linked subsidy scheme aimed at creating employment opportunities across the country. This can be applied for online.



14.2.4. National Small Industries Corporation (NSIC)

National Small Industries Corporation (NSIC) is a Government of India Enterprise under Ministry of Micro, Small and Medium Enterprises (MSME). It operates through a countrywide network of offices and Technical Centres in the country.

NSIC helps MSMEs by providing marketing support like tender marketing. It forms group of micro and small units manufacturing the same product, thereby pooling in their capacity. NSIC applies for tenders on behalf of MSMEs to secure orders for them. These orders are then distributed amongst enterprises according to their production capacity.

NSIC also does Single Point Registration for Government Purchase. It provides marketing intelligence to MSMEs, organises exhibitions and technology fairs and buyer-seller meets. It also provides credit support, technology support and incubation of unemployed youth for setting up of new micro and small enterprises. It also helps other developing countries enhance their MSME capabilities.

14.2.5. National Bank for Agriculture and Rural Development (NABARD)

National Bank for Agriculture and Rural Development (NABARD) is an agricultural and rural development bank owned by Government of India. It looks after the development of the rural- and agriculture-based small industries in the country. NABARD has schemes for both farm and off-farm sectors. In the farm sector, support is for starting dairy units, bio-fertiliser and bio-pesticide units, agri-clinics, animal husbandry, agricultural marketing etc. In the off-farm sector, NABARD provides support for livelihood development programmes, Self- Help Groups (SHGs), weaver's cooperatives etc.



NATIONAL BANK FOR
AGRICULTURE AND RURAL
DEVELOPMENT

NABARD branch offices are located in all district headquarters. The head office is at Mumbai. It mostly finances through banks. So, applications for



various subsidies and schemes are made through banks. It regulates and supervises all cooperative banks and Regional Rural Banks (RRB) in the country.



INTEXT QUESTIONS 14.2

Fill in the blanks :

1. A DIC is headed by a _____ and is supported by _____.
2. KVIC is a body under the ministry of _____.
3. _____ helps MSMEs by providing marketing support like tender marketing.
4. NABARD looks after the development of the _____ and _____ based small industries in the country.

14.2.6. Small Industries Development Bank of India (SIDBI)

Small Industrial Development Bank of India (SIDBI) is a development financial institution for MSMEs, headquartered at Lucknow. It has offices all over the country.



SIDBI provides loans for micro, and MSME sector through micro finance institutions (MFIs), non-banking financial companies (NBFCs), and banks. SIDBI also lends directly to MSMEs. Its main focus is for the development of rural enterprises and entrepreneurship development.

SIDBI provides funding for new startups through SIDBI Venture Capital Limited (SVCL). Micro enterprises are helped by SIDBI through Micro Units Development & Refinance Agency (MUDRA) loans in this collateral free loans are available to entrepreneurs through banks. India SME Technology Services Ltd (ISTSL) under SIDBI provides technology advisory and consultancy services.

SIDBI also helps in credit rating of MSMEs, which helps them to get easier loans. It also facilitates faster realisation of receivables for MSMEs and speedier resolution of Non-Performing Assets (NPA) in the MSME sector. SIDBI is nodal agency for some of the schemes related to development of MSMEs, such as Make in India and Startup India.



**Notes**

14.2.7. State Financial Corporations (SFCs)

State Financial Corporations (SFCs) are the state-level financial institutions responsible for the growth of MSMEs in the concerned states. SFCs provides many entrepreneur-friendly schemes like term loans, working capital loans, seed capital assistance to suit the needs of various categories of entrepreneurs. The loans are granted mostly against mortgaged assets. Technical and financial aspects of the project are given foremost consideration while granting loans. Loan assistance is provided for purchase of land, construction of factory building, purchase of plant and machinery, to meet electrification and installation expenses and for renovation and modernisation of existing units. SFCs empower the MSME sector to contribute to the process of economic growth, employment generation and balanced regional development.

14.2.8. Skill Development Centres

Skill is defined as the ability to do a task. Just think of an electrician. He has the skill to do electric wiring in the factory and repair electrical machines. Similarly, a paddy farmer has the skill for cultivating paddy and an apiculturist has the ability to rear bees and produce honey. After developing certain skills from a training centre or institute, a person can do a salaried job or can become an entrepreneur and earn for his or her family members.



The Government of India is providing free skill development training programmes under Pradhan Mantri Kaushal Vikas Yojana (PMKVY) and Deen Dayal Upadhyaya Grameen Kaushalya Yojana (DDU-GKY). Candidates can search the website to locate training centre and courses of interest. Industrial Training Institutes (ITI) also provide various skill development programmes. These trainings are followed by job placements.

14.2.9. Entrepreneurship Development Institutes

After developing skills, if one is not interested in doing a job but wants to become an entrepreneur, the person can join Entrepreneurship Development Programmes (EDPs). Most colleges and universities also conduct EDPs. Beside this KVIC, DICs, NSIC, MSME-DI etc. also conduct these programmes regularly through the year. The certificate of



**Notes**

participating in an EDP also adds to the credibility of entrepreneur to get bank loan.

India has various reputed institutions specialising in training, consultancy and research on various aspects of entrepreneurship development. If one is interested to pursue advance courses in entrepreneurship, the person can choose from the following institutions specialising in entrepreneurship development.

- National Institute for Micro, Small and Medium Enterprises (NI-MSME), Hyderabad
- Entrepreneurship Development Institute of India (EDII), Ahmedabad
- National Institute for Entrepreneurship and Small Business Development (NIESBUD), Noida
- Indian Institute of Entrepreneurship (IIE), Guwahati
- Rural Entrepreneurship Development Institute (REDI)
- Training and Development Organisation (TDC)
- Small Industries Development Organisation (SIDO)
- Centre for Entrepreneurship Development (CEI)

14.2.10. Export Promotion Council and Commodity Boards

Export promotional Councils (EPCs) are Government of India organisations which promote and support firms in entering international markets. They guide and assist new and existing exporters. EPCs



promote India's brand abroad as a reliable supplier of high quality goods and services. They monitor exporters to see they follow international standards. They provide the trends and opportunities in international markets for goods and services and assist their members in taking advantage of such opportunities to expand and diversify exports. EPCs organise visits of delegations of members abroad to explore overseas market opportunities. They also organise trade fairs, exhibitions and buyer-seller meets in India and abroad.

Commodity Boards are statutory bodies under the central government for promoting the export of particular commodities e.g. Spices Board, Coir Board, Silk Board and Coconut Development Board.

MODULE - 5

MSME and Entrepreneurial
Ecosystem



Notes

Whom to Approach for What



INTEXT QUESTIONS 14.2

1. Fill in the blanks.
 - a) _____ is the nodal agency for startup India.
 - b) Government of India is providing free stall development training programmes under _____ yojana.
 - c) _____ promote India's brand abroad as a reliable supplier of high quality goods and services.
2. Name any three reputed institutions providing specialised training consultancy and research on various aspects of Entrepreneurship development.



WHAT YOU HAVE LEARNT

- There are various central and state government organisations working for the development of new and existing entrepreneurs.
- Central government organisations include MSME-Development Institutes (MSME-DIs), Khadi and Village Industries Commission (KVIC), National Small Industries Corporation (NSIC), National Bank for Agriculture and Rural Development (NABARD), Small Industries Development Bank of India (SIDBI), Export Promotion Councils and Commodity Boards.
- State government organisations like District Industries Centres (DICs), and State Financial Corporations (SFCs) work to develop entrepreneurship in the state.



TERMINAL QUESTIONS

1. What is District Industries Center and what are major functions of DICs?
2. Name few initiatives which are taken under Ministry of Micro, Small and Medium Enterprise.
3. What are various functions of National Bank for Agriculture & Rural Development (NABARD) and how is it useful for development of entrepreneurship.



4. DICS the various central government organizations responsible for entrepreneurship development in the country? Explain about any two organizations in details.
5. Explain about District Industries Centers (DICSs). How does it help the entrepreneurs?
6. Discuss the sole of government organizations in Entrepreneurship development of the country.
7. List any five Entrepreneurship Development Institutes in India.
8. Describe the role of Export Promotion Councils.



ANSWER TO INTEXT QUESTIONS

14.1

1. District Industries Centers
2. National Small Industries Corporation
3. National Bank for Agriculture and Rural Development
4. KVIC Khadi and Village Industries Commission
5. Entrepreneurship Development Programmes

14.2

1. General Manager; Industry promotion Officers (IPO)
2. MSME
3. NSIC
4. Rural ; agricultural

14.3

1. (a) SIDBI
(b) Deen Dayal Upadhyay Gramin Kaushalya
(c) Export Promotion Councils
2. (i) National Institute for Micro, Small and Medium Enterprises (ni-msme). Hyderabad

MODULE - 5

MSME and Entrepreneurial Ecosystem



Notes

Whom to Approach for What

- (ii) Entrepreneurship Development Institute of India (EDII), Ahmedabad
- (iii) National Institute for Entrepreneurship and Small Business Development (NIESBUD), Noida

DO AND LEARN

Dear Learners, theory and practical both are important for real learning. After learning about the various government organizations you have to visit your nearest District Industries Center (DIC) located in your district headquarter. Meet the Industries Promotion Officer (IPO) and enquire about Entrepreneurship Development Programme (EDP).

You are also required to make notes by visiting atleast 5 website of the central or state government organizations to learn more about their entrepreneurship development activities.

CONCEPT MAP





GOVERNMENT SCHEMES FOR ENTREPRENEURS

Change will not come if you wait for someone else to change things for you, or for some other time. If you work on change, change will come in your life, says Debpriya Gope, a graduate and entrepreneur. He has set up a fly ash brick manufacturing unit that uses material produced by burning coal. This can cause serious hazards if unused. He says flyash bricks are gradually replacing stone, cement concrete solid and hollow bricks in the construction industry. The concept is new and has a bright future. The unit was set up by taking a bank loan from Bangiya Gramin Vikas Bank (BGVB), Murshidabad. The unit employs around 26 people. The project cost is Rs. 25 lakhs and annual turnover is Rs. 2,16,00,000/-. How did Debpriya Gope become an entrepreneur by getting financial assistance and subsidy under a government scheme through DIC and Banks?

The Central Government is implementing various schemes for prospective entrepreneurs. Let us find out about them.



LEARNING OUTCOMES

After studying this lesson, the learner will be able to:

- explain various government schemes for entrepreneurs; and
- enlist special programmes for entrepreneurs.

MODULE - 5

MSME and Entrepreneurial
Ecosystem



Notes

15.1. PRIME MINISTER'S EMPLOYMENT GENERATION PROGRAMME (PMEGP)



The scheme aims to generate employment opportunities in rural as well as urban areas of the country by setting up new self-employment ventures, projects or micro enterprises. It also aims:

- to provide continuous and sustainable employment to a large segment of traditional and prospective artisans and rural and urban unemployed youth in the country, to help arrest migration of rural youth to urban areas.
- to increase wage earning capacity of artisans and contribute to increase in the growth rate of rural and urban employment.

The scheme is implemented by Khadi and Village Industries Commission (KVIC) as the nodal agency at the national level. At the state level, the scheme is implemented through state bodies, District Industries Centres (DICs) and banks.

The maximum cost of the project/unit admissible under the manufacturing sector is Rs25 lakh and under business/service sector is Rs10 lakh.

Intended beneficiaries

Any individual above 18 years of age is eligible to seek assistance. If the project size is above Rs.10 lakh in the manufacturing sector and above Rs. 5 lakh in the business or service sector, the applicant must have passed class VIII.

Only new projects are considered for sanction under PMEGP. Also eligible are Self Help Groups including those below poverty line (BPL) provided they have not availed benefits under any other Scheme; institutions registered under Societies Registration Act,1860; Production Cooperative Societies, and Charitable Trusts.



Notes

Pickles are his strength – A Success Story

The popularity of Indian pickles and marmalade is legendary. Mr.Kishan Singh of Delhi knew this well. After completing studies, he decided to take up these products for his business venture. He built on his ambition with eight years of experience in food technology at Meerut. Then, he started his unit making different varieties of pickles, juice, jams and marmalades with a bank loan of Rs. 4,75,000/- from Vijaya Bank, BhorGarh under PMEGP scheme of KVIC. Shri Singh says that his brand has gained popularity in Delhi and surrounding areas in the past two years. The company's logo is well known in the market and today his annual turnover is more than Rs.10,00,000/- which is more than double of his project investment. In view of demand of his products, he is planning to expand the unit. At present, five people are employed in this unit. He gives complete credit to PMEGP Scheme. He says, "I was confident about my success, but it was not expected in such a short span of time."

FAQs : PMEGP scheme

Q. What is maximum project cost allowed under PMEGP?

A. Rs.25 lakhs for manufacturing unit and Rs.10.00 lakhs for service unit

Q. Is the cost of land included in the project cost?

A. No.

Q. How much Margin Money (government subsidy) is admissible?

Categories of beneficiaries under PMEGP	Rate of (Margin Money) Subsidy (of project cost)	
Area (location of project/unit)	Urban	Rural
General category	15per cent	25per cent
Special (including SC/ST/ OBC/ minorities, women, ex-servicemen, physically handicapped, NER, hill and border areas etc.	25per cent	35per cent

MODULE - 5

MSME and Entrepreneurial
Ecosystem



Notes

Government Schemes for Entrepreneurs

Q. What is the component of project cost?

A. Capital Expenditure Loan, one cycle of working capital and 10 per cent of project cost as own contribution in case of General category and 5 per cent of project cost in case of weaker section.

Q. Who are the beneficiaries?

A. Individual entrepreneurs, institutions, co-operative societies, self helpgroups, trusts

Q. Which are the financial agencies?

A. 27 Public Sector Banks, Regional Rural Banks (RRB), Co-operative Banks and Private Scheduled Commercial Banks approved by respective State Task Force Committees.

Q. How is the capital expenditure loan/cash credit limit to be utilised?

A. At least once, working capital should touch 100 per cent limit of cash credit within three years of lock-in period of margin money and not less than 75 per cent of the utilisation of sanction limit, on an average.

Q. Where does the beneficiary submit the application or project proposal?

A. Beneficiary can submit the same online on KVIC website www.kvic.org.in or kviconline.gov.in/pmegpeportal. List of office addresses of KVIC/KVIB/DIC are available on our website.

Q. What is a village industry?

A. Any village industry (except those mentioned in the negative list) located in a rural area which produces any goods or renders any service with or without the use of power and in which the fixed capital investment for head of a full time artisans or worker does not exceed rupees one lakh in plains areas and Rs.1.50 lakhs in hilly areas. For Andaman & Nicobar Island and Lakshadweep, it is Rs.4.5 lakhs.

Q. What is rural area?

A. Any area classified as village as per the revenue record of the state, irrespective of the population. It also includes an area even if classified as town provided if its population does not exceed 20,000.

Q. What is the age limit?

A. Any adult beneficiary above 18 years is eligible for financing under PMEGP.



Notes

Q. Is Entrepreneurship Development Programme (EDP) training compulsory?

A. EDP training of 10 working days for project cost more than Rs5.00 lakhs; and six working days for project cost up to 5.00 lakhs to the beneficiary is compulsory before MM Claim through PMEGP eportal.

Q. Is collateral security mandatory?

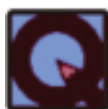
A. As per Reserve Bank of India (RBI) guidelines, a project costing upto Rs.10.00 lakhs under PMEGP loans does not require collateral security. CGTSME provides collateral guarantee for a project beyond Rs.5.00 lakhs and upto Rs.25.00 lakhs under the PMEGP scheme.

Q. What is the helpline for the beneficiary preparing for the project?

A. 30 model projects uploaded on kvic.org.in website

Q. Can an entrepreneur submit more than one project ?

A. No



INTEXT QUESTIONS 15.1

State whether the following statements are true or false.

- 1) I have completed 18 years, so I can apply for the PMEGP scheme.
- 2) PMEGP scheme will create more employment opportunities for the youth.
- 3) Rural women will get 35 per cent margin money/subsidy under PMEGP scheme.
- 4) Khadi and Village Industries Commission (KVIC) is the nodal agency at national level. At state level, the scheme is implemented through state KVIC Directorates, state Khadi and Village Industries Boards (KVIBs), District Industries Centres (DICs) and banks.
- 5) Any individual above 18 years of age is eligible to seek assistance. If the project size is above Rs.10 lakh in the manufacturing sector and above Rs. 5 lakh in the business/service sector, the applicant must have passed at least class VIII.



Notes

15.2 MUDRA



PradhanMantri MUDRA Yojana (PMMY): Micro Units Development & Refinance Agency Ltd. (MUDRA)

PradhanMantri MUDRA Yojana (PMMY) is a scheme launched by the Prime Minister on 8 April 2015 to provide loans up to Rs10 lakh to non-corporate, non-farm small or micro enterprises. MUDRA is an acronym for Micro Units Development and Refinance Agency Ltd. These are classified as MUDRA loans under PMMY. These loans are given by Commercial Banks, Regional Rural Banks (RRBs), Small Finance Banks, Micro Finance institutions (MFIs) and Non-banking finance corporations (NBFCs). The borrower can approach any lending institution mentioned above or can apply online through this portal www.udyamimitra.in. Under the aegis of PMMY, MUDRA has created three products: Shishu, Kishore and Tarun to signify the stage of growth and funding needs of the beneficiary micro unit or entrepreneur and also provide a reference point for the next phase of graduation or growth.

The biggest bottleneck to the growth of entrepreneurship in the Non-Corporate Small Business Sector (NCSBS) is lack of financial support. More than 90 per cent of this sector does not have access to formal sources of finance. The Government of India is setting up MUDRA Bank through a statutory enactment for catering to the needs of the NCSBS segment or the informal sector for bringing them in the mainstream.

MUDRA will be responsible for refinancing all last mile financiers such as Non-Banking Finance Companies, Micro Finance Institutions, Societies, Trusts, Section 8 Companies (formerly Section 25), Small Finance Banks and Regional Rural Banks which are in the business of lending to micro/small business entities engaged in manufacturing, trading and services activities as well as agri-allied activities. MUDRA will also partner with state/regional level financial intermediaries to provide finance to last mile financier of small or micro business enterprises.

Under the aegis of Pradhan Mantri MUDRA Yojana (PMMY), MUDRA has created its initial products and schemes. The interventions have been named Shishu, Kishor and Tarun to signify the stage of growth / development and funding needs of the beneficiary micro unit / entrepreneur and also to provide a reference point for the next phase of graduation / growth to look forward to. The financial limit for these schemes are:-

- a. **Shishu:** covering loans upto 50,000/-
- b. **Kishor:** covering loans above 50,000/- and upto 5 lakh



Notes

- c. **Tarun:** covering loans above 5 lakh to 10 lakh

MUDRA's delivery channel is conceived to be through the route of refinance primarily to banks/NBFCs/MFIs.

The interest rates are deregulated and the banks have been advised to charge reasonable interest rates within the overall RBI guidelines. No collateral security is required for MUDRA loans.

FAQs: MUDRA (PMMY) scheme

1. WHAT IS MUDRA?

MUDRA, which stands for Micro Units Development & Refinance Agency Ltd., is a financial institution set up by Government of India for development and refinancing of micro units enterprises. It was announced by the Hon'ble Finance Minister while presenting the Union Budget for FY 2016. The purpose of MUDRA is to provide funding to the non-corporate small business sector through various Last Mile Financial Institutions like Banks, NBFCs and MFIs.

2. WHY MUDRA HAS BEEN SET UP?

The biggest bottleneck to the growth of entrepreneurship in the Non-Corporate Small Business Sector (NCSBS) is lack of financial support to this sector. More than 90% of this sector does not have access to formal sources of finance. GoI is setting up MUDRA Bank through a statutory enactment for catering to the needs of the NCSBS segment or the informal sector for bringing them in the mainstream.

3. WHO ARE THE TARGET CLIENTS OF MUDRA/ WHAT KIND OF BORROWERS ARE ELIGIBLE FOR ASSISTANCE FROM MUDRA?

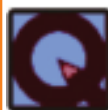
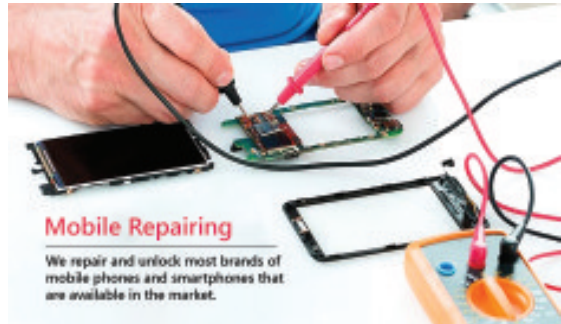
Non-Corporate Small Business Segment (NCSB) comprising of millions of proprietorship / partnership firms running as small manufacturing units, service sector units, shopkeepers, fruits / vegetable vendors, truck operators, food-service units, repair shops, machine operators, small industries, artisans, food processors and others, in rural and urban areas.



Notes

Mobile Repair Shop – Success Story

SachidaNand a self-employed mobile repairer, had a shop at Aashiana Colony, Lucknow, by the name of New Gold Line. Even after running this mobile repair shop for four years, he could barely make earn Rs300 per day. He had a plan to expand his mobile repair business to a repair-cum-trading business. Due to lack of initial capital, he was unable to expand his business. One day, SachidaNand approached Oriental Bank of Commerce, Aashiana Branch, Lucknow with a cutting from a daily newspaper. It had information about Prime Minister Mudra Yojana. He introduced himself to the bank official and told him that he is a mobile repairer and technician. He added that he had to struggle every day make ends meet. He requested the bank official for a credit facility of rupees four lakh to expand his business. The bank officials, after visiting and verifying his place of business found his proposal viable and sanctioned a Working Capital Limit of rupees four lakh under Kishor Category of Prime Minister Mudra Yojana. After availing the loan from the bank, he purchased mobile handsets from reputed companies and recharge coupons of various mobile service providers and started selling cell phones through his shop. The business picked up fast. Soon, SachidaNand began to earn Rs 800 to ' Rs1,000 per day. With the help of Mudra Loan and his hard work, SachidaNand was able to expand his business to a higher level. Apart from monetary support, now he has more respect as an entrepreneur.



INTEXT QUESTIONS 15.2

I. Match the following:

1. Shishu	(i) covering loans above Rs. 50,000 and upto Rs.5 lakh
2. Kishor	(ii) covering loans above Rs. 5 lakh to Rs.10 lakh
3. Tarun	(iii) covering loans upto Rs. 50,000/-

15.3. STAND UP INDIA

The objective of the Stand Up India scheme is to facilitate bank loans between Rs. 10 lakh and Rs. one crore to at least one Scheduled Caste (SC) or



Notes

Scheduled Tribe (ST) borrower and at least one woman borrower per bank branch for setting up a greenfield enterprise. This



enterprise may be in manufacturing, services or the trading sector. In case of non-individual enterprises at least 51 per cent of the shareholding and controlling stake should be held by either an SC/ST or Woman entrepreneur.

The Stand Up India scheme is based on recognition of the challenges faced by SC/ST and women entrepreneurs in setting up enterprises, obtaining loans and other support needed from time to time for succeeding in business. The scheme therefore endeavours to create an eco-system which facilitates and continues to provide a supportive environment for doing business. The scheme, which covers all branches of Scheduled Commercial Banks, can be accessed in three potential ways:

- directly at the branch ; or
- through Stand Up India portal (www.standupmitra.in) ; or
- through the Lead District Manager (LDM).

SIDBI (80 offices) and NABARD (419 offices) as Stand Up India Connect Centres will then arrange for support for such trainee borrowers as requested in any of the following ways:



- a. For financial training: at the Financial Literacy Centres (FLCs)
- b. For skilling: at skilling centres (Vocational Training Centres or VTPs/ Other Centres or OCs)
- c. For EDPs: at MSME DIs or District Industries Centres (DICs) or Rural Self Employment Training Institutes (RSETIs)
- d. For work shed: DICs
- e. For margin money: offices related to margin money support schemes e.g. State SC Finance

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MSME and Entrepreneurial
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Notes

Government Schemes for Entrepreneurs

- f. For mentoring support from established entrepreneurs: DICCI, Women Entrepreneur Associations, tradebodies. Credible, well established NGOs can also be used for extending hand holding support.
- g. For utility connections: Offices of utility providers
- h. For DPRs: Project profiles available with SIDBI/ NABARD/ DICs

STAND UP INDIA PORTAL (www.standupmitra.in)

The Stand Up India Portal is interactive. It hosts information about various entities providing hand holding support to the borrower. This includes:

- Training: Technical or/ and Financial
- DPR preparation
- Margin money support
- Shed/workplace identification
- Raw material sourcing
- Bill discounting
- E-com registration
- Registration for taxation

The portal is designed to obtain application forms gather and provide information, enable registration, provides links for handholding, and assists in tracking and monitoring. As more facilities become available, it shall be further refined into an end- to-end solution.

NATURE OF LOAN

The loan shall be a Composite Loan i.e. to meet requirements of assets such as plant and machinery and working capital. It is expected to cover 75 per cent of project cost and the rate of interest would be lowest applicable rate of the bank for that category (rating) not to exceed at base rate (Marginal Cost of Funds based Lending Rate or MCLR + 3 per cent + tenor premium). It shall be repayable in up to seven years with a moratorium of up to 18 months. A Rupay card will be issued to enable operation of the working capital component. The stipulation of the loan being expected to cover 75 percent of the project cost would not apply if the borrowers contribution along with convergence support from any other scheme exceeds 25 per cent of the project cost.

CREDIT GUARANTEE/ COLLATERAL

	The Stand Up India Scheme provides for collateral free loans to the applicants. The scheme known as Credit Guarantee Scheme Stand Up India (CGSSI) has since been notified and shall be channelized through National Credit Guarantee Trustee Company (NCGTC).
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**Notes****MARGIN MONEY**

The Scheme envisages 25 per cent margin money which can be provided in convergence with eligible Central / State schemes. While such schemes can be drawn upon for availing admissible subsidies or for meeting margin money requirements, in all cases, the borrower shall be required to bring in minimum of 10 per cent of the project cost as own contribution. To illustrate, if a State scheme supports a borrower with 20 per cent of the project cost as subsidy, then the borrower will be required to contribute at least 10 per cent of the project cost. Any subsidy received by a unit which was not foreseen during loan appraisal will be credited to the loan account. In cases where a subsidy was included during appraisal but received after commissioning, the same may be released to the borrower to repay any loan taken for arranging margin money. A list of Central/State wise subsidy/incentive schemes will be provided on the Portal. New schemes will be added as they become available.

FAQs: Stand Up scheme**1. What is the genesis of "Stand-Up India" Scheme?**

The "Start-up India Stand-Up India" initiative was announced by the Hon'ble Prime Minister in his address to the nation on August 15, 2015 to promote bank financing for green field enterprises promoted by SC/ ST/ Women entrepreneur. The scheme would be operated through 1.25 lakh bank branch network of scheduled commercial banks across the country.

2. What is the objective of "Stand-Up India" Scheme?

The objective of the Stand-Up India scheme is to facilitate bank loans between 10 lakh and 1 Crore to at least one Scheduled Caste (SC) or Scheduled Tribe (ST) borrower and at least one woman borrower per bank branch for setting up a greenfield enterprise. This enterprise may be in manufacturing, services or the trading sector. In case of non-individual enterprises at least 51% of the shareholding and controlling stake should be held by either an SC/ST or Woman entrepreneur.

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Notes

Government Schemes for Entrepreneurs

3. What is the purpose of the loan under "Stand-Up India" Scheme?

The scheme is for setting up a new enterprise in manufacturing, trading or services sector by SC/ST/Women entrepreneur.

4. Who are the target clients under Stand-Up India Scheme / what kind of borrowers are eligible for loans?

SC/ST and/or Women entrepreneurs setting up new enterprises are eligible for availing loans under Stand-Up India Scheme. Typically projects in the manufacturing, trading and service sector would be eligible for coverage under the scheme.

5. What will be the nature of loan under the Stand-Up India Scheme?

Composite loan (inclusive of term loan and working capital) between Rs.10 lakh and upto Rs. 100 lakh representing upto 75% of the project cost would be eligible.

15.4 NATIONAL SC/ST HUB

The Hub provides professional support to SC/ST entrepreneurs to fulfil the obligations under the Central Government Public Procurement Policy for Micro and Small Enterprises Order 2012, adopt applicable business practices and leverage the StandUp India initiative. The scheme is implemented through National Small Industries Corporation Ltd (NSIC).

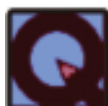
National SC/ST Hub carries out the following functions:

- Collection, collation and dissemination of information regarding SC/ST enterprises and entrepreneurs.
- Capacity building among existing and prospective SC/ST entrepreneurs through skill training and EDPs.
- Vendor Development involving CPSEs, NSIC, MSME-DIs and industry associations including DICCI.
- Promoting participation of SC/ST entrepreneurs in exhibitions and organising special exhibitions for this purpose.
- Mentoring and hand-holding support to SC/ST entrepreneurs.



**Notes**

- vi. Working with states as well as other organisations for SC/ST entrepreneurs so that these enterprises can benefit from all of them.
- vii. Facilitating SC/ST entrepreneurs participating in public procurement, e-platform of DGS&D and monitoring the progress.
- viii. Facilitating credit linkages for SC/ST entrepreneurs. The Guideline of National SC/ST Hub Scheme is available on the Ministry's Website i.e., www.msme.gov.in.

**INTEXT QUESTIONS 15.3**

- I. State whether the following statements are true or false.
 - 1) The StandUpIndia scheme is implemented by SIDBI and NABARD.
 - 2) The Stand Up India Scheme provides for collateral free loans to the applicants.
 - 3) The Scheme envisages 35per cent margin money which can be provided in convergence with eligible Central/state schemes.
 - 4) Stand Up India scheme is to facilitate bank loans between rupees 10 lakh and 1 crore to at least one Scheduled Caste (SC) or Scheduled Tribe (ST) borrower and at least one woman borrower per bank branch for setting up a greenfield enterprise.
 - 5) The Stand Up India loan shall be a Composite Loan i.e. to meet requirements of assets such as plant and machinery and working capital.
- II. Choose the correct option :
 - i) Stand Up India Scheme is not for–
 - a) SC b) ST c) Women d) BC
 - ii) The following agency is not a partner under Stand Up India–
 - a) NABARD b) SIDBI c) NCGTC d) RBI
 - iii) Entrepreneurs under Stand Up India can access loans between–
 - a) Rs 10 lakh to 1 crore b) Rs 20 lakh to 2 crore
 - c) Rs 5 lakh to 1 crore d) None

**INTEXT QUESTIONS 15.4**

Choose the correct answer:

- i) National SC /ST Hub is for
 - a) SC b) ST c) SC and ST d) BC

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MSME and Entrepreneurial
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Notes

Government Schemes for Entrepreneurs

- ii) The National SC/ ST Hub is implemented by
- a) NABARD b) NSIC c) NCGTC d) RBI



WHAT YOU HAVE LEARNT

- Prime Minister's Employment Generation Programme (PMEGP): The scheme aims to generate employment opportunities in rural as well as urban areas of the country through setting up of new self-employment ventures or projects or micro enterprises.
- The Scheme is implemented by Khadi and Village Industries Commission (KVIC), as the nodal agency at the National level. At the state level, the scheme is implemented through state KVIC Directorates, state Khadi and Village Industries Boards (KVIBs) and District Industries Centres (DICs) and banks.
- The maximum cost of the project or unit admissible under manufacturing sector is Rs.25 lakh and under business/service sector is Rs.10 lakh.
- PradhanMantri MUDRA Yojana (PMMY) is a scheme launched by the Prime Minister on April 8, 2015 for providing loans up to Rs. 10 lakh to the non-corporate, non-farm small/micro enterprises. The financial limit for these schemes is:
 - a. Shishu: covering loans upto Rs50,000
 - b. Kishor: covering loans above Rs50,000 and upto Rs5 lakh
 - c. Tarun: covering loans above Rs5 lakh to Rs10 lakh
- The objective of the Stand Up India scheme is to facilitate bank loans between Rs10 lakh and Rs1 crore to at least one Scheduled Caste (SC) or Scheduled Tribe (ST) borrower and at least one woman borrower per bank branch for setting up a greenfield enterprise. The scheme envisages 25 per cent margin money which can be provided in convergence with eligible central/state schemes.
- National Scheduled Caste and Scheduled Tribe Hub: The Hub provides professional support to SC/ST entrepreneurs to fulfil the obligations under the Central Government Public Procurement Policy for Micro and Small Enterprises Order 2012. The Scheme is implemented through National Small Industries Corporation Ltd. (NSIC).

**TERMINAL QUESTIONS**

- 1) What is PMEGP? Explain the scheme details.
- 2) Explain the PMMY scheme.
- 3) Can SC & ST entrepreneurs build MSMEs through National SC ST Hub?
- 4) What are the schemes available for SC & ST entrepreneurs? Explain each scheme in detail.
- 5) Whom are Stand UpIndia schemes for? Explain the scheme.

**ANSWERS TO INTEXT QUESTIONS****15.1**

- 1) True 2) True 3) True 4) True 5) True

15.2

- i) 3 ii) 1 iii) 2

15.3

- I. 1) True 2) True 3) False 4) True 5) True

II. Fill in the blanks

- i) d ii) d iii) a

15.4

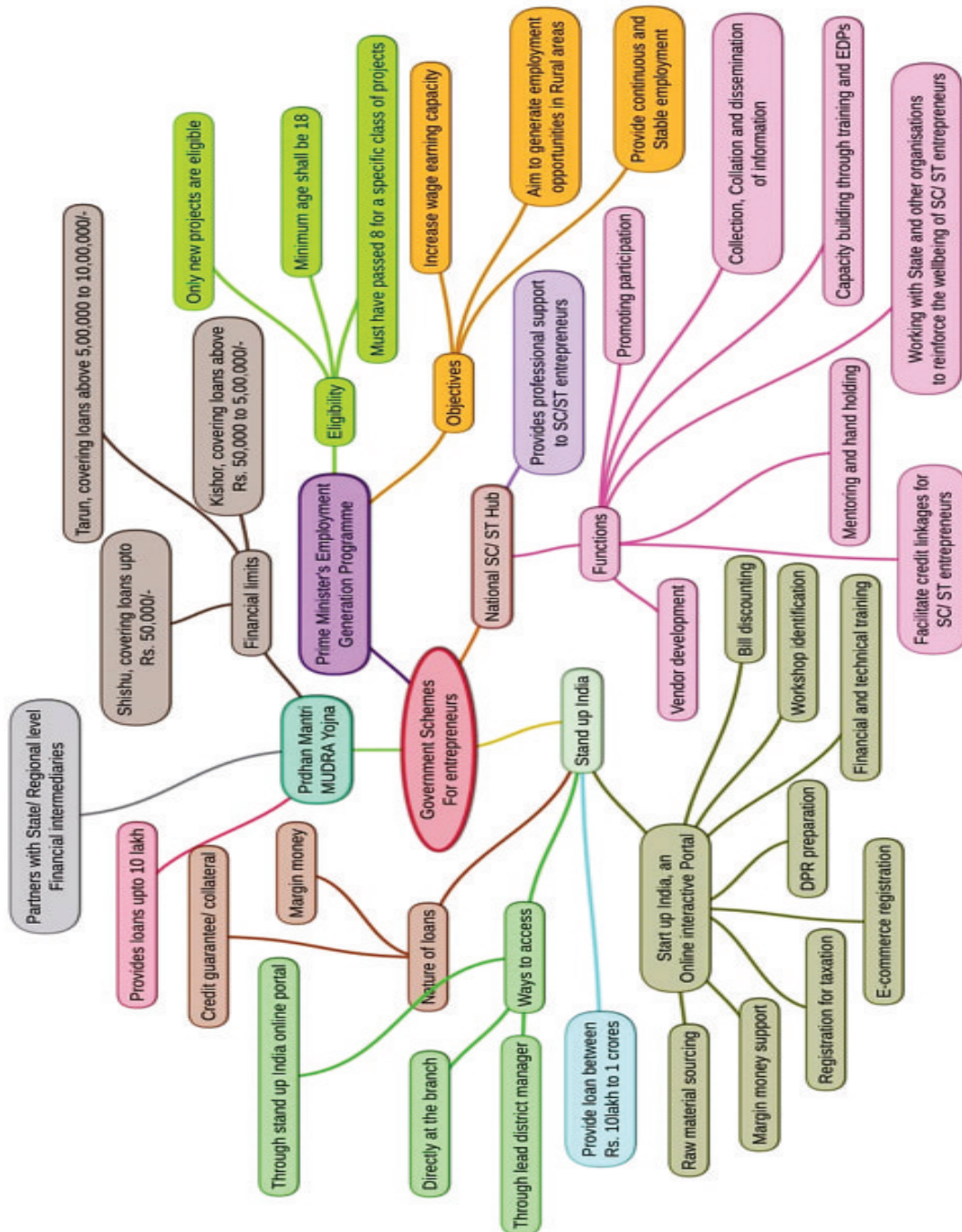
- i) c ii) b

DO AND LEARN

Visit your local bank. Ask for a list of schemes available for prospective entrepreneurs. Collect the application forms. Write in detail the difference between each scheme.

**Notes**

CONCEPT MAP





INTRODUCTION TO INCUBATION

In the earlier lessons, we discussed the definition and characteristics of an entrepreneur, how ideas can be generated and how they can then be translated into successful business, resources required and the ways to mobilise them. You have also understood the entrepreneurial eco- system and institutional support and government schemes for them.

In this lesson, you will learn that besides government schemes, there are incubators which help the entrepreneur to start a business. You will know the role and importance of incubators and get insights into some key incubators in India.



LEARNING OUTCOMES

After studying this lesson, the learner will be able to:

- comprehend the concept of incubation centres and their role in enterprise creation and development;
- identify functions of incubation centres; and
- identify incubation centres network in India.

16.1 MEANING OF BUSINESS INCUBATORS

A business incubator is an organisation established to accelerate the growth and success of an entrepreneur through various kinds of support. An incubator provides resources and services including physical space, capital coaching, common services and networking connections. Incubators mentor as well as provide business assistance and monitor services. The new ventures are facilitated by making them aware of risks and minimising the potential cost of failures.

**Notes**

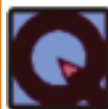
Business incubators play a key role in providing assistance to nascent entrepreneurs particularly at the initial stages. Hence, they play the role of an accelerator for start-up ventures.

The concept of business incubation emerged in the United States of America in 1942 when it was realised that due to excessive transaction cost and low social networking among innovators, many inventions could not be converted into useful products. This led to the establishment of the first business incubator, Student Agencies Inc, in Ithaca. Thereafter in 1946, an alumnus of MIT started an incubator, American Research Development (ARD). Since then, the concept of Business Incubators has rapidly spread across the world. Some of the top business incubators are in Silicon Valley, New York, Berlin and Singapore. The US-based International Business Innovation Association estimates that there are about 7,000 to 15,000 incubators worldwide.

Incubation activity has not been limited to developed countries. Incubation environments are now being implemented in developing countries and are raising interest for financial support from organisations such as UNIDO and the World Bank.

Definitions of Business Incubation:

The National Business Incubation Association (NBIA) defines business incubators as a catalyst tool for either regional or national economic development. Sherman and Chappell have defined business incubators as, “an economic development tool primarily designed to help create and new businesses in a community. Business incubators help emerging businesses by providing various support services, such as assistance in developing business and marketing plans, building management teams, obtaining capital, and access to a range of more specialised professional services. They also provide flexible space, shared equipment and administrative services.”

**INTEXT QUESTIONS 16.1**

State whether the following statements are true or false:

- a) Incubators are organisations providing only shared spaces.
- b) Incubators are same as Accelerators.
- c) Only capital is provided by Incubators.
- d) Professional service is one of the services provided by Incubators.



Notes

16.2 ROLE OF BUSINESS INCUBATORS

- (i) **Physical facility support:** Business incubators provide a) Physical facility eg. rentalspace, electricity, high speed internet access, market research facilities, conference hall facilities.
- (ii) **Support service:** Business incubation as business support service like
 - (a) They provide Marketing assistance.
 - (b) Providing access to bank loans, loan funds and guarantee.
 - (c) Incubators help with presentation skills.
 - (d) They link to higher education resources.
 - (e) They link to strategic partners.
 - (f) They provide Access to angel investors or venture capital.
 - (g) They organise comprehensive business training programmes.
 - (h) They act as Advisory boards and mentors.
 - (i) They help in Management teamidentification.
 - (j) They help with business etiquette.
 - (k) They provide technology commercialisation assistance.
 - (l) They help with regulatory compliance.
 - (m) They provide Intellectual property management.
 - (n) Incubators help in accounting facilities/financial management
 - (o) Incubators help in Market Research
- (iii) **Networking facilities:** Business incubators provide networking facilities to the members. It encompasses a set of relationships with various agents or organisations. Building networks shortens and accelerates the firms' learning process.

As the phrase itself implies, business incubators are programmes intended to help small businesses get off the ground. They almost always provide both services and rental space to fledglings. The services typically include administrative help, consulting and referral. Incubator programmes are managed by public and private agencies. Business incubators are perceived to be a mainstay of economic development programmes. They create value by combining the entrepreneurial drive of a start-up with resources generally not available to new ventures. The primary objectives of business incubators are

**Notes**

creating employment opportunities in the local economy and commercialising technologies.

A non-business organisation incubator or an academic institution incubator is not for profit. They have an objective of promoting an enterprise and facilitating the implementation of the process of creating an enterprise. The role of these incubators has been to create some kind of forum whereby science and technology researchers as well as students and entrepreneurs come together to create an enterprise.

The other models of incubators comprise those supported by organisation such as Microsoft, Infosys, Wipro, Intel etc. They promote their own employees to spin off an idea and create new products or change an existing set up. If the idea is successful, the company goes ahead, giving the founders a return on their innovation. There are certain venture capitalists that run their own incubators themselves. The major benefit of an incubator is that it insulates the entrepreneur from the impact of the macro and micro business environment.

16.3 ADVANTAGES OF INCUBATORS

Given the myriad advantages associated with membership in an incubator programme, small business consultants often counsel their clients to at least investigate the possibility of securing a spot in one. Strengths of incubators include:

1) Shared Basic Operating Costs

Tenants in a business incubator share a wide range of overhead costs, including utilities, office equipment, computer services, conference rooms, laboratories and receptionist services. Basic rent costs are usually below normal for the region in which the fledgling business is operating, which allows entrepreneurs to realise additional savings. It is worth noting, however, that incubators do not allow tenants to remain in the programme forever; most lease agreements at incubator facilities run for three years, with some programmes offering one or two one-year renewal options.

2) Consulting and Administrative Assistance

Incubator managers and staff members can often provide insightful advice and/or information on a broad spectrum of business issues, from marketing to business expansion financing. Small business owners should remember that the people responsible for overseeing the incubator programme are usually quite knowledgeable about various aspects of the business world. They are a resource that should be fully utilised.



Notes

3) Access to Capital

Many business incubators help entrepreneurs acquire capital by means of revolving loan and micro-loan funds, according to NBIA. They link businesses to investors by referral. They assist entrepreneurs in preparing presentations to venture capitalists and assist companies in applying for loans. Start-ups are helped in raising capital merely by having been accepted by an incubator programme. These programmes act as a qualifying filter. Those who are accepted gain legitimacy in the business community.

4) Universality of Incubator Concept

One of the key advantages of incubators is that the concept works in all communities of all shapes, sizes, demographic segments and industries. In many cases, the incubator naturally takes on some of the characteristics of the community in which it is located. For example, rural-based incubators may launch companies based on the agriculture present in the area.

5) Comradeship of Fellow Entrepreneurs

Many small business owners that have launched successful ventures from incubators cite the presence of fellow entrepreneurs as a key element in their success. They note that by gathering entrepreneurs together under one roof, incubators create a dynamic environment wherein business owners can

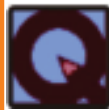
- (a) provide encouragement to one another in their endeavours;
- (b) share information on business-related subjects; and
- (c) establish networks of communication that can serve them well for years to come.

FUNCTIONS OF AN INCUBATOR

- a) Act as a “safe house” for start-ups as they provide the requisite knowledge that entrepreneurs need when starting out.
- b) Spurring entrepreneurial talent resulting in greater number of successful start-up ventures.
- c) Central to innovation as entrepreneurs have ready to use infrastructure for their ideas.
- d) Enhance probability of success of start-ups, ensuring societal and economic benefits.

**Notes**

- e) Act as a centre for innovation for industries local to the area where the incubator is.
- f) Create employment at lower cost per job in the region.
- g) Act as a nodal point for aggregation of stake holders of the entrepreneurial eco-system – innovators, government, financial institutions, entrepreneurs, investors and mentors.
- h) Act as a local/regional expert in policy framework development.
- i) Promote regional growth and development.

**INTEXT QUESTIONS 16.2**

State whether the following statements are true or false:

- a) Incubators provide long-term facilities to the organisation.
- b) Providing space does not include a conference hall.
- c) The consulting activities are restricted to only marketing issues.
- d) Those who are accepted by incubators gain legitimacy in the business community

FACTORS AFFECTING CHOICE OF INCUBATOR

Many incubators have been pivotal in nourishing small businesses to the point where they can make it on their own. But observers note that the programmes are not fool proof. Some small businesses fail despite their membership in such programmes; incubators themselves sometimes fold up, crippled by a number of factors. Entrepreneurs, then, need to recognise that some incubators are better suited to meet their needs than others. Considerations to weigh when choosing an incubator include:

- **Is it a true incubator:** Some office building owners falsely advertise themselves as incubators to lure tenants. Entrepreneurs need to study the details of each offer to determine whether such claims are legitimate.
- **Length of Operation:** Incubators take some time to establish their reputation unless they are sponsored by a high-profile corporation or a well-funded government agency.
- **Incubator Leadership:** Many analysts contend that entrepreneurs can learn a great deal about the fundamental quality of an incubator programme simply by studying the programme's leadership. Is the incubator managed by people with backgrounds in business, or by general college or agency administrators? Can the managers provide long-term



Notes

business plans that show how they intend to guide the incubator to financial independence?

- **Location:** Does the incubator's setting adequately address your fledgling company's needs in terms of target market, transportation, competition, and future growth plans?
- **Financing:** Is the incubator's financial base a reliable one, or is it on shaky ground?

Would-be small business owners should have a complete business plan in hand before applying for entrance into an incubator programme. Most incubators maintain a stringent screening process to ensure that their resources are put to the best possible use.

16.4 INCUBATOR NETWORKS IN INDIA

In May 2017, India had the third-highest number of start-up incubators and accelerators in the world after China and the USA, according to National Association of Software and Services Companies (NASSCOM) and Zinnov Consulting.

With 140 incubators and accelerators, India inched past Israel, whose count stood at 130. However, the gap with the top two is still huge. China and USA have over 2,400 and 1,500 incubators and accelerators, respectively.

Bangalore, Mumbai and Delhi-NCR continue to be the hubs, with more than 40 per cent of all incubators and accelerators concentrated in these areas. There has also been a steep rise in the number of incubators based in TierII cities.

An incubator typically mentors a start-up for six months to three years, providing resources such as dedicated office space, networking with investors and technical training, among other things. In comparison, an accelerator typically hand-holds for three to 12 months, providing sessions on venture capital, road shows, CEO coaching and developer tools.

Only recently, The Nudge Foundation, which is backed by Infosys co-founder Nandan Nilekani, Tata Trusts and other industry heavy weights, launched N-Core, an incubator for non-profit start-ups working towards poverty alleviation. This was set up in July 2015 in Bengaluru. Chipmaker Intel India, IIT-Bombay's Society for Innovation and Entrepreneurship and the Central Government's Department of Science and Technology came together to start a hardware incubator programme in August 2004.

Most incubators in India are run by academic institutions (nearly 51 per cent) while the rest are either corporate (nine per cent), independent (32 per cent) or government-supported (eight per cent), the report shows.

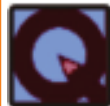


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Start-up Incubation (also known as start-up accelerators) hold significant importance in a country like India where entrepreneurs by the score are launching new setups and changing the game of business in minutes. For the uninitiated, **start-up incubation programmes or centres** provide support functions, mentorship and resources to individual entrepreneurs or entrepreneurial setups.

This enables them to get all the expert advice and technical guidance that they need to survive for a longer time, unlike most other entrepreneurial ventures that fizzle out within a few months of their launch.

Almost every other prestigious B-school today houses an incubation centre so that great ideas can be nurtured from their very source. There are number of incubation centres supported by the ISBA which is the apex Indian professional body supporting business incubators. Private incubators are a handful, but growing gradually.



INTEXT QUESTIONS 16.3

Fill in the blanks:

- a) Nudge Foundation, backed by _____, launched _____.
 - b) _____, _____, _____ are hubs with more than _____ of all incubators and accelerators concentrated in these areas.
 - c) India has _____ incubators and has inched past _____.
 - d) Most incubators in India are run by _____.
- 1) **Innovation and Entrepreneurship (SINE), IIT Mumbai** It was setup in 2004. It is one of the earliest incubators in academia with a potential to create start-ups focussing on economic growth, strategic value and social relevance.

If you've heard of Webaroo, Bhugol GIS and SMSGupshup.com, then you must know that these ventures came into existence because they were nurtured and incubated by SINE, the tech incubator housed at IIT Bombay. ThinkLABS Technosolutions, an educational robotics venture, Myzus Technologies and Elnfinitus are amongst some of the famous businesses that SINE has incubated. These start-ups have been successful in raising venture capital investment after incubation of upto rupees three crore from the market.

SINE can incubate an average of 15 companies at a time and has an infrastructure spread over 10,000 sq.ft. They still have not opened up to



Notes

external business incubation because ideas from within IIT just do not stop flowing!

2) **Technology Business Incubator, IIT Delhi**

TBI has been in active operation since 2000. It has been conceived and programmed by the Foundation for Innovative and Technology Transfer (FITT). This incubator accepts incubation applications from either IIT-D students, alumni or one of the members of the Academic staff only. The selection criteria are quite stringent. If external start-ups want to be a part of it, they can explore having tie-ups with the college professors, which can then enable you entry into TBI.

3) **Techno Park Technology Business Incubator (T-TBI), Kerala**

It was established in 2006 with the support of the Government of Kerala. It has been renamed as Kerala Start-up Mission. It is India's first and successful non-academic business incubator. It is a joint association of Techno Park Thiruvananthapuram and the Department of Science and Technology (DST), Government of India. T-TBI offers fully furnished working spaces spread over 15,000 sq.ft, expert opinions and guidance from the industry, marketing and legal management consultancy and financial assistance.

T-TBI till 2016 has successfully incubated more than two hundred companies. In early 2011, T-TBI was chosen as the world's best software incubating company and the first Indian organisation to have achieved this status.

4) **Start-up Village**

It is a not-for-profit business incubator in Kochi. It was started in April 2012. Start-up Village is a public-private enterprise run by Government of Kerala. The government earmarked Rs.100 crore for Start-up Village and wants to incubate over a thousand start-ups in 10 years.

Interestingly, student entrepreneurs are offered various perks to be a part of this incubator including getting attendance at college, grace marks and even tax exemption for business generated by start-ups incubated within Start-up Village premises.

5) **Indian Angel Network (IAN)**

IAN was founded in 2006, it is a unique concept which brings together highly successful entrepreneurs and CEOs from India and around the world who are interested in investing in start-ups and early stage ventures which have the potential of becoming successful. It is an equity based



business incubator centre that gives priority to ventures in the areas of healthcare, gaming and animation cloud computing, retail, mobile VAS, media and entertainment, alternative energy, education and clean technology. It has been established with the support of the National Science & Technology Entrepreneurship Development Board and the Department of Science & Technology of the Government of India.

In addition to the regular functions of a business incubator, the IAN incubator helps start-ups to get seed funding and pre angel funding through its tie-up with Small Industries Development Bank of India. The IAN also has strategic alliances with DST supported incubators, corporate, R&D labs and many industry associations.

The IAN incubator is particularly famous for the activities it organises, from its Open Saturdays to angel investors' meet to workshops for training entrepreneurs.

6) **Techno Park TBI**

Techno Park Technology Business Incubator (T-TBI), is India's first Non Academic Business Incubator, hosted and housed inside the Asia Largest IT Park TechnoPark. It was established in 1990 in Thiruvananthapuram. It is the largest Information and Technology park in India in terms of developed area. Technopark Technology Business Incubator (T-TBI), a joint association of Technopark, Trivandrum and the Department of Science and Technology (DST), Government of India, helps technology business start-ups.

TBI provides start-ups with fully furnished office spaces, mentoring support in developing business and technology plans, networking of business resources, seed capital assistance, marketing assistance, professional assistance, conference facilities and video conference facilities.

7) **Centre for Innovation, Incubation and Entrepreneurship (CIIE), IIM Ahmadabad**

A business incubator housed at India's prime business school simply cannot be left out of the list. Having started incubation initiatives since 2007, CIIE has an interesting perspective on why it doesn't provide physical space for business incubation. **They want entrepreneurs to build their ideas from wherever they are stationed, so that the local economy benefits from its growth.**

From the time it started, CIIE has incubated more than 50 companies, only a handful of which were owned by IIM students. CIIE has been



Notes

8) **NSRCEL**

It is an incubation centre run and managed by IIM, Bangalore. Located in this scenic educational institute is N.S. Raghavan Centre of Entrepreneurial Learning (NSRCEL). Since its inception in 2002, it has brought together entrepreneurs, academicians and industry experts to create an impact on the start-up eco system.

With support from government agencies, corporate and institutional partners NSRCEL provides a platform to successful and budding entrepreneurs running profit or non-profit ventures. They offer various types of incubation offers all the basic facilities to start-ups including office space, desktops, Hi Speed Internet facility, Un-interrupted Power supply etc. The incubator provides mentoring from their eminent faculties and also offers seed money support to some of the incubate companies. The funding is primarily through government grants and its disbursement is in accordance with the guidelines that have been laid down by the primary funding agency. Screening is done by the screening committee before start-ups can get into NSRCEL.

9) **Atal Incubation Centre**

Atal Innovation Mission (AIM) is Government of India's flagship initiative to promote a culture of innovation and entrepreneurship in the country. AIM's objective is to develop new programmes and policies for fostering innovation in different sectors of the economy, provide platform and collaboration opportunities for different stakeholders, create awareness and create an umbrella structure to oversee innovation ecosystem of the country.

AIM intends to support the establishment of new incubation centres called Atal Incubation Centres (AICs) that would nurture innovative start-ups in their pursuit to become scalable and sustainable business enterprises.

AIM will support these AICs in creating world class incubation facilities across the country with the state of the art physical infrastructure, in terms of capital equipments and operating facilities available to their incubatee start-ups, coupled with the availability of sectoral experts for mentoring. Apart from this, business planning support, access to seed capital, industry partnerships, training and other relevant components required for supporting innovative start-ups will be provided.

Moreover, most of the AICs established would be sector specific in areas



such as manufacturing, transport, energy, health, education, agriculture, water, sanitation, Cyber Security etc. to promote unprecedented technological innovation in these sectors.

Academic institutions such as higher educational institutes, R&D institutes etc. as well as non-academic institutions such as corporate sector enterprises, alternative investment funds registered with SEBI, business accelerators, group of individuals, and individuals etc. are eligible to apply.

AIM will provide a grant-in-aid of upto Rs. 10 crore for a maximum period of 5 years to cover the capital and operational expenditures to establish the A/c.

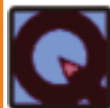
The applicant would have to provide at least 10,000 sq. ft. of ready-to-use, built-up space, for the exclusive use of the AIC.

10) AngelPrime

AngelPrime was launched recently in 2011 in Bengaluru by well known names in the Indian technology industry like Bala Parathasarathy, Shripati Acharya and Sanjay Swamy. The areas that AngelPrime aims to incubate in are mobile payments, e-commerce and smartphone / tablet apps. It has already begun incubating a mobile payments company and a smartphone and tablet start-up.

Unlike CIIE, AngelPrime believes in incubating ventures at their office space so that they can be closely monitored. AngelPrime has an edge in its services because the founders bring their previous corporate networks and experiences into incubating new ventures.

Business incubators play a large role in reducing the gap between new products / services, in stages of ideation to their commercial rollout. It also provides an equal platform to all entrepreneurs so that they can create products and services that will benefit all sections of society.



INTEXT QUESTION 16.4

- SINE nurtured several ventures. Name any two.
- For whom and when is Technology Business Incubator IIT is established?
- Which incubator has tied up with SIDBI?
- Which incubator is tied up with DST?

**WHAT YOU HAVE LEARNT**

- An incubator is an organization to accelerate growth and success of an entrepreneur through various kinds of support in the form of resources, services and networking. They play a key role in helping entrepreneurs in early stages.
- Strengths of incubators include shared basic operating costs, consultation and administrative assistance, access to capital and comradeship of fellow entrepreneurs.
- Choice of an incubator depends upon whether it is a true incubator, length of operation, incubator leadership, location of the incubator and its financial base.
- India ranks third for start-up incubators in the world after China and USA with 140 incubators and accelerators according to NASSCOM in May 2017.
- Some of the business incubation centres in India include Innovation and Entrepreneurship (SINE), IITMumbai, Technology Business Incubator, IIT Delhi, Techno Park Technology Business Incubator (T-TBI), Kerala, Startup Village, Indian Angel Network (IAN), Techno Park TBI, Centre for Innovation, Incubation and Entrepreneurship (CIIE), IIM Ahmedabad, NSRCEL, IIM Bangalore, Atal Incubation Centre and Angel Prime.

**TERMINAL QUESTIONS**

- 1) Define an incubator.
- 2) Explain the role of incubators.
- 3) What do you mean by a business incubator? Elaborate the advantages of an incubator.
- 4) List ten important incubators in India.
- 5) Write a short note on any four business incubators in India.

**ANSWERS TO INTEXT QUESTIONS****16.1**

- a) False b) False c) False d) True

**Notes**



Notes

16.2

- a) True b) False c) False d) True

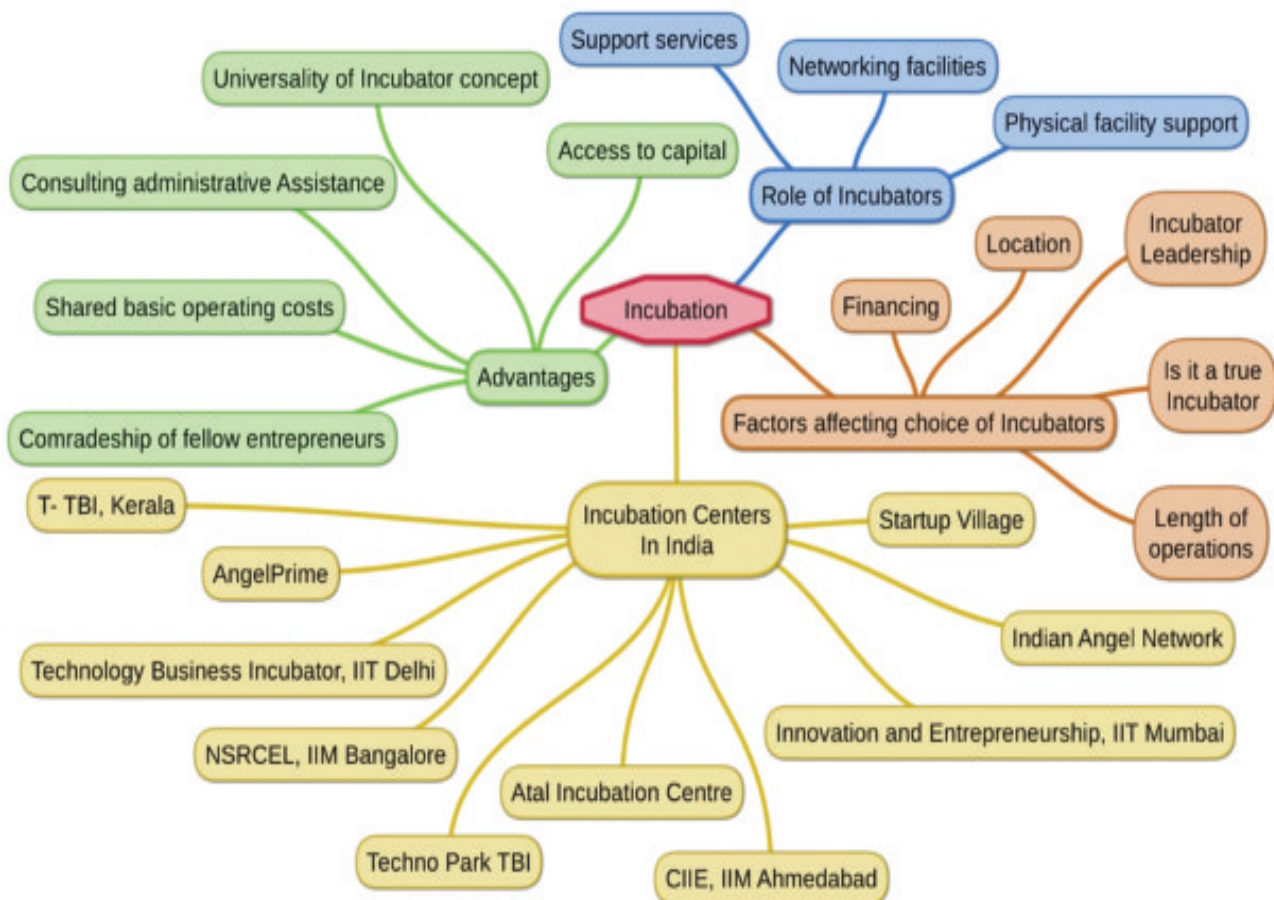
16.3

- a) Infosys co-founder Nandan Nilekani, N-Core
b) Bangalore, Mumbai, Delhi c) 140
d) Academic Institutions.

16.4

- a) Webaroo, Bhugol GIS
b) Innovation and Technology Transfer, 2000.
c) Indian Angel Network
d) Techno Park

CONCEPT MAP





E-RESOURCES

The 21st century is the century of technology. Our ability to work with Information and Communication Technologies (ICT) is making our life a lot easier. It is helping us through so many ways from weather forecast to digital marketing. Most of us enjoy working on our desktop computer, laptop and smart phone. We search a variety of information, communicate with friends and do financial transactions like paying bills or taxes online.

India is one of the fastest growing countries in the field of Information Technology (IT). You must have heard of renowned Indian IT companies like Tata Consultancy Services (TCS), Infosys and Wipro. Beside private organisations, banks have also adopted IT. Nowadays there is less requirement of visiting banks since one can see the account statement online, apply for bank loan and even do financial transactions through internet banking or mobile apps. But one has to learn and understand this process correctly before doing online banking transactions otherwise one may get into trouble.

The government is making efforts to help new and existing entrepreneurs by creating various e-resources. These e-resources provide all necessary information on your fingertips. Entrepreneurs can also apply for government schemes and certificates through a simple online process. Let us start and learn in this chapter about various important e-resources for entrepreneurs.



LEARNING OUTCOMES

After studying this lesson, the learner will be able to:

- identify various e-resources in India;

MODULE - 5

MSME and Entrepreneurial
Ecosystem



Notes

E-Resources

- describe the different information and schemes through mobile apps and online services; and
- discuss available e-resources.

17.1 E-RESOURCES FOR ENTREPRENEURS

As an entrepreneur, you need information to start and grow your business. You get this information by browsing websites. Government organisations have made this job easier by consolidating the required information for entrepreneurs. You can even apply for various schemes and loans through these websites or mobile applications. Here are some helpful websites and mobile apps.

1. Skill India Portal
2. Startup India
3. SIDBI Udyamimitra
4. KVIC-PMEGP e-Portal
5. SIDBI Standupmitra
6. My MSME
7. Technology Innovation Management and Entrepreneurship Information Service (TIME IS)

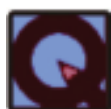
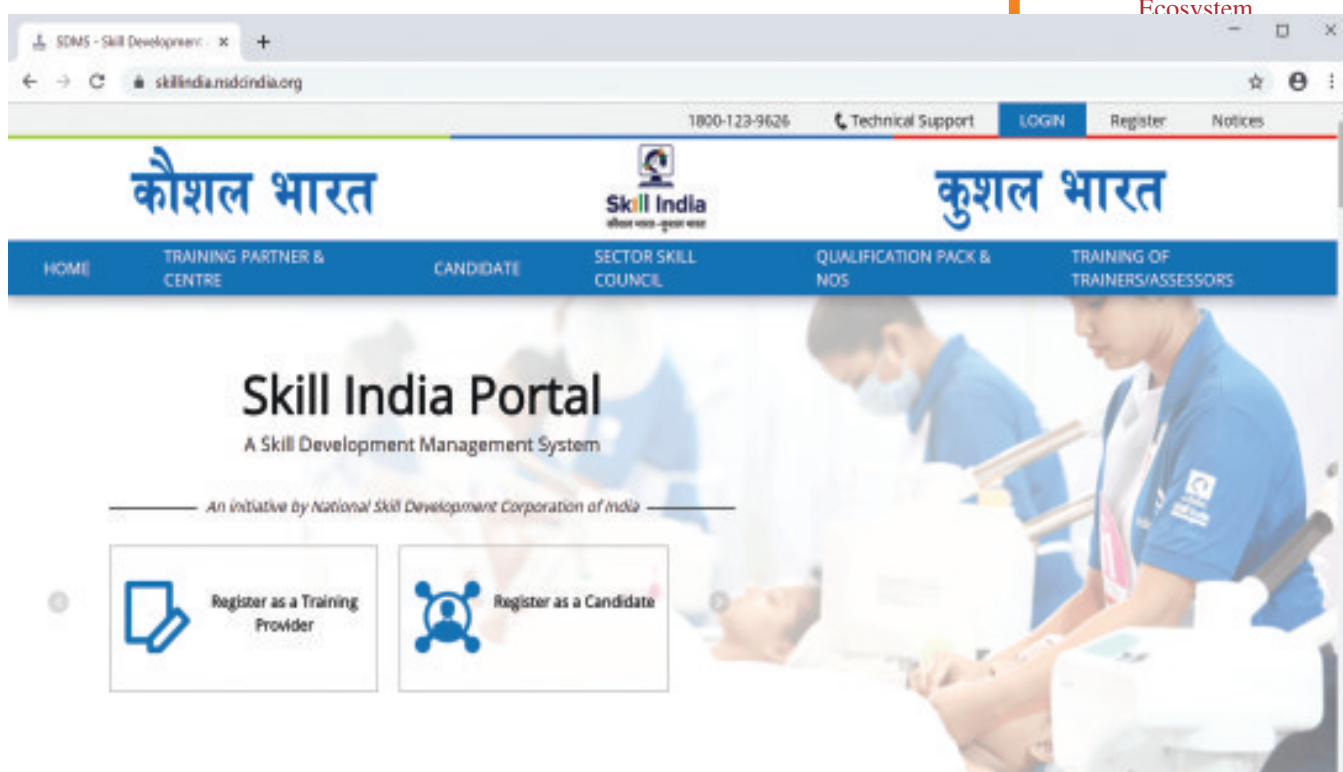
We will discuss each of these e-resources in detail subsequently.

17.2. SKILL INDIA PORTAL

The Skill India portal is an initiative of National Skill Development Corporation (NSDC). It is under the Ministry of Skill Development & Entrepreneurship. The website address of the portal is <https://skillindia.nsdcindia.org/>. This portal allows aspirant candidates to register for free skill training/learning and employment opportunities.

To register the candidate has to provide his basic personal, communication, location and educational details. Based on his interest he is required to choose the sector and job roles for which he requires skill training. This can also be done using Skill India mobile app.

Under the Skill India, youths can take up industry relevant skill training at recognised training centre that will help them in securing a better livelihood. Under this scheme, training and assessment fees are completely paid by the government. The government also provides job or entrepreneurship support to the successful trainees.



INTEXT QUESTIONS 17.1

Fill in the Blanks

1. Skill India portal is an initiative of _____
2. NSDC is under the Ministry of _____
3. ICT is abbreviation for _____
4. TIME is stands for _____
5. Under the Skill India, youths can take up industry relevant _____ training at recognised _____ centre.

17.3. STARTUP INDIA

A startup is a new company with immense growth potential, founded by one or more entrepreneurs, to do business of an innovative product or service and having potential to solve certain social problems.

The Startup India is an initiative of the Department for Industrial Policy and Promotion (DPIIT), Government of India for encouraging startups in the country. Under this scheme the government does handholding of new

MODULE - 5

MSME and Entrepreneurial Ecosystem

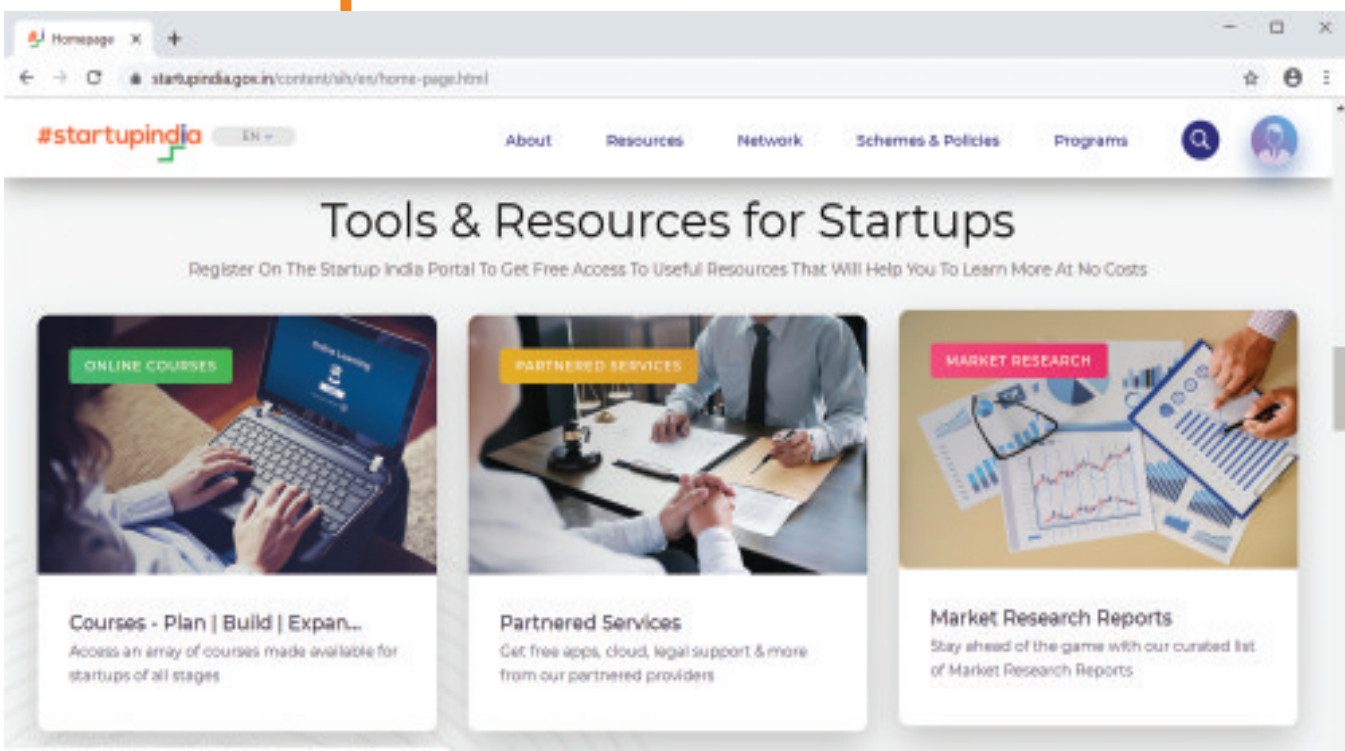


Notes

E-Resources

entrepreneurs, provide funding and incentive support for the startups. These enterprises can self-certify, and comply with legal requirements. They are also given tax exemptions and preferences in purchases made by government organisations. These enterprises are eligible for filing fast track patent applications.

The Startup India portal is an online platform for startup entrepreneurs. It connects startups with investors and Business Incubators (Business Incubators are organisations which provide office space, equipment, technical guidance, financial networking, patents for new startup businesses) on a single platform allowing them to contact and collaborate with each other. The website address is <https://www.startupindia.gov.in/>.



Besides essential information, the portal provides online courses, database of government schemes, market research reports, free software applications and other useful resources. A toll-free helpline number and quick email query resolution for startups is also available in this portal. It is also available as a mobile app.

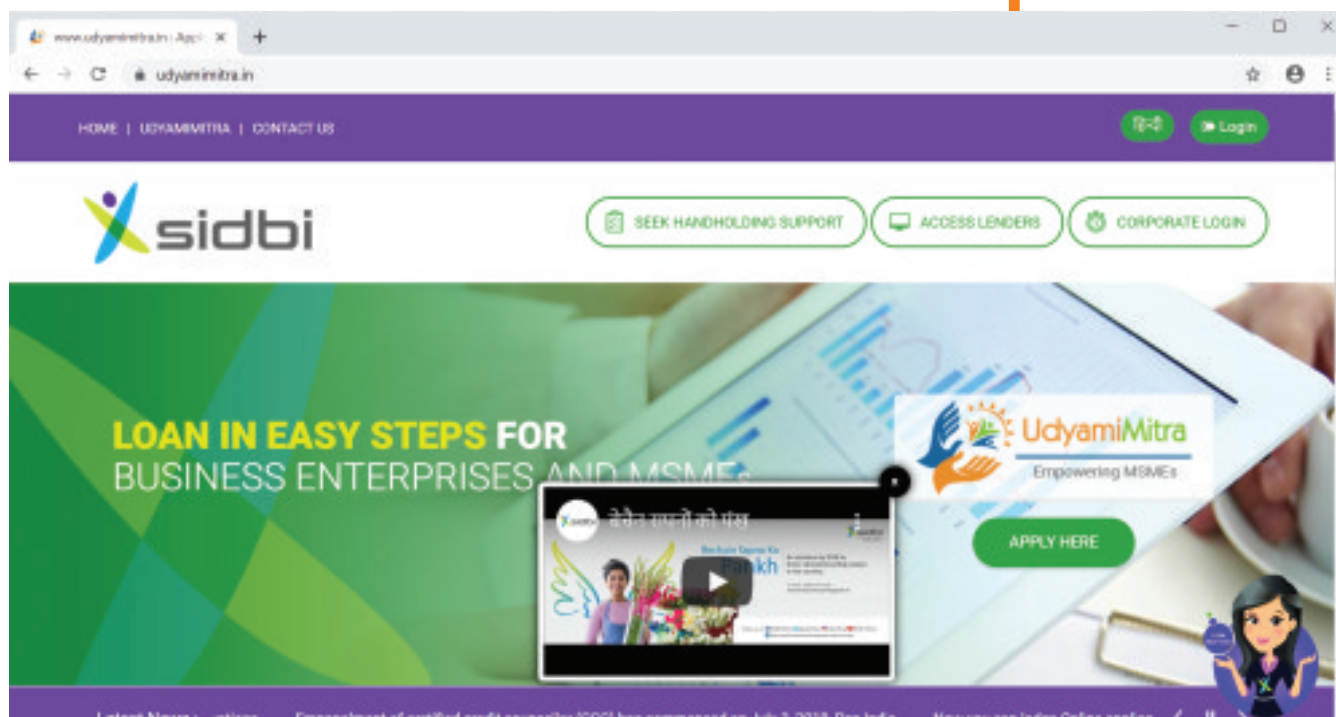
17.4. SIDBI UDYAMI MITRA

Small Industries Development Bank of India (SIDBI) has launched the Udyami Mitra portal to improve accessibility of credit and handholding services to MSMEs. The website address is <https://www.udyamimitra.in/>.



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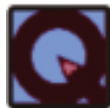
Entrepreneurs can apply for a loan without physically visiting any bank branches and can select from over 1.25 lakh bank branches, track their application status and avail of multiple loan benefits. It also has the facility for uploading all necessary documents. Through the portal, entrepreneurs can seek handholding support for getting finance. The website provides link to project profiles, business ideas and knowledge for entrepreneurs.



17.5 KVIC- PMEGP E-PORTAL

Prime Minister's Employment Generation Programme (PMEGP) is a flagship scheme of the Ministry of Micro, Small and Medium Enterprises, Government of India. It is being implemented by Khadi and Village Industries Commission (KVIC). Entrepreneurs can apply for this scheme online through <https://www.kviconline.gov.in/pmegpeportal/pmegphome>.

In this portal besides applying for the scheme one can download model projects. In case one has difficulty with online application s/he can also watch video tutorials of this online process in Hindi and English languages.



INTEXT QUESTIONS 17.2

State Whether True (T) or False (F)

- Startup India is an initiative of DPIIT.
- Startups are given tax exemptions but absolutely no preferences in purchases made by government organisations.
- PMEGP e-Portal doesn't contain model project reports.
- Udyami Mitra Portal improves accessibility of credit for MSMEs but do not provide any handholding services.
- Startups are eligible for filing fast track patent applications.

17.6. SIDBI STANDUPMITRA

The Stand-Up India scheme facilitate bank loans to minimum one Scheduled Caste (SC) or Scheduled Tribe (ST) borrower and at least one woman borrower per bank branch of scheduled commercial banks for setting up a new enterprise. The Stand Up India portal provides a digital platform to support enterprise promotion among entrepreneurs from SC, ST and women category through handholding support, information dissemination and credit guarantee. The website address is <https://www.standupmitra.in>.

Beside application for loan, this portal provides information on training, skill development programs, guidance etc. The guided tour provides video explanation of the online application process in Hindi, English and regional languages. On this website, one can find contact details of various industry associations, Lead District Managers (LDM) and help centres.



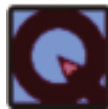
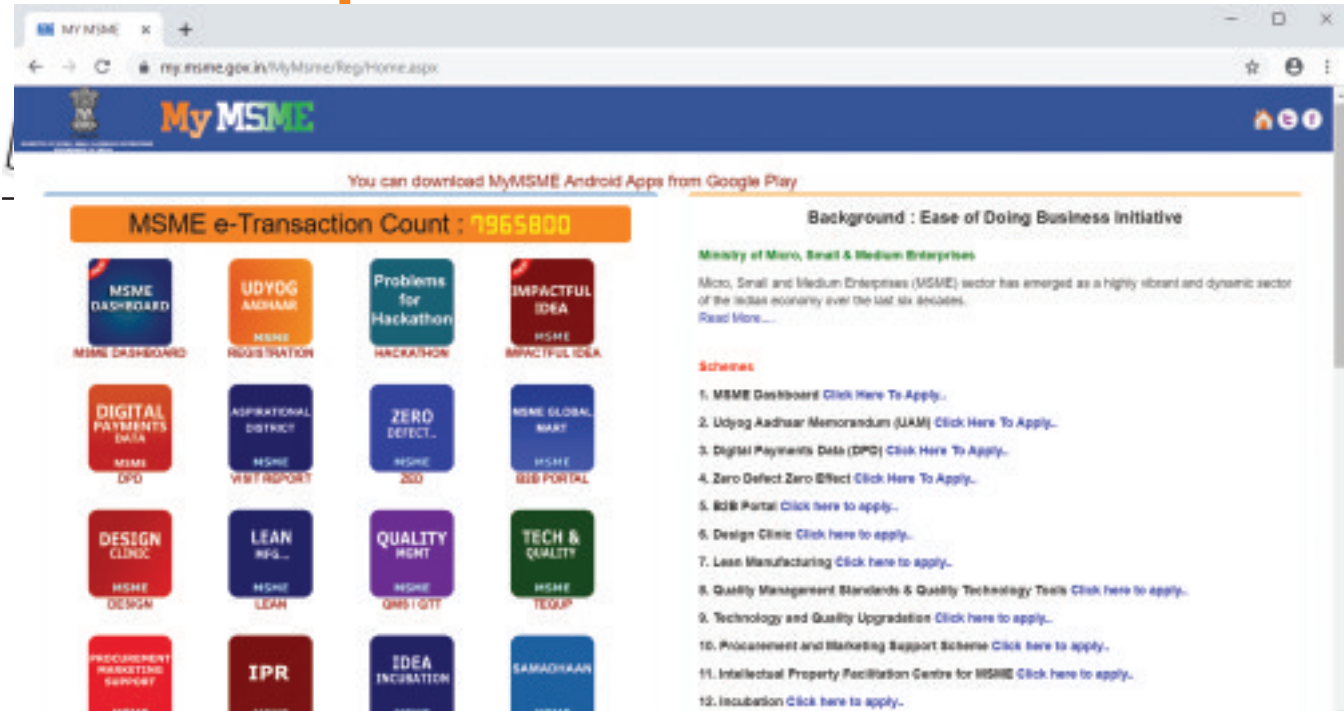
Notes



17.7. MY MSME

My MSME website and mobile application is for all Micro, Small & Medium Enterprises (MSME) in India and other stakeholders. This provides all information related to MSME's policies, registration, services, schemes etc. The website address is <https://my.msme.gov.in>.

It is one portal where an entrepreneur can file Udyog Aadhaar Memorandum (UAM) for Registration of MSMEs. MSME scheme guidelines and project profiles are also available on this portal. An entrepreneur can apply for MSME schemes benefits like credit, technology, cluster development, marketing, Intellectual Property Rights, quality, infrastructure, incubation, skill etc. directly through this portal. The person can lodge complaints and visit offices and organisations under Ministry of MSME. The portal also provides direct link to social media handle of the Ministry of MSME under useful links tabs.



INTEXT QUESTIONS 17.3

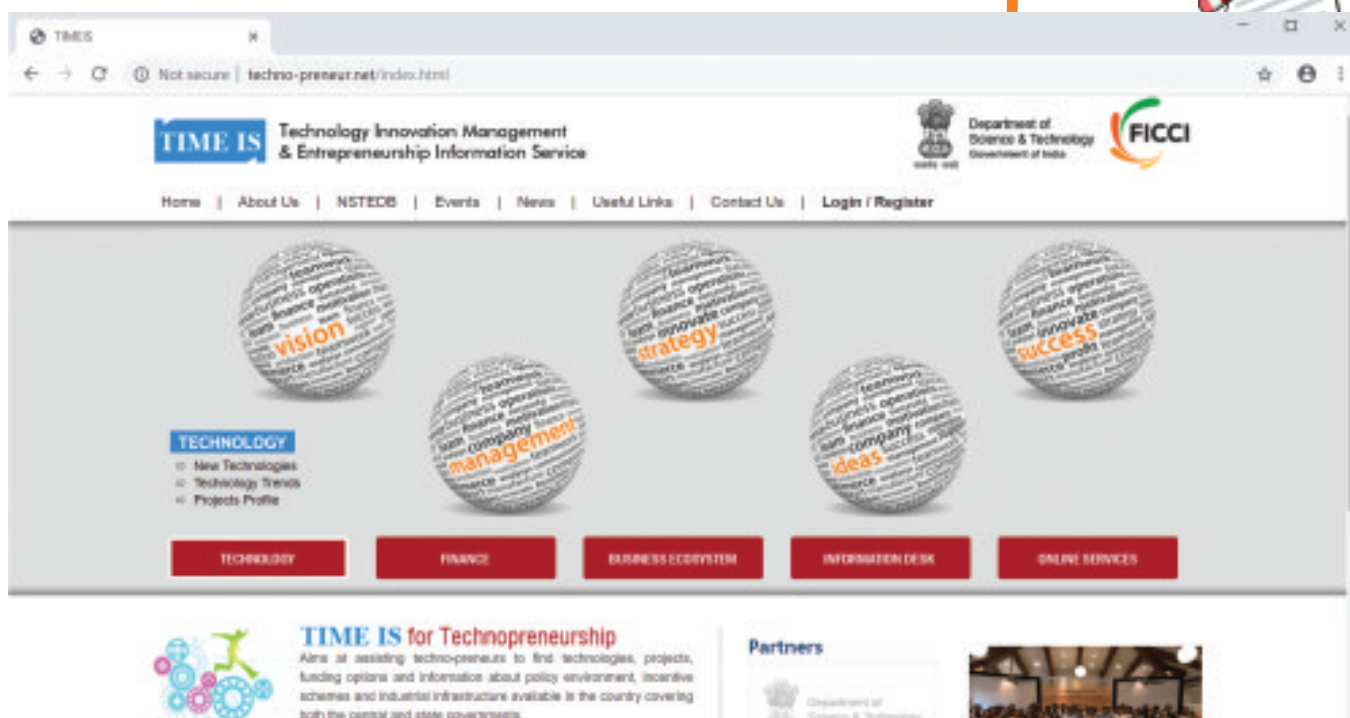
Expand the following abbreviations

Abbreviations	Full Form
(a) SIDBI	
(b) MSME	
(c) UAM	
(d) KVIC	
(e) PMEGP	

17.8 TECHNOLOGY INNOVATION MANAGEMENT AND ENTREPRENEURSHIP INFORMATION SERVICE (TIME IS)

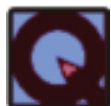
Innovative enterprises based on new technologies developed by research organisations can be started by getting support from websites like Technology Innovation Management and Entrepreneurship Information Service (TIME IS). This website is maintained by National Science and Entrepreneurship

Development Board (NSTEDB), Department of Science & Technology (DST), Government of India and Federation of Indian Chambers of Commerce & Industry (FICCI). The website address is <http://www.techno-preneur.net>.



This website helps the entrepreneurs to find new commercial technologies, global trends, projects profile and government schemes. It also provides information on the industrial policies and availability of infrastructure facilities.

The TIME IS website also provides interactive online tools for developing detail project report. Information on queries related to patents, scientific research organisation contacts details, financing bodies like banks, State Financial Corporations (SFCs), and Venture Capitals (VCs) are available in the website. The useful links gives connects to various Industry Associations, Export Promotion Councils (EPCs) etc.



INTEXT QUESTIONS 17.4

Match the Following :

Websites	Organisations
a) Udyamimitra	(i) DPIIT
b) PMEGP e-Portal	(ii) NSDC
c) Skill India Portal	(iii) SIDBI

MODULE - 5

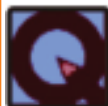
MSME and Entrepreneurial
Ecosystem



Notes

E-Resources

d) My MSME	(iv) KVIC
e) Technology Innovation Management and Entrepreneurship Information Service (TIME IS)	(v) Ministry of MSME
f) Startup India	(vi) NSTEDB



WHAT YOU HAVE LEARNT

- Government organizations have made it much easier nowadays for entrepreneurs to start their own business. In this effort, they have used information technology in a big way. Websites and mobile applications have provided entrepreneurs with updated information. IT has made application procedure for loans and schemes easier.
- Government is making efforts to help new entrepreneurs by creating various e-resources. These e-resources provide all necessary information at a glance. Entrepreneurs can apply for various online schemes by going through a simple online process.
- Skill India Portal, Startup India, SIDBI Udyamitra, KVIC-PMEGP e-Portal, SIDBI Standupmitra, My MSME, TIME IS are some of the helpful websites and mobile apps.



TERMINAL QUESTIONS

1. State the importance of e-resources in the 21st Century for entrepreneurs.
2. Prepare a list of important websites and mobile applications beneficial for the entrepreneurs.
3. Explain three websites in detail along with their usefulness for the entrepreneurs.
4. Discuss any two e-resources for entrepreneurs.
5. Identify the e-resources available in India.



ANSWERS TO INTEXT QUESTIONS

17.1

1. National Skill Development Corporation (NSDC)

2. Skill Development & Entrepreneurship
3. Information and Communication Technologies
4. Technology Innovation Management and Entrepreneurship Information Service
5. Skill, Training

17.2

- a) True
- b) False (Second statement is wrong i.e. Startups get preferences in purchases made by government organisations)
- c) False
- d) False (second statement is wrong i.e. Udyami Mitra Portal does provide handholding services)
- e) True

17.3

- a) Small Industries Development Bank of India
- b) Micro, Small & Medium Enterprises
- c) Udyog Aadhaar Memorandum
- d) Khadi and Village Industries Commission
- e) Prime Minister's Employment Generation Programme

17.4

1. c ; 2. d ; 3. b ; 4. e ; 5. f ; 6. a ;

DO AND LEARN

1. Visit all seven websites listed and browse their contents to understand the utility of these websites for entrepreneurs.
2. Out of the three activities, do at least one:
 - a) Apply for PMEGP loan through online portal
 - b) Register for online course under Startup India
 - c) Register an enterprise under Udyog Aadhar using My MSME portal

MODULE - 5

MSME and Entrepreneurial
Ecosystem

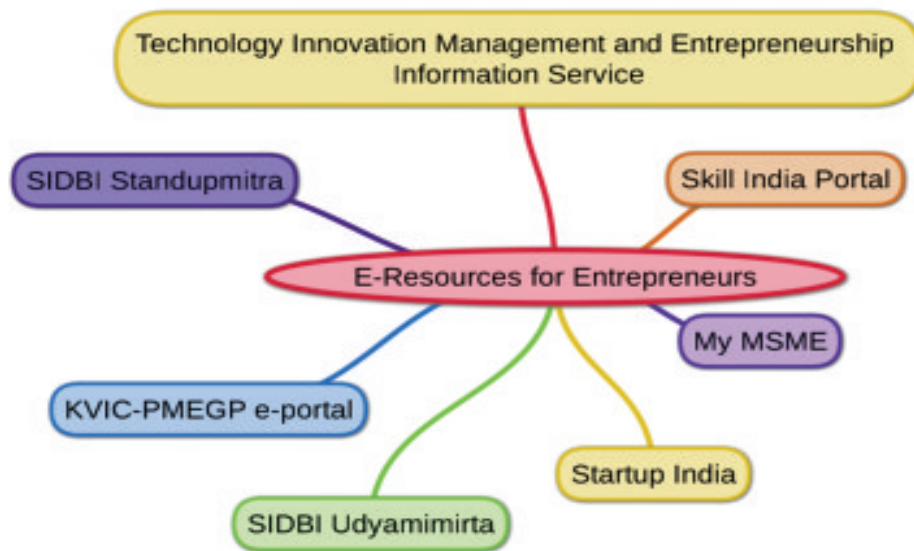


Notes



Notes

CONCEPT MAP





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Module 6

PROJECT WORK

Maximum Marks - 00

Study Hours 30

After completion of the course, the learner will be able to identify a business opportunity in his own locality and explore creating a business plan for the same.

Lesson 18 Practical Awareness about Entrepreneurship



PRACTICAL AWARENESS ON PROJECT WORK ON ENTREPRENEURSHIP

Project preparation is a process. It entails several steps from analysing a project idea to developing it into a final project. Finally, it is made ready for implementation. Project preparation must ensure that the project, when launched, proves to be feasible and appropriate enough so that it may be implemented with success.

However, an entrepreneur need not to go into the integrities of creating a business plan. You just need the right entrepreneurial attitude to be successful. You may visit www.udyami.org.in/projectreports and www.kviconline.gov.in/pmegp/pmegpweb/docs/jsp/newprojectReports.jsp to explore more business plan templates. A sample template is annexed herewith.

Also you may take help from Local Nationalised Banks, District Industries Officials, EDC Cells, Incubation Centres or Chartered Accountants, as a good business plan may help you make important and informed business decisions. It is expected that project preparation work will help students to develop the required skills to understand the various aspects of entrepreneurships and make it meaningful in their life.

PROJECT

1. Find out at least five people working as an entrepreneur near you and identify what they do to earn their living. Classify these under different types of entrepreneurship and show the data in following format:



S.No.	Name and address of enterprise	Name of product/ service	Type of entrepreneurship
1.			
2.			
3.			
4.			
5.			

2. Compare these entrepreneurial activities on the basis of following:

S.No.	Activities	Meaning	Regulated by	Code of conduct	Terms and conditions	Risk	Return
1.	Uber						
2.	Grofers						
3.	Amazon						
4.	Swiggy						
5.	Paytm						

3. Interview five entrepreneurs located near you and find out the resource used by them for their enterprise:

S.No.	Name and address of enterprise	Name of product/service	Resource Used		
			Land (sq.M.)	Capital (Rs.)	Number of Employees
1.					
2.					
3.					
4.					
5.					

4. Interview five entrepreneurs and find out their business financial plan:

MODULE - 6

Project Work



Notes

Practical Awareness on Project work on Entrepreneurship

S.No.	Name of enterprise	Capital taken on loan	Owned capital	Fixed capital	Variable capital
1.					
2.					
3.					
4.					
5.					

5. Interview five entrepreneurs to identify the quality standards adopted by them and applicable quality standards for their products.

S.No.	Name of enterprise	Product types	Quality standard
1.			
2.			
3.			
4.			
5.			

6. Interview five entrepreneurs about the risk involved in products produced by them:

S.No.	Name of enterprise	Product types	Risk type
1.			
2.			
3.			
4.			
5.			

7. Interview five entrepreneurs to know whom they consulted to prepare the business project:

S.No.	Name of enterprise	Govt. department	Private professionals	Established entrepreneurs
1.				
2.				
3.				
4.				
5.				



Notes

8. Interview five entrepreneurs to identify how they did feasibility analysis of their product or service:

S.No.	Name enterprise	Product of types	Major point under analysis	Feasibility analysis conducted by
1.				
2.				
3.				
4.				
5.				

9. Interview five entrepreneurs dealing in different products or services about their problems they confronted while convincing financiers about their business plan:

S.No.	Nature of business	Types of products	Problems faced	Measures taken to resolved
1.				
2.				
3.				
4.				
5.				

10. Consult at least three banks of your locality to find out the rate at which they make available required funds for working capital.

S.No.	Bank	Name of the bank	Rate of interest	Remarks
1.	Public sector bank			
2.	Private sector bank			
3.	Cooperative bank			
4.				
5.				

11. Interview at least five entrepreneurs and identify from where they get raw materials required for their business.

MODULE - 6

Project Work



Notes

Practical Awareness on Project work on Entrepreneurship

S.No.	Nature of business	Types of products	Raw Material used	Place from where acquired
1.				
2.				
3.				
4.				
5.				

12. Interview at least five entrepreneurs to know the channel of distribution they use.

S.No.	Nature of business	Nature of Product	Channel of distribution
1.			
2.			
3.			
4.			
5.			

13. Interview at least five entrepreneurs and identify from where they have acquired licences for their business.

S.No.	Nature of business	Product types	Licence issuing authority
1.			
2.			
3.			
4.			
5.			

14. Interview at least five entrepreneurs and identify whether they advertise their products. If yes, what is the mode of advertisement?



S.No.	Nature of business	Nature of product	Advertisement expenses incurred
1.			
2.			
3.			
4.			
5.			

15. Interview at least five entrepreneurs and identify whether they used skilled or semi-skilled or unskilled labour. Also list what skill is required for the business.

S.No.	Nature of business	Type of labour	Type of skilled required
1.			
2.			
3.			
4.			
5.			

16. Interview one entrepreneur dealing in FMCG products and write his or her journey of establishing and running of business.